



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 2999: infrastructure finance districts

WENINGER FLOOR AMENDMENT

1. Renames the State Housing Affordability District to the State Affordability Infrastructure District.
2. Modifies the definition of *maximum authorized tax rate* and *public infrastructure*.
3. Removes language relating to land that is subject to a current written annexation or pre-annexation agreement.
4. Adds information that must be included in the petition to form a District.
5. Revises certain District powers granted to further the implementation the general plan.
6. Includes conditions to calculating the maximum rate of any ad valorem tax.
7. Adds that any public infrastructure financed by the District that constitutes improvements will remain subject to the municipality's authority to regulate subdivisions.
8. Makes clarifying changes.

ADDITIONAL COW
WENINGER FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2999
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 9-463.05, Arizona Revised Statutes, is amended
3 to read:

4 9-463.05. Development fees: imposition by cities and towns:
5 infrastructure improvements plan; annual report;
6 advisory committee; limitation on actions;
7 definitions

8 A. A municipality may assess development fees to offset costs to
9 the municipality associated with providing necessary public services to a
10 development, including the costs of infrastructure, improvements, real
11 property, engineering and architectural services, financing and
12 professional services required for the preparation or revision of a
13 development fee pursuant to this section, including the relevant portion
14 of the infrastructure improvements plan.

15 B. Development fees assessed by a municipality under this section
16 are subject to the following requirements:

17 1. Development fees shall result in a beneficial use to the
18 development.

19 2. The municipality shall calculate the development fee based on
20 the infrastructure improvements plan adopted pursuant to this section.

21 3. The development fee shall not exceed a proportionate share of
22 the cost of necessary public services, based on service units, needed to
23 provide necessary public services to the development.

24 4. Costs for necessary public services made necessary by new
25 development shall be based on the same level of service provided to
26 existing development in the service area.

27 5. Development fees may not be used for any of the following:

1 (a) Construction, acquisition or expansion of public facilities or
2 assets other than necessary public services or facility expansions
3 identified in the infrastructure improvements plan.

4 (b) Repair, operation or maintenance of existing or new necessary
5 public services or facility expansions.

6 (c) Upgrading, updating, expanding, correcting or replacing
7 existing necessary public services to serve existing development in order
8 to meet stricter safety, efficiency, environmental or regulatory
9 standards.

10 (d) Upgrading, updating, expanding, correcting or replacing
11 existing necessary public services to provide a higher level of service to
12 existing development.

13 (e) Administrative, maintenance or operating costs of the
14 municipality.

15 6. Any development for which a development fee has been paid is
16 entitled to the use and benefit of the services for which the fee was
17 imposed and is entitled to receive immediate service from any existing
18 facility with available capacity to serve the new service units if the
19 available capacity has not been reserved or pledged in connection with the
20 construction or financing of the facility.

21 7. Development fees may be collected if any of the following
22 occurs:

23 (a) The collection is made to pay for a necessary public service or
24 facility expansion that is identified in the infrastructure improvements
25 plan and the municipality plans to complete construction and to have the
26 service available within the time period established in the infrastructure
27 ~~improvement~~ IMPROVEMENTS plan, but in no event longer than the time period
28 provided in subsection H, paragraph 3 of this section.

29 (b) The municipality reserves in the infrastructure improvements
30 plan adopted pursuant to this section or otherwise agrees to reserve
31 capacity to serve future development.

32 (c) The municipality requires or agrees to allow the owner of a
33 development to construct or finance the necessary public service or
34 facility expansion and any of the following ~~apply~~ APPLIES:

35 (i) The costs incurred or money advanced are credited against or
36 reimbursed from the development fees otherwise due from a development.

37 (ii) The municipality reimburses the owner for those costs from the
38 development fees paid from all developments that will use those necessary
39 public services or facility expansions.

40 (iii) For those costs incurred the municipality allows the owner to
41 assign the credits or reimbursement rights from the development fees
42 otherwise due from a development to other developments for the same
43 category of necessary public services in the same service area.

44 8. Projected interest charges and other finance costs may be
45 included in determining the amount of development fees only if the monies
46 are used for the payment of principal and interest on the portion of the
47 bonds, notes or other obligations issued to finance construction of

1 necessary public services or facility expansions identified in the
2 infrastructure improvements plan.

3 9. Monies received from development fees assessed pursuant to this
4 section shall be placed in a separate fund and accounted for separately
5 and may only be used for the purposes authorized by this section. Monies
6 received from a development fee identified in an infrastructure
7 improvements plan adopted or updated pursuant to subsection D of this
8 section shall be used to provide the same category of necessary public
9 services or facility expansions for which the development fee was assessed
10 and for the benefit of the same service area, as defined in the
11 infrastructure improvements plan, in which the development fee was
12 assessed. Interest earned on monies in the separate fund shall be
13 credited to the fund.

14 10. The schedule for payment of fees shall be provided by the
15 municipality. Based on the cost identified in the infrastructure
16 improvements plan, the municipality shall provide a credit toward the
17 payment of a development fee for the required or agreed to dedication of
18 public sites, improvements and other necessary public services or facility
19 expansions included in the infrastructure improvements plan and for which
20 a development fee is assessed, to the extent the public sites,
21 improvements and necessary public services or facility expansions are
22 provided by the developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED
23 UNDER TITLE 48, CHAPTER 4, ARTICLE 6 OR A STATE ~~[HOUSING]~~ AFFORDABILITY
24 ~~[INFRASTRUCTURE]~~ DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 40. The
25 developer of residential dwelling units shall be required to pay
26 development fees when construction permits for the dwelling units are
27 issued, or at a later time if specified in a development agreement
28 pursuant to section 9-500.05. If a development agreement provides for
29 fees to be paid at a time later than the issuance of construction permits,
30 the deferred fees shall be paid ~~no~~ NOT later than fifteen days after the
31 issuance of a certificate of occupancy. The development agreement shall
32 provide for the value of any deferred fees to be supported by appropriate
33 security, including a surety bond, letter of credit or cash bond.

34 11. If a municipality requires as a condition of development
35 approval the construction or improvement of, contributions to or
36 dedication of any facilities that were not included in a previously
37 adopted infrastructure improvements plan, the municipality shall cause the
38 infrastructure improvements plan to be amended to include the facilities
39 and shall provide a credit toward the payment of a development fee for the
40 construction, improvement, contribution or dedication of the facilities to
41 the extent that the facilities will substitute for or otherwise reduce the
42 need for other similar facilities in the infrastructure improvements plan
43 for which development fees were assessed.

44 12. The municipality shall forecast the contribution to be made in
45 the future in cash or by taxes, fees, assessments or other sources of
46 revenue derived from the property owner towards the capital costs of the
47 necessary public service covered by the development fee and shall include
48 these contributions in determining the extent of the burden imposed by the

1 development. Beginning August 1, 2014, for purposes of calculating the
2 required offset to development fees pursuant to this subsection, if a
3 municipality imposes a construction contracting or similar excise tax rate
4 in excess of the percentage amount of the transaction privilege tax rate
5 imposed on the majority of other transaction privilege tax
6 classifications, the entire excess portion of the construction contracting
7 or similar excise tax shall be treated as a contribution to the capital
8 costs of necessary public services provided to development for which
9 development fees are assessed, unless the excess portion was already taken
10 into account for such purpose pursuant to this subsection.

11 13. If development fees are assessed by a municipality, the fees
12 shall be assessed against commercial, residential and industrial
13 development, except that the municipality may distinguish between
14 different categories of residential, commercial and industrial development
15 in assessing the costs to the municipality of providing necessary public
16 services to new development and in determining the amount of the
17 development fee applicable to the category of development. If a
18 municipality agrees to waive any of the development fees assessed on a
19 development, the municipality shall reimburse the appropriate development
20 fee accounts for the amount that was waived. The municipality shall
21 provide notice of any such waiver to the advisory committee established
22 pursuant to subsection G of this section within thirty days.

23 14. In determining and assessing a development fee applying to land
24 in a community facilities district established under title 48, chapter 4,
25 article 6 OR A STATE ~~[HOUSING]~~ AFFORDABILITY ~~[INFRASTRUCTURE]~~ DISTRICT
26 ESTABLISHED UNDER TITLE 48, CHAPTER 40, the municipality shall take into
27 account all public infrastructure provided by the district and capital
28 costs paid by the district for necessary public services and shall not
29 assess a portion of the development fee based on the infrastructure or
30 costs.

31 C. A municipality shall give at least thirty days' advance notice
32 of intention to assess a development fee and shall release to the public
33 and post on its website or the website of an association of cities and
34 towns if a municipality does not have a website a written report of the
35 land use assumptions and infrastructure improvements plan adopted pursuant
36 to subsection D of this section. The municipality shall conduct a public
37 hearing on the proposed development fee at any time after the expiration
38 of the ~~thirty day~~ THIRTY-DAY notice of intention to assess a development
39 fee and at least thirty days before the scheduled date of adoption of the
40 fee by the governing body. Within sixty days after the date of the public
41 hearing on the proposed development fee, a municipality shall approve or
42 disapprove the imposition of the development fee. A municipality shall
43 not adopt an ordinance, order or resolution approving a development fee as
44 an emergency measure. A development fee assessed pursuant to this section
45 shall not be effective until seventy-five days after its formal adoption
46 by the governing body of the municipality. Nothing in this subsection
47 shall affect any development fee adopted before July 24, 1982.

1 D. Before the adoption or amendment of a development fee, the
2 governing body of the municipality shall adopt or update the land use
3 assumptions and infrastructure improvements plan for the designated
4 service area. The municipality shall conduct a public hearing on the land
5 use assumptions and infrastructure improvements plan at least thirty days
6 before the adoption or update of the plan. The municipality shall release
7 the plan to the public, post the plan on its website or the website of an
8 association of cities and towns if the municipality does not have a
9 website, including in the posting its land use assumptions, the time
10 period of the projections, a description of the necessary public services
11 included in the infrastructure improvements plan and a map of the service
12 area to which the land use assumptions apply, make available to the public
13 the documents used to prepare the assumptions and plan and provide public
14 notice at least sixty days before the public hearing, subject to the
15 following:

16 1. The land use assumptions and infrastructure improvements plan
17 shall be approved or disapproved within sixty days after the public
18 hearing on the land use assumptions and infrastructure improvements plan
19 and at least thirty days before the public hearing on the report required
20 by subsection C of this section. A municipality shall not adopt an
21 ordinance, order or resolution approving the land use assumptions or
22 infrastructure improvements plan as an emergency measure.

23 2. An infrastructure improvements plan shall be developed by
24 qualified professionals using generally accepted engineering and planning
25 practices pursuant to subsection E of this section.

26 3. A municipality shall update the land use assumptions and
27 infrastructure improvements plan at least every five years. The initial
28 ~~five-year~~ FIVE-YEAR period begins on the day the infrastructure
29 improvements plan is adopted. The municipality shall review and evaluate
30 its current land use assumptions and shall cause an update of the
31 infrastructure improvements plan to be prepared pursuant to this section.

32 4. Within sixty days after completion of the updated land use
33 assumptions and infrastructure improvements plan, the municipality shall
34 schedule and provide notice of a public hearing to discuss and review the
35 update and shall determine whether to amend the assumptions and plan.

36 5. A municipality shall hold a public hearing to discuss the
37 proposed amendments to the land use assumptions, the infrastructure
38 improvements plan or the development fee. The land use assumptions and
39 the infrastructure improvements plan, including the amount of any proposed
40 changes to the development fee per service unit, shall be made available
41 to the public on or before the date of the first publication of the notice
42 of the hearing on the amendments.

43 6. The notice and hearing procedures prescribed in paragraph 1 of
44 this subsection apply to a hearing on the amendment of land use
45 assumptions, an infrastructure improvements plan or a development fee.
46 Within sixty days after the date of the public hearing on the amendments,
47 a municipality shall approve or disapprove the amendments to the land use
48 assumptions, infrastructure improvements plan or development fee. A

1 municipality shall not adopt an ordinance, order or resolution approving
2 the amended land use assumptions, infrastructure improvements plan or
3 development fee as an emergency measure.

4 7. The advisory committee established under subsection G of this
5 section shall file its written comments on any proposed or updated land
6 use assumptions, infrastructure improvements plan and development fees
7 before the fifth business day before the date of the public hearing on the
8 proposed or updated assumptions, plan and fees.

9 8. If, at the time an update as prescribed in paragraph 3 of this
10 subsection is required, the municipality determines that no changes to the
11 land use assumptions, infrastructure improvements plan or development fees
12 are needed, the municipality may as an alternative to the updating
13 requirements of this subsection publish notice of its determination on its
14 website and include the following:

15 (a) A statement that the municipality has determined that no change
16 to the land use assumptions, infrastructure improvements plan or
17 development fee is necessary.

18 (b) A description and map of the service area in which an update
19 has been determined to be unnecessary.

20 (c) A statement that by a specified date, which shall be at least
21 sixty days after the date of publication of the first notice, a person may
22 make a written request to the municipality requesting that the land use
23 assumptions, infrastructure improvements plan or development fee be
24 updated.

25 (d) A statement identifying the person or entity to whom the
26 written request for an update should be sent.

27 9. If, by the date specified pursuant to paragraph 8 of this
28 subsection, a person requests in writing that the land use assumptions,
29 infrastructure improvements plan or development fee be updated, the
30 municipality shall cause, accept or reject an update of the assumptions
31 and plan to be prepared pursuant to this subsection.

32 10. Notwithstanding the notice and hearing requirements for adoption
33 of an infrastructure improvements plan, a municipality may amend an
34 infrastructure improvements plan adopted pursuant to this section without
35 a public hearing if the amendment addresses only elements of necessary
36 public services in the existing infrastructure improvements plan and the
37 changes to the plan will not, individually or cumulatively with other
38 amendments adopted pursuant to this subsection, increase the level of
39 service in the service area or cause a development fee increase of greater
40 than five ~~per-cent~~ PERCENT when a new or modified development fee is
41 assessed pursuant to this section. The municipality shall provide notice
42 of any such amendment at least thirty days before adoption, shall post the
43 amendment on its website or on the website of an association of cities and
44 towns if the municipality does not have a website and shall provide notice
45 to the advisory committee established pursuant to subsection G of this
46 section that the amendment complies with this subsection.

47 E. For each necessary public service that is the subject of a
48 development fee, the infrastructure improvements plan shall include:

1 1. A description of the existing necessary public services in the
2 service area and the costs to upgrade, update, improve, expand, correct or
3 replace those necessary public services to meet existing needs and usage
4 and stricter safety, efficiency, environmental or regulatory standards,
5 which shall be prepared by qualified professionals licensed in this state,
6 as applicable.

7 2. An analysis of the total capacity, the level of current usage
8 and commitments for usage of capacity of the existing necessary public
9 services, which shall be prepared by qualified professionals licensed in
10 this state, as applicable.

11 3. A description of all or the parts of the necessary public
12 services or facility expansions and their costs necessitated by and
13 attributable to development in the service area based on the approved land
14 use assumptions, including a forecast of the costs of infrastructure,
15 improvements, real property, financing, engineering and architectural
16 services, which shall be prepared by qualified professionals licensed in
17 this state, as applicable.

18 4. A table establishing the specific level or quantity of use,
19 consumption, generation or discharge of a service unit for each category
20 of necessary public services or facility expansions and an equivalency or
21 conversion table establishing the ratio of a service unit to various types
22 of land uses, including residential, commercial and industrial.

23 5. The total number of projected service units necessitated by and
24 attributable to new development in the service area based on the approved
25 land use assumptions and calculated pursuant to generally accepted
26 engineering and planning criteria.

27 6. The projected demand for necessary public services or facility
28 expansions required by new service units for a period not to exceed ten
29 years.

30 7. A forecast of revenues generated by new service units other than
31 development fees, which shall include estimated state-shared revenue,
32 highway ~~users~~ **USER** revenue, federal revenue, ad valorem property taxes,
33 construction contracting or similar excise taxes and the capital recovery
34 portion of utility fees attributable to development based on the approved
35 land use assumptions, and a plan to include these contributions in
36 determining the extent of the burden imposed by the development as
37 required in subsection B, paragraph 12 of this section.

38 F. A municipality's development fee ordinance shall provide that a
39 new development fee or an increased portion of a modified development fee
40 shall not be assessed against a development for twenty-four months after
41 the date that the municipality issues the final approval for a commercial,
42 industrial or multifamily development or the date that the first building
43 permit is issued for a residential development pursuant to an approved
44 site plan or subdivision plat, provided that no subsequent changes are
45 made to the approved site plan or subdivision plat that would increase the
46 number of service units. If the number of service units increases, the
47 new or increased portion of a modified development fee shall be limited to
48 the amount attributable to the additional service units. The twenty-four

1 month period shall not be extended by a renewal or amendment of the site plan or the final subdivision plat that was the subject of the final approval. The municipality shall issue, on request, a written statement of the development fee schedule applicable to the development. If, after the date of the municipality's final approval of a development, the municipality reduces the development fee assessed on development, the reduced fee shall apply to the development.

G. A municipality shall do one of the following:

1. Before the adoption of proposed or updated land use assumptions, infrastructure improvements plan and development fees as prescribed in subsection D of this section, the municipality shall appoint an infrastructure improvements advisory committee, subject to the following requirements:

(a) The advisory committee shall be composed of at least five members who are appointed by the governing body of the municipality. At least fifty ~~per cent~~ PERCENT of the members of the advisory committee must be representatives of the real estate, development or building industries, of which at least one member of the committee must be from the home building industry. Members shall not be employees or officials of the municipality.

(b) The advisory committee shall serve in an advisory capacity and shall:

(i) Advise the municipality in adopting land use assumptions and in determining whether the assumptions are in conformance with the general plan of the municipality.

(ii) Review the infrastructure improvements plan and file written comments.

(iii) Monitor and evaluate implementation of the infrastructure improvements plan.

(iv) Every year file reports with respect to the progress of the infrastructure improvements plan and the collection and expenditures of development fees and report to the municipality any perceived inequities in implementing the plan or imposing the development fee.

(v) Advise the municipality of the need to update or revise the land use assumptions, infrastructure improvements plan and development fee.

(c) The municipality shall make available to the advisory committee any professional reports with respect to developing and implementing the infrastructure improvements plan.

(d) The municipality shall adopt procedural rules for the advisory committee to follow in carrying out the committee's duties.

2. In lieu of creating an advisory committee pursuant to paragraph 1 of this subsection, provide for a biennial certified audit of the municipality's land use assumptions, infrastructure improvements plan and development fees. An audit pursuant to this paragraph shall be conducted by one or more qualified professionals who are not employees or officials of the municipality and who did not prepare the infrastructure improvements plan. The audit shall review the progress of the

1 infrastructure improvements plan, including the collection and
2 expenditures of development fees for each project in the plan, and
3 evaluate any inequities in implementing the plan or imposing the
4 development fee. The municipality shall post the findings of the audit on
5 the municipality's website or the website of an association of cities and
6 towns if the municipality does not have a website and shall conduct a
7 public hearing on the audit within sixty days of the release of the audit
8 to the public.

9 H. On written request, an owner of real property for which a
10 development fee has been paid after July 31, 2014 is entitled to a refund
11 of a development fee or any part of a development fee if:

12 1. Pursuant to subsection B, paragraph 6 of this section, existing
13 facilities are available and service is not provided.

14 2. The municipality has, after collecting the fee to construct a
15 facility when service is not available, failed to complete construction
16 within the time period identified in the infrastructure improvements plan,
17 but in no event later than the time period specified in paragraph 3 of
18 this subsection.

19 3. For a development fee other than a development fee for water or
20 wastewater facilities, any part of the development fee is not spent as
21 authorized by this section within ten years after the fee has been paid
22 or, for a development fee for water or wastewater facilities, any part of
23 the development fee is not spent as authorized by this section within
24 fifteen years after the fee has been paid.

25 I. If the development fee was collected for the construction of all
26 or a portion of a specific item of infrastructure, and on completion of
27 the infrastructure the municipality determines that the actual cost of
28 construction was less than the forecasted cost of construction on which
29 the development fee was based and the difference between the actual and
30 estimated cost is greater than ten per cent, the current owner may receive
31 a refund of the portion of the development fee equal to the difference
32 between the development fee paid and the development fee that would have
33 been due if the development fee had been calculated at the actual
34 construction cost.

35 J. A refund shall include any interest earned by the municipality
36 from the date of collection to the date of refund on the amount of the
37 refunded fee. All refunds shall be made to the record owner of the
38 property at the time the refund is paid. If the development fee is paid
39 by a governmental entity, the refund shall be paid to the governmental
40 entity.

41 K. A development fee that was adopted before January 1, 2012 may
42 continue to be assessed only to the extent that it will be used to provide
43 a necessary public service for which development fees can be assessed
44 pursuant to this section and shall be replaced by a development fee
45 imposed under this section on or before August 1, 2014. Any municipality
46 having a development fee that has not been replaced under this section on
47 or before August 1, 2014 shall not collect development fees until the
48 development fee has been replaced with a fee that complies with this

1 section. Any development fee monies collected before January 1, 2012
2 remaining in a development fee account:

3 1. Shall be used towards the same category of necessary public
4 services as authorized by this section.

5 2. If development fees were collected for a purpose not authorized
6 by this section, shall be used for the purpose for which they were
7 collected on or before January 1, 2020, and after which, if not spent,
8 shall be distributed equally among the categories of necessary public
9 services authorized by this section.

10 L. A moratorium shall not be placed on development for the sole
11 purpose of awaiting completion of all or any part of the process necessary
12 to develop, adopt or update development fees.

13 M. In any judicial action interpreting this section, all powers
14 conferred on municipal governments in this section shall be narrowly
15 construed to ensure that development fees are not used to impose on new
16 residents a burden all taxpayers of a municipality should bear equally.

17 N. Each municipality that assesses development fees shall submit an
18 annual report accounting for the collection and use of the fees for each
19 service area. The annual report shall include the following:

20 1. The amount assessed by the municipality for each type of
21 development fee.

22 2. The balance of each fund maintained for each type of development
23 fee assessed as of the beginning and end of the fiscal year.

24 3. The amount of interest or other earnings on the monies in each
25 fund as of the end of the fiscal year.

26 4. The amount of development fee monies used to repay:

27 (a) Bonds issued by the municipality to pay the cost of a capital
28 improvement project that is the subject of a development fee assessment,
29 including the amount needed to repay the debt service obligations on each
30 facility for which development fees have been identified as the source of
31 funding and the time frames in which the debt service will be repaid.

32 (b) Monies advanced by the municipality from funds other than the
33 funds established for development fees in order to pay the cost of a
34 capital improvement project that is the subject of a development fee
35 assessment, the total amount advanced by the municipality for each
36 facility, the source of the monies advanced and the terms under which the
37 monies will be repaid to the municipality.

38 5. The amount of development fee monies spent on each capital
39 improvement project that is the subject of a development fee assessment
40 and the physical location of each capital improvement project.

41 6. The amount of development fee monies spent for each purpose
42 other than a capital improvement project that is the subject of a
43 development fee assessment.

44 O. Within ninety days following the end of each fiscal year, each
45 municipality shall submit a copy of the annual report to the city clerk
46 and post the report on the municipality's website or the website of an
47 association of cities and towns if the municipality does not have a

1 website. Copies shall be made available to the public on request. The
2 annual report may contain financial information that has not been audited.

3 P. A municipality that fails to file the report and post the report
4 on the municipality's website or the website of an association of cities
5 and towns if the municipality does not have a website as required by this
6 section shall not collect development fees until the report is filed and
7 posted.

8 Q. Any action to collect a development fee shall be commenced
9 within two years after the obligation to pay the fee accrues.

10 R. A municipality may continue to assess a development fee adopted
11 before January 1, 2012 for any facility that was financed before June 1,
12 2011 if:

13 1. Development fees were pledged to repay debt service obligations
14 related to the construction of the facility.

15 2. After August 1, 2014, any development fees collected under this
16 subsection are used solely for the payment of principal and interest on
17 the portion of the bonds, notes or other debt service obligations issued
18 before June 1, 2011 to finance construction of the facility.

19 S. Through August 1, 2014, a development fee adopted before January
20 1, 2012 may be used to finance construction of a facility and may be
21 pledged to repay debt service obligations if:

22 1. The facility that is being financed is a facility that is
23 described under subsection T, paragraph 7, subdivisions (a) through (g) of
24 this section.

25 2. The facility was included in an infrastructure improvements plan
26 adopted before June 1, 2011.

27 3. The development fees are used for the payment of principal and
28 interest on the portion of the bonds, notes or other debt service
29 obligations issued to finance construction of the necessary public
30 services or facility expansions identified in the infrastructure
31 ~~improvement~~ IMPROVEMENTS plan.

32 T. For the purposes of this section:

33 1. "Dedication" means the actual conveyance date or the date an
34 improvement, facility or real or personal property is placed into service,
35 whichever occurs first.

36 2. "Development" means:

37 (a) The subdivision of land.

38 (b) The construction, reconstruction, conversion, structural
39 alteration, relocation or enlargement of any structure that adds or
40 increases the number of service units.

41 (c) Any use or extension of the use of land that increases the
42 number of service units.

43 3. "Facility expansion" means the expansion of the capacity of an
44 existing facility that serves the same function as an otherwise new
45 necessary public service in order that the existing facility may serve new
46 development. Facility expansion does not include the repair, maintenance,
47 modernization or expansion of an existing facility to better serve
48 existing development.

1 4. "Final approval" means:

2 (a) For a nonresidential or multifamily development, the approval
3 of a site plan or, if no site plan is submitted for the development, the
4 approval of a final subdivision plat.

5 (b) For a single family residential development, the approval of a
6 final subdivision plat.

7 5. "Infrastructure improvements plan" means a written plan that
8 identifies each necessary public service or facility expansion that is
9 proposed to be the subject of a development fee and otherwise complies
10 with the requirements of this section, and may be the municipality's
11 capital improvements plan.

12 6. "Land use assumptions" means projections of changes in land
13 uses, densities, intensities and population for a specified service area
14 over a period of at least ten years and pursuant to the general plan of
15 the municipality.

16 7. "Necessary public service" means any of the following facilities
17 that have a life expectancy of three or more years and that are owned and
18 operated by or on behalf of the municipality:

19 (a) Water facilities, including the supply, transportation,
20 treatment, purification and distribution of water, and any appurtenances
21 for those facilities.

22 (b) Wastewater facilities, including collection, interception,
23 transportation, treatment and disposal of wastewater, and any
24 appurtenances for those facilities.

25 (c) Storm water, drainage and flood control facilities, including
26 any appurtenances for those facilities.

27 (d) Library facilities of up to ten thousand square feet that
28 provide a direct benefit to development, not including equipment, vehicles
29 or appurtenances.

30 (e) Street facilities located in the service area, including
31 arterial or collector streets or roads that have been designated on an
32 officially adopted plan of the municipality, traffic signals and
33 rights-of-way and improvements thereon.

34 (f) Fire and police facilities, including all appurtenances,
35 equipment and vehicles. Fire and police facilities do not include a
36 facility or portion of a facility that is used to replace services that
37 were once provided elsewhere in the municipality, vehicles and equipment
38 used to provide administrative services, helicopters or airplanes or a
39 facility that is used for training firefighters or officers from more than
40 one station or substation.

41 (g) Neighborhood parks and recreational facilities on real property
42 up to thirty acres in area, or parks and recreational facilities larger
43 than thirty acres if the facilities provide a direct benefit to the
44 development. Park and recreational facilities do not include vehicles,
45 equipment or that portion of any facility that is used for amusement
46 parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural
47 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
48 clubhouses, community centers greater than three thousand square feet in

1 floor area, environmental education centers, equestrian facilities, golf
2 course facilities, greenhouses, lakes, museums, theme parks, water
3 reclamation or riparian areas, wetlands, zoo facilities or similar
4 recreational facilities, but may include swimming pools.

5 (h) Any facility that was financed and that meets all of the
6 requirements prescribed in subsection R of this section.

7 8. "Qualified professional" means a professional engineer,
8 surveyor, financial analyst or planner providing services within the scope
9 of the person's license, education or experience.

10 9. "Service area" means any specified area within the boundaries of
11 a municipality in which development will be served by necessary public
12 services or facility expansions and within which a substantial nexus
13 exists between the necessary public services or facility expansions and
14 the development being served as prescribed in the infrastructure
15 improvements plan.

16 10. "Service unit" means a standardized measure of consumption, use,
17 generation or discharge attributable to an individual unit of development
18 calculated pursuant to generally accepted engineering or planning
19 standards for a particular category of necessary public services or
20 facility expansions.

21 Sec. 2. Section 11-495, Arizona Revised Statutes, is amended to
22 read:

23 11-495. Taxpayers' information fund

24 A. A taxpayers' information fund is established in each county
25 treasury consisting of monies collected from the public records copy
26 surcharge imposed pursuant to section 11-496, the tax lien processing fee
27 imposed pursuant to section 42-18116, subsection C, fifteen dollars of
28 each judgment deed fee collected pursuant to section 42-18205, subsection
29 A, interest earned from the elderly assistance fund pursuant to section
30 42-17401, the community facilities district special assessment fee imposed
31 pursuant to section 48-721, ~~THE STATE [HOUSING] AFFORDABILITY~~
32 ~~[INFRASTRUCTURE] DISTRICT SPECIAL ASSESSMENT FEE IMPOSED PURSUANT TO~~
33 ~~SECTION 48-7023~~ and the fees authorized for collecting municipal fire and
34 emergency services fees in certain areas of the county as prescribed in
35 section 9-500.23.

36 B. The county treasurer shall administer the fund and spend monies
37 in the fund only to defray the cost of converting or upgrading an
38 automated public information system as follows:

39 1. Purchasing computer hardware and software.

40 2. Training employees to operate the system.

41 3. Maintaining the system, including purchasing equipment
42 maintenance agreements.

43 4. Updating the system hardware and software.

44 5. In counties with a population of more than two million persons,
45 notifying property owners of the tax and ownership status of a taxpayer's
46 parcel prior to the taxpayer's parcel being sold at a deed sale and the
47 tax and ownership status of any parcels being sold at a deed sale that are
48 adjacent to a taxpayer's parcel, prior to the deed sale.

1 C. The county treasurer shall annually submit to the board of
2 supervisors the amount of anticipated revenues under this section. If the
3 projected revenues are considered to be insufficient to establish and
4 maintain the fund at an adequate level, the monies may accumulate until
5 sufficient monies are available in the fund.

6 Sec. 3. Section 11-496, Arizona Revised Statutes, is amended to
7 read:

8 11-496. Public records copy; proceeds of sale; agent duties;
9 surcharge; special district assessments; deposit

10 A. In addition to the fee prescribed by section 39-121.01,
11 subsection D, paragraph 1 or section 39-121.03, subsection A, the county
12 treasurer may impose a surcharge of not more than twenty-five ~~per cent~~
13 PERCENT of the fee charged for furnishing a copy, printout or photograph.

14 B. A county treasurer who is designated as a registrar pursuant to
15 section 35-491 may impose a surcharge of not more than twenty-five ~~per~~
16 cent PERCENT of the average fee charged by commercial bank trust
17 departments during the previous calendar year for discharging registrar,
18 transfer and paying agent duties.

19 C. The county treasurer may impose and collect a fee for expenses
20 directly related to the collection of special assessments for a community
21 facilities district pursuant to section 48-721, A STATE [HOUSING]
22 AFFORDABILITY [INFRASTRUCTURE] DISTRICT PURSUANT TO SECTION 48-7023 and a
23 revitalization district pursuant to section 48-6815 and for collecting
24 municipal fire and emergency services fees from owners of record in
25 certain areas of the county as prescribed in section 9-500.23.

26 D. The county treasurer shall deposit monies collected pursuant to
27 this section in the taxpayers' information fund established by section
28 11-495.

29 Sec. 4. Section 11-1102, Arizona Revised Statutes, is amended to
30 read:

31 11-1102. County development fees; imposition by counties;
32 infrastructure improvements plan; advisory
33 committee; annual report; limitation on actions;
34 definitions

35 A. A county may assess development fees to offset costs to the
36 county associated with providing necessary public services to a
37 development, including the costs of infrastructure, improvements, real
38 property, engineering and architectural services, financing and
39 professional services required for the preparation or revision of
40 a development ~~fee~~ FEES pursuant to this section, including the relevant
41 portion of the infrastructure improvements plan.

42 B. Development fees assessed under this section are subject to the
43 following requirements:

44 1. Development fees shall result in a beneficial use to the
45 development.

46 2. The county shall calculate the development ~~fee~~ FEES based on the
47 infrastructure improvements plan adopted pursuant to this section.

1 3. The development fees may not exceed a proportionate share of the
2 cost of necessary public services, based on service units, needed to
3 provide necessary public services to the development.

4 4. Costs for necessary public services made necessary by new
5 development shall be based on the same level of service provided to
6 existing development in the service area at the time the infrastructure
7 improvements plan is adopted.

8 5. Development fees may not be used for any of the following:

9 (a) Funding a level of service that is higher than the current
10 level of service provided to existing development at the time the
11 infrastructure improvements plan is adopted.

12 (b) Construction, acquisition or expansion of public facilities or
13 assets other than necessary public services or facility expansions
14 identified in the infrastructure improvements plan.

15 (c) Repair, operation or maintenance of existing or new necessary
16 public services or facility expansions.

17 (d) Upgrading, updating, expanding, correcting or replacing
18 existing necessary public services to serve existing development in order
19 to meet stricter safety, efficiency, environmental or regulatory
20 standards.

21 (e) Upgrading, updating, expanding, correcting or replacing
22 existing necessary public services to provide a higher level of service to
23 existing development.

24 (f) Administrative, maintenance or operating costs of the county.

25 6. Any development for which development fees have been paid is
26 entitled to the use and benefit of the services for which the development
27 fees were imposed and is entitled to receive immediate service from any
28 existing facility with available capacity to serve the new service units
29 if the available capacity has not been reserved or pledged in connection
30 with the construction or financing of the facility.

31 7. Development fees may be collected if any of the following
32 occurs:

33 (a) The collection is made to pay for a necessary public service or
34 facility expansion that is identified in the infrastructure improvements
35 plan and the county plans to complete construction and have the service
36 available within the time period established in the infrastructure
37 improvements plan, but not longer than the time period provided in
38 subsection J, paragraph 3 of this section.

39 (b) The county reserves capacity in the infrastructure improvements
40 plan adopted pursuant to this section or otherwise agrees to reserve
41 capacity to serve future development.

42 (c) The county requires or agrees to allow the owner of a
43 development to construct or finance the necessary public service or
44 facility expansion and any of the following applies:

45 (i) The costs incurred or monies advanced are credited against or
46 reimbursed from the development fees otherwise due from a development.
47 The amount of credits issued shall equal the costs identified by the
48 county in the infrastructure improvements plan associated with the

1 construction of the necessary public services or facility expansions. The
2 county shall allow the owner to assign the credits from the development
3 fees otherwise due from a development and any excess credits to other
4 developments for the same category of necessary public services in the
5 same service area.

6 (ii) The county reimburses the owner for those costs from the
7 development fees paid from all developments that will use those necessary
8 public services or facility expansions. The county shall allow the owner
9 to assign the reimbursement rights to other developments for the same
10 category of necessary public services in the same service area.

11 8. Projected interest charges and other finance costs may be
12 included in determining the amount of development fees only if the monies
13 are used for the payment of principal and interest on the portion of the
14 bonds, notes or other obligations issued to finance construction of
15 necessary public services or facility expansions identified in the
16 infrastructure improvements plan.

17 9. Monies received from development fees shall be placed in a
18 separate fund and accounted for separately and may only be used for the
19 purposes authorized by this section. Monies received from development
20 fees identified in an infrastructure improvements plan adopted or updated
21 pursuant to subsection E of this section shall be used to provide the same
22 category of necessary public services or facilities expansions for which
23 the development fee was assessed and for the benefit of the same service
24 area as defined in the infrastructure improvements plan in which the
25 development fees were assessed. Interest earned on monies in the separate
26 fund shall be credited to the fund.

27 10. The county shall prescribe the schedule for paying the
28 development fees. Based on the costs identified in the infrastructure
29 improvements plan, the county shall provide a credit toward the payment of
30 the development fees for the required or agreed to dedication of public
31 sites, improvements and other necessary public services or facility
32 expansions included in the infrastructure improvements plan and for which
33 development fees are assessed, to the extent the public sites,
34 improvements and necessary public services or facility expansions are
35 provided by the developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED
36 UNDER TITLE 48, CHAPTER 4, ARTICLE 6 OR A STATE [HOUSING] AFFORDABILITY
37 [INFRASTRUCTURE] DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 40. On
38 request of the developer, instead of providing a credit toward the payment
39 of development fees, the county shall provide for reimbursement from the
40 development fees paid from all development that will use those public
41 sites, improvements or necessary public services or facility expansions of
42 the actual costs of the required or agreed to dedication of public sites,
43 improvements or other necessary public services or facility expansions
44 included in the infrastructure improvements plan and for which development
45 fees are assessed, to the extent the public sites, improvements and
46 necessary public services or facility expansions are provided by the
47 developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED UNDER TITLE 48,
48 CHAPTER 4, ARTICLE 6 OR A STATE [HOUSING] AFFORDABILITY [INFRASTRUCTURE]

1 DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 40. The developer of
2 residential dwelling units shall be required to pay the fees when
3 construction permits for the dwelling units are issued, or at a later time
4 if specified in the development agreement pursuant to section 11-1101. If
5 a development agreement provides for development fees to be paid at a time
6 later than the issuance of construction permits, the deferred development
7 fees shall be paid not later than fifteen days after the issuance of a
8 certificate of occupancy. The development agreement shall provide for the
9 value of any deferred development fees to be supported by an appropriate
10 security, including a surety bond, letter of credit or cash bond.

11 11. If a county requires as a condition of development approval the
12 construction or improvement of, contributions to or dedication of any
13 facilities that were not included in a previously adopted infrastructure
14 improvements plan, the county shall cause the infrastructure improvements
15 plan to be amended to include the facilities and shall provide a credit
16 toward the payment of development fees for the construction, improvement,
17 contribution or dedication of the facilities to the extent that the
18 facilities will substitute for or otherwise reduce the need for other
19 similar facilities in the infrastructure improvements plan for which
20 development fees were assessed. If a county requires as a condition of
21 development approval the set aside of active or passive open space, the
22 county shall issue a credit toward any development fees identified in the
23 infrastructure improvements plan to fund any park facilities or facility
24 expansion. On request of the individual or entity seeking development
25 approval, instead of issuing a credit toward the payment of development
26 fees, the county shall provide for reimbursement from the development fees
27 paid from all development that will use those facilities or facility
28 expansions of the actual costs of the construction or improvement of,
29 contributions to or dedication of the public facilities required as a
30 condition of development approval.

31 12. The county shall forecast the contribution to be made in the
32 future in cash, taxes, fees, assessments and all other sources of revenue
33 derived from the property owner towards the capital costs of the necessary
34 public service covered by the development fees.

35 13. If development fees are assessed against residential
36 development, the county shall also assess development fees against
37 commercial and industrial development. The county may distinguish between
38 different categories of residential, commercial and industrial development
39 in assessing the costs to the county of providing necessary public
40 services to new development and in determining the amount of the
41 development fees applicable to the category, except that the county may
42 not distinguish residential developments on the basis of the size of the
43 dwelling unit or number of bedrooms. If a county agrees to waive any of
44 the development fees assessed on a development, the county shall reimburse
45 the appropriate development fees accounts for the amount that was
46 waived. The county shall provide notice of any such waiver to the
47 advisory committee established pursuant to subsection I of this section.

1 14. In determining and assessing development fees applying to land
2 in a community facilities district established under title 48, chapter 4,
3 article 6, the county shall take into account all public infrastructure
4 provided by the district and capital costs paid by the district for
5 necessary public services and shall not assess a portion of the
6 development fees based on the infrastructure or costs.

7 15. The county shall not assess or collect development fees from a
8 school district or charter school, other than fees assessed or collected
9 for streets and water and wastewater utility functions.

10 C. Before assessing development fees, the county shall:

11 1. Give at least thirty days' advance notice of intention to assess
12 new or increased development fees.

13 2. Release to the public and post on the county's website a written
14 report of the land use assumptions and infrastructure improvements plan
15 adopted pursuant to subsection E of this section.

16 3. Conduct a public hearing on the proposed development fees at any
17 time after the expiration of the thirty-day notice of intention to assess
18 development fees and at least thirty days before the scheduled date of
19 adoption of the development fees. Within sixty days after the date of the
20 public hearing on the proposed development fees, the county shall approve
21 or disapprove the imposition of the development fees. A county may not
22 adopt an ordinance, order or resolution approving development fees as an
23 emergency measure.

24 D. Development fees assessed pursuant to this section are not
25 effective for at least ninety days after formal adoption by the board of
26 supervisors.

27 E. Before the adoption or amendment of development fees or
28 amendment of the boundaries of a service area, the board of supervisors
29 shall adopt or update the land use assumptions and infrastructure
30 improvements plan for the designated service area. The county shall
31 conduct a public hearing on the land use assumptions and infrastructure
32 improvements plan at least thirty days before the adoption or update of
33 the infrastructure improvements plan. The county shall release the
34 infrastructure improvements plan to the public, post the infrastructure
35 improvements plan on the county's website, including in the posting the
36 land use assumptions, the time period of the projections, a description of
37 the necessary public services included in the infrastructure improvements
38 plan and a map of the service area to which the land use assumptions
39 apply, make available to the public the documents used to prepare the land
40 use assumptions and infrastructure improvements plan and provide public
41 notice at least sixty days before the public hearing, subject to the
42 following:

43 1. The land use assumptions and infrastructure improvements plan
44 shall be approved or disapproved within sixty days after the public
45 hearing on the land use assumptions and infrastructure improvements plan
46 and at least thirty days before the public hearing on the report required
47 by subsection C of this section. A county may not adopt an ordinance,

1 order or resolution approving the land use assumptions or infrastructure
2 improvements plan as an emergency measure.

3 2. An infrastructure improvements plan shall be developed by
4 qualified professionals using generally accepted engineering and planning
5 practices pursuant to subsection F of this section.

6 3. A county shall update the land use assumptions and
7 infrastructure improvements plan at least every five years. The initial
8 five-year period begins on the day the infrastructure improvements plan is
9 adopted. The county shall review and evaluate the current land use
10 assumptions and shall cause an update of the infrastructure improvements
11 plan to be prepared pursuant to this section.

12 4. Within sixty days after completion of the updated land use
13 assumptions and infrastructure improvements plan, the county shall
14 schedule and provide notice of a public hearing to discuss and review the
15 update and shall determine whether to amend the land use assumptions and
16 infrastructure improvements plan.

17 5. A county shall hold a public hearing to discuss the proposed
18 amendments to the land use assumptions, the infrastructure improvements
19 plan or the development fees. The land use assumptions and the
20 infrastructure improvements plan, including the amount of any proposed
21 changes to the development fees per service unit, shall be made available
22 to the public on or before the date of the first publication of the notice
23 of the hearing on the amendments.

24 6. The hearing procedures prescribed in paragraph 1 of this
25 subsection apply to a hearing on the amendment of land use assumptions, an
26 infrastructure improvements plan or development fees. Within sixty days
27 after the date of the public hearing on the amendments, a county shall
28 approve or disapprove the amendments to the land use assumptions,
29 infrastructure improvements plan or development fees. A county may not
30 adopt an ordinance, order or resolution approving the amended land use
31 assumptions, infrastructure improvements plan or development fees as an
32 emergency measure.

33 7. The advisory committee established under subsection I of this
34 section shall file its written comments on any proposed or updated land
35 use assumptions, infrastructure improvements plan and development fees
36 before the fifth business day before the date of the public hearing on the
37 proposed or updated land use assumptions, infrastructure improvements plan
38 and development fees.

39 8. If, at the time an update as prescribed in paragraph 3 of this
40 subsection is required, the county determines that no changes to the land
41 use assumptions, infrastructure improvements plan or development fees are
42 needed, the county, as an alternative to the updating requirements of this
43 subsection, may publish notice of the determination on the county's
44 website that includes the following:

45 (a) A statement that the county has determined that no change to
46 the land use assumptions, infrastructure improvements plan or development
47 fees is necessary.

1 (b) A description and map of the service area in which an update
2 has been determined to be unnecessary.

3 (c) A statement that by a specified date, which shall be at least
4 sixty days after the date of publication of the first notice, a person may
5 request to the county in writing that the county update the land use
6 assumptions, infrastructure improvements plan or development fees.

7 (d) A statement identifying the person or entity to whom the
8 written request for an update should be sent.

9 9. If, by the date specified pursuant to paragraph 8 of this
10 subsection, a person requests in writing that the county update the land
11 use assumptions, infrastructure improvements plan or development fees, the
12 county shall cause, accept or reject an update of the land use
13 assumptions, infrastructure improvements plan or development fees to be
14 prepared pursuant to this section.

15 10. Notwithstanding the notice and hearing requirements for
16 adoption of an infrastructure improvements plan, the county may amend an
17 infrastructure improvements plan without a public hearing if the amendment
18 addresses only elements of necessary public services in the existing
19 infrastructure improvements plan and the changes to the plan will not,
20 individually or cumulatively with other amendments adopted pursuant to
21 this subsection, increase the level of service in the service area or
22 cause an increase in development fees that is greater than five percent
23 when new or modified development fees are assessed pursuant to this
24 section. The county shall provide notice of the amendment at least thirty
25 days before adoption, shall post the amendment on the county's website and
26 shall provide notice to the advisory committee established pursuant to
27 subsection I of this section that the amendment complies with this
28 subsection.

29 F. For each necessary public service that is the subject of
30 development fees, the infrastructure improvements plan shall include:

31 1. A description of the existing necessary public services in the
32 service area and the costs to upgrade, update, improve, expand, correct or
33 replace those necessary public services to meet existing needs and usage
34 and stricter safety, efficiency, environmental or regulatory standards.
35 The description shall be prepared by qualified professionals who are
36 licensed in this state, as applicable.

37 2. An analysis of the total capacity, the level of current usage
38 and commitments for usage of capacity of the existing necessary public
39 services. The analysis shall be prepared by qualified professionals who
40 are licensed in this state, as applicable.

41 3. A description of all or the parts of the necessary public
42 services or facility expansions and their costs necessitated by and
43 attributable to new development in the service area based on the approved
44 land use assumptions, including a forecast of the cost of infrastructure,
45 improvements, real property, financing, engineering and architectural
46 services. The description shall be prepared by qualified professionals
47 who are licensed in this state, as applicable.

1 4. A table that establishes the specific level or quantity of use,
2 consumption, generation or discharge of a service unit for each category
3 of necessary public services or facility expansions and an equivalency or
4 conversion table that establishes the ratio of a service unit to various
5 types of land uses, including residential, commercial and industrial.

6 5. A description of all the costs necessitated by ongoing
7 maintenance and operations of the necessary public services once
8 construction is completed and a description of the source of revenue to be
9 used to fund the maintenance and operations.

10 6. The total number of projected service units necessitated by and
11 attributable to new development in the service area based on the approved
12 land use assumptions and calculated pursuant to generally accepted
13 engineering and planning criteria.

14 7. The projected demand for necessary public services or facility
15 expansions required by new service units for a period of not more than ten
16 years.

17 8. A forecast of revenues generated by new service units other than
18 development fees, including estimated state shared revenue, highway user
19 revenue, federal revenue, ad valorem property taxes, construction
20 contracting or similar excise taxes and the capital recovery portion of
21 utility fees attributable to development based on the approved land use
22 assumptions, and a plan to include these contributions in determining the
23 extent of the burden imposed by the development as required in subsection
24 B, paragraph 12 of this section.

25 G. A county's infrastructure improvements plan may identify
26 necessary public services or facility expansions that the county plans to
27 construct beyond the time period provided for in subsection J, paragraph 3
28 of this section but may not include the costs of those necessary public
29 services or facility expansions in the calculation of development fees.

30 H. A county's development fees ordinance shall provide:

31 1. That new development fees or an increased portion of modified
32 development fees may not be assessed against a development for twenty-four
33 months after the date that the county issues the final approval for a
34 commercial, industrial or multifamily development or the date that the
35 first building permit is issued for a residential development pursuant to
36 an approved site plan or subdivision plat, only if subsequent changes are
37 not made to the approved site plan or subdivision plat that would increase
38 the number of service units. If the number of service units increases,
39 the new or increased portion of modified development fees shall be limited
40 to the amount attributable to the additional service units. The period is
41 not extended by a renewal or amendment of the site plan or the final
42 subdivision plat that was the subject of the final approval. The county
43 shall issue, on request, a written statement of the development fees
44 schedule applicable to the development. If, after the date of the
45 county's final approval of a development, the county reduces the
46 development fees assessed on development, the reduced fees shall apply to
47 the development.

1 2. A process for a development to request an alternative
2 development fee calculation or change in category of development that
3 appears on an adopted development fee schedule based on a projection that
4 the actual burdens and costs associated with the county's provision of
5 necessary public services or facility expansions to the development that
6 are to be paid by development fees will differ substantially from those
7 costs projected by the county or will be substantially less than the
8 amount projected to be paid by development fees. The county manager or
9 the county manager's designee shall review the request and make a
10 determination as to the development fee to be assessed. The assessed
11 development fee shall have a substantial nexus to the actual burdens and
12 costs associated with providing the necessary public services or facility
13 expansions to that development that are to be funded by development fees.
14 The determination of the county manager is appealable to the board of
15 supervisors.

16 I. A county shall do one of the following:

17 1. Before the adoption of the proposed or updated land use
18 assumptions, infrastructure improvements plan and development fees as
19 prescribed in subsection E of this section, appoint an infrastructure
20 improvements advisory committee, subject to the following requirements:

21 (a) The advisory committee shall be composed of at least five
22 members who are appointed by the board of supervisors. At least fifty
23 percent of the members of the advisory committee must be representatives
24 of the real estate, development or building industries, of which at least
25 one member of the committee must be from the home building industry.
26 Members may not be employees or officials of the county.

27 (b) The advisory committee shall serve in an advisory capacity and
28 shall:

29 (i) Advise the county in adopting land use assumptions and in
30 determining whether the assumptions are in conformance with the general
31 plan of the county.

32 (ii) Review the infrastructure improvements plan and file written
33 comments.

34 (iii) Monitor and evaluate implementation of the infrastructure
35 improvements plan.

36 (iv) Every year file reports with respect to the progress of the
37 infrastructure improvements plan and the collection and expenditures of
38 development fees and report to the county any perceived inequities in
39 implementing the infrastructure improvements plan or assessing the
40 development fees.

41 (v) Advise the county of the need to update or revise the land use
42 assumptions, infrastructure improvements plan and development fees.

43 (c) The county shall make available to the advisory committee any
44 professional reports with respect to developing and implementing the
45 infrastructure improvements plan.

46 (d) The county shall adopt procedural rules for the advisory
47 committee to follow in carrying out the advisory committee's duties.

1 2. Provide for a biennial certified audit of the county's land use
2 assumptions, infrastructure improvements plan and development fees. An
3 audit pursuant to this paragraph shall be conducted by one or more
4 qualified professionals who are not employees or officials of the county
5 and who did not prepare the infrastructure improvements plan. The audit
6 shall review the progress of the infrastructure improvements plan,
7 including the collection and expenditures of development fees for each
8 project in the infrastructure improvements plan, and evaluate any
9 inequities in implementing the infrastructure improvements plan or
10 imposing the development fees. The county shall post the findings of the
11 audit on the county's website and shall conduct a public hearing on the
12 audit within sixty days after the release of the audit to the public.

13 J. On written request, an owner of real property for which
14 development fees have been paid after December 31, 2020 is entitled to a
15 refund of the development fees or any part of the development fees if:

16 1. Pursuant to subsection B, paragraph 6 of this section, existing
17 facilities are available and service is not provided.

18 2. The county, after collecting the fees to construct a facility
19 when service is not available, has failed to complete construction within
20 the time period identified in the infrastructure improvements plan, but in
21 no event later than the time period specified in paragraph 3 of this
22 subsection.

23 3. For development fees other than development fees for water or
24 wastewater facilities, any part of the development fees is not spent as
25 authorized by this section within ten years after the fees have been paid
26 or, for development fees for water or wastewater facilities, any part of
27 the development fees is not spent as authorized by this section within
28 fifteen years after the development fees have been paid.

29 K. If the development fees were collected for the construction of
30 all or a portion of a specific item of infrastructure, and on completion
31 of the infrastructure the county determines that the actual cost of
32 construction was less than the forecasted cost of construction on which
33 the development fees were based and the difference between the actual and
34 estimated cost is greater than ten percent, the current owner may receive
35 a refund of the portion of the development fees equal to the difference
36 between the development fees paid and the development fees that would have
37 been due if the development fees had been calculated at the actual
38 construction cost.

39 L. A refund shall include any interest earned by the county from
40 the date of collection to the date of refund on the amount of the refunded
41 fees. All refunds shall be paid to the owner of record of the property at
42 the time the refund is paid. If the development fees are paid by a
43 governmental entity, the refund shall be paid to the governmental entity.

44 M. Development fees that were adopted before January 1, 2017 may
45 continue to be assessed only to the extent that the development fees will
46 be used to provide a necessary public service for which development fees
47 can be assessed pursuant to this section and shall be replaced by
48 development fees imposed under this section on or before January 1, 2021.

1 Any county having development fees that have not been replaced under this
2 section on or before January 1, 2021 may not collect development fees
3 until the development fees have been replaced with fees that comply with
4 this section. Development fees adopted or amended by a county after
5 January 1, 2017 shall comply with this section. Any development fees
6 monies collected before January 1, 2017 remaining in a development fees
7 account:

8 1. Shall be used ~~towards~~ TOWARD the same category of necessary
9 public services as authorized by this section.

10 2. ~~And THAT WERE~~ collected for a purpose not authorized by this
11 section shall be used for the purpose for which the development fees were
12 collected on or before January 1, 2024, and after which, if not spent,
13 shall be distributed equally among the categories of necessary public
14 services authorized by this section.

15 N. A moratorium may not be placed on development for the sole
16 purpose of awaiting completion of all or any part of the process necessary
17 to develop, adopt or update development fees.

18 O. In any judicial action interpreting this section all powers
19 conferred on a county by this section shall be narrowly construed to
20 ensure that development fees are not used to impose on new residents a
21 burden all taxpayers of a county should bear equally.

22 P. Each county that assesses development fees shall submit an
23 annual report accounting for the collection and use of the fees for each
24 service area. The annual report shall include the following:

25 1. The amount assessed by the county for each type of development
26 fee.

27 2. The balance of each fund maintained for each type of development
28 fee assessed as of the beginning and end of the fiscal year.

29 3. The amount of interest or other earnings on the monies in each
30 fund as of the end of the fiscal year.

31 4. The amount of development fee monies used to repay:

32 (a) Bonds issued by the county to pay the cost of a necessary
33 public service that is the subject of a development fees assessment,
34 including the amount needed to repay the debt service obligations on each
35 facility for which development fees have been identified as the source of
36 funding and the time frames in which the debt service will be repaid.

37 (b) Monies advanced by the county from funds other than the funds
38 established for development fees in order to pay the cost of a necessary
39 public service that is the subject of a development fees assessment, the
40 total amount advanced by the county for each facility, the source of the
41 monies advanced and the terms under which the monies will be repaid to the
42 county.

43 5. The amount of development fees monies spent on each necessary
44 public service or facility expansion that is the subject of a development
45 fees assessment and the physical location of each capital improvement
46 project.

1 6. The amount of development fees monies spent for each purpose
2 other than a necessary public service or facility expansion that is the
3 subject of a development fees assessment.

4 Q. Within ninety days following the end of each fiscal year, each
5 county shall submit a copy of the annual report to the clerk of the board
6 of supervisors and post the annual report on the county's website. Copies
7 shall be made available to the public on request. The annual report may
8 contain financial information that has not been audited.

9 R. A county that fails to file the report and post the annual
10 report on the county's website as required by this section shall not
11 collect development fees until the report is filed and posted.

12 S. Any action to collect development fees shall be commenced within
13 two years after the obligation to pay the development fees accrues.

14 T. A county may continue to assess development fees adopted before
15 January 1, 2017 for any facility that was financed before June 1, 2016 if:

16 1. Development fees were pledged to repay debt service obligations
17 related to the construction of the facility.

18 2. After January 1, 2018, any development fees collected under this
19 subsection are used solely for the payment of principal and interest on
20 the portion of the bonds, notes or other debt service obligations issued
21 before June 1, 2016 to finance construction of the facility.

22 U. Through January 1, 2018, development fees adopted before January
23 1, 2017 may be used to finance construction of a facility and may be
24 pledged to repay debt service obligations if:

25 1. The facility that is being financed is a facility that is
26 described under subsection V, paragraph 7, subdivision (a), (b), (c), (d)
27 or (e) of this section.

28 2. The facility was included in an infrastructure improvements plan
29 adopted before June 1, 2016.

30 3. The development fees are used for the payment of principal and
31 interest on the portion of the bonds, notes or other debt service
32 obligations issued to finance construction of the necessary public
33 services or facility expansions identified in the infrastructure
34 improvements plan.

35 V. For the purposes of this section:

36 1. "Dedication" means the actual conveyance date or the date an
37 improvement, facility or real or personal property is placed into service,
38 whichever occurs first.

39 2. "Development" means:

40 (a) The subdivision of land.

41 (b) The construction, reconstruction, conversion, structural
42 alteration, relocation or enlargement of any structure that adds or
43 increases the number of service units.

44 (c) Any use or extension of the use of land that increases the
45 number of service units.

46 3. "Facility expansion" means the expansion of the capacity of an
47 existing facility that serves the same function as an otherwise new
48 necessary public service in order that the existing facility may serve new

1 development. Facility expansion does not include the repair, maintenance,
2 modernization or expansion of an existing facility to better serve
3 existing development.

4 4. "Final approval" means, for nonresidential or multifamily
5 development, the approval of a site plan or, if no site plan is submitted
6 for the development, the approval of a final subdivision plat.

7 5. "Infrastructure improvements plan" means a written plan that
8 identifies each necessary public service or facility expansion that is
9 proposed to be the subject of development fees and otherwise complies with
10 the requirements of this section and may be the county's capital
11 improvements plan.

12 6. "Land use assumptions" means projections of changes in land
13 uses, densities, intensities and population for a specified service area
14 over a period of at least ten years and pursuant to the general plan of
15 the county.

16 7. "Necessary public service" means any of the following facilities
17 that have a life expectancy of three or more years and that are owned and
18 operated by or on behalf of the county:

19 (a) Water facilities, including the supply, transportation,
20 treatment, purification and distribution of water, and any appurtenances
21 for those facilities.

22 (b) Wastewater facilities, including collection, interception,
23 transportation, treatment and disposal of wastewater, and any
24 appurtenances for those facilities.

25 (c) Street facilities located in the service area, including
26 arterial or collector streets or roads that have been designated on an
27 officially adopted plan of the county, traffic signals and rights-of-way
28 and improvements thereon. Improvements to rights-of-way do not include
29 streetcars, railways or other forms of transportation and their
30 corresponding tracks.

31 (d) Public safety facilities, including all appurtenances,
32 equipment and vehicles. Public safety facilities do not include a
33 facility or portion of a facility that is used to replace services that
34 were once provided elsewhere in the county, vehicles and equipment used to
35 provide administrative services, helicopters or airplanes, paramilitary
36 vehicles, court and judicial facilities, facilities that are used for
37 training firefighters or officers from more than one station or substation
38 or jail, correctional or detention facilities.

39 (e) Neighborhood parks and recreational facilities on real property
40 up to thirty acres in area, or parks and recreational facilities larger
41 than thirty acres if the facilities provide a direct benefit to the
42 development. Parks and recreational facilities do not include vehicles,
43 equipment of that portion of any facility that is used for amusement
44 parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural
45 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
46 clubhouses, community centers greater than three thousand square feet in
47 floor area, environmental education centers, equestrian facilities,
48 trails, golf course facilities, greenhouses, lakes, museums, theme parks,

1 water reclamation or riparian areas, wetlands, zoo facilities or similar
2 recreational facilities, but may include swimming pools and equipment or
3 improvements constituting accessory or incidental amenities to a park or
4 recreational facility allowed under this section.

5 (f) Any facility that was financed and that meets all of the
6 requirements prescribed in subsection T of this section.

7 8. "Qualified professional" means a professional engineer,
8 surveyor, financial analyst or planner providing services within the scope
9 of the person's license, education or experience.

10 9. "Service area" means any specified area within the boundaries of
11 a county in which development will be served by necessary public services
12 or facility expansions and within which a substantial nexus exists between
13 the necessary public services or facility expansions and the development
14 being served as prescribed in the infrastructure improvements plan.

15 10. "Service unit" means a standardized measure of consumption,
16 use, generation or discharge attributable to an individual unit of
17 development calculated using data specific to the service area in which
18 the facility will be located and pursuant to generally accepted
19 engineering or planning standards for a particular category of necessary
20 public services or facility expansions.

21 Sec. 5. Title 48, Arizona Revised Statutes, is amended by adding
22 chapter 40, to read:

23 CHAPTER 40

24 STATE ~~[HOUSING]~~ AFFORDABILITY ~~[INFRASTRUCTURE]~~ DISTRICTS

25 ARTICLE 1. GENERAL PROVISIONS

26 48-7001. Definitions

27 IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES:

28 1. "AD VALOREM TAX" MEANS THE SECONDARY PROPERTY TAXES LEVIED BY A
29 DISTRICT AGAINST THE NET ASSESSED LIMITED PROPERTY VALUATION OF REAL AND
30 PERSONAL PROPERTY IN THE DISTRICT.

31 2. "ASSESSMENT" MEANS A CHARGE FOR THE COSTS OF ANY PUBLIC
32 INFRASTRUCTURE PURPOSE LEVIED BY THE DISTRICT AGAINST SPECIFIC REAL
33 PROPERTY WITHIN THE DISTRICT FOR THE COSTS OF ANY PUBLIC INFRASTRUCTURE
34 PURPOSE BASED ON THE BENEFIT DETERMINED BY THE BOARD TO BE RECEIVED BY THE
35 SPECIFIC REAL PROPERTY AGAINST WHICH THE ASSESSMENT IS LEVIED.

36 3. "AUTHORITY" MEANS THE ARIZONA FINANCE AUTHORITY ESTABLISHED BY
37 SECTION 41-5352.

38 4. "BOARD" MEANS THE BOARD OF DIRECTORS OF A DISTRICT CREATED
39 PURSUANT TO THIS CHAPTER.

40 5. "BONDS":

41 (a) MEANS ANY BOND PRESCRIBED BY THIS CHAPTER AND ISSUED BY A
42 DISTRICT.

43 (b) INCLUDES GENERAL OBLIGATION BONDS, ASSESSMENT BONDS, REVENUE
44 BONDS AND REFUNDING BONDS.

45 6. "CLERK" MEANS THE PERSON APPOINTED BY THE BOARD TO BE THE
46 DISTRICT CLERK.

47 7. "COUNTY" MEANS THE COUNTY IN WHICH A DISTRICT IS FORMED PURSUANT
48 TO THIS CHAPTER.

1 8. "DEBT SERVICE" MEANS THE PRINCIPAL OF, INTEREST ON AND PREMIUM,
2 IF ANY, ON THE BONDS, WHEN DUE, WHETHER AT MATURITY OR PRIOR REDEMPTION
3 AND FEES AND COSTS OF REGISTRARS, TRUSTEES, PAYING AGENTS OR OTHER AGENTS
4 NECESSARY TO HANDLE THE BONDS AND THE COSTS OF CREDIT ENHANCEMENT OR
5 LIQUIDITY SUPPORT.

6 9. "DISTRICT" MEANS A STATE ~~[HOUSING]~~ AFFORDABILITY
7 ~~[INFRASTRUCTURE]~~ DISTRICT FORMED PURSUANT TO THIS CHAPTER.

8 10. "EXECUTIVE DIRECTOR" MEANS THE EXECUTIVE DIRECTOR OF THE
9 AUTHORITY OR THE EXECUTIVE DIRECTOR'S DESIGNEE.

10 11. "FINANCING PLAN" MEANS THE DISTRICT'S CAPITAL PLAN CONTAINING
11 FINANCIAL PROJECTIONS, ENGINEERING STUDIES, COST ALLOCATION, SEQUENCING
12 AND MARKET-VALUE ANALYSES.

13 12. "FORMATION ORDER" MEANS THE WRITTEN ORDER ISSUED BY THE
14 AUTHORITY EVIDENCING ITS FINAL APPROVAL OF THE FORMATION OF A DISTRICT
15 PURSUANT TO THIS CHAPTER.

16 13. "GENERAL PLAN" MEANS THE GENERAL PLAN DESCRIBED IN SECTION
17 48-7002, SUBSECTION B, AS THE PLAN MAY BE AMENDED.

18 14. "MARKET VALUE" HAS THE SAME MEANING AS PRESCRIBED IN SECTION
19 28-7091, AS INDICATED BY AN APPRAISAL OF THE REAL PROPERTY BY AN APPRAISER
20 WHO IS LICENSED OR CERTIFIED PURSUANT TO TITLE 32, CHAPTER 36.

21 15. "MAXIMUM AUTHORIZED TAX RATE" MEANS THE MAXIMUM TAX RATE FOR AD
22 VALOREM TAXES PLEDGED TO SECURE GENERAL OBLIGATION BONDS APPROVED AT AN
23 ELECTION AUTHORIZING THE LEVY OF AD VALOREM TAXES AND THE ISSUANCE OF
24 GENERAL OBLIGATION BONDS AND INDICATED IN THE PETITION, PROVIDED THAT THE
25 MAXIMUM AUTHORIZED TAX RATE SHALL NOT EXCEED \$10 PER \$100 OF NET LIMITED
26 ASSESSED PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE
27 DISTRICT [, AND PROVIDED FURTHER THAT IF, AS OF THE DATE THE PETITION TO
28 FORM THE DISTRICT IS SUBMITTED, THE TOTAL COUNTYWIDE PRIMARY AND SECONDARY
29 TAX RATE PER \$100 OF NET LIMITED ASSESSED PROPERTY VALUATION IN THE COUNTY
30 IN WHICH THE DISTRICT IS LOCATED EXCEEDS ONE HUNDRED TWENTY-FIVE PERCENT
31 OF THE STATEWIDE AVERAGE TOTAL COUNTYWIDE PRIMARY AND SECONDARY RATE, AS
32 SHOWN IN THE MOST RECENT ABSTRACT OF THE ASSESSMENT ROLL OR SIMILAR REPORT
33 PUBLISHED BY THE DEPARTMENT OF REVENUE, THEN THE MAXIMUM AUTHORIZED TAX
34 RATE SHALL NOT EXCEED \$6 PER \$100 OF NET LIMITED ASSESSED PROPERTY
35 VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE DISTRICT, UNLESS THE
36 GOVERNING BODY OF THE MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED, OR IF
37 THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, THE COUNTY IN WHICH THE
38 DISTRICT IS LOCATED, APPROVES A HIGHER MAXIMUM AUTHORIZED TAX RATE BY
39 WRITTEN CONSENT OR BY RESOLUTION].

40 16. "MUNICIPALITY" MEANS A CITY OR TOWN IN WHICH A DISTRICT IS
41 FORMED PURSUANT TO THIS CHAPTER.

42 17. "NET PREMIUM" MEANS THE DIFFERENCE BETWEEN THE PAR AMOUNT OF
43 THE GENERAL OBLIGATION BOND ISSUE AND THE GENERAL OBLIGATION BOND ISSUE
44 PRICE THAT IS DETERMINED PURSUANT TO UNITED STATES DEPARTMENT OF THE
45 TREASURY REGULATIONS.

46 18. "O/M TAX" MEANS A SECONDARY PROPERTY TAX LEVIED TO PAY THE
47 EXPENSES OF OPERATING, MAINTAINING AND ADMINISTERING THE DISTRICT AND THE
48 PUBLIC INFRASTRUCTURE FINANCED BY THE DISTRICT, INCLUDING LEGAL EXPENSES

1 AND EXPENSES ASSOCIATED WITH INSURANCE COVERAGE, AS APPROVED BY THE
2 DISTRICT IN ITS BUDGET.

3 19. "OWNER" MEANS THE PERSON OR ENTITY THAT, ON THE DAY THE ACTION,
4 ELECTION OR PROCEEDING IS BEGUN OR HELD, APPEARS TO BE THE FEE-TITLE OWNER
5 OF REAL PROPERTY AS SHOWN ON THE PROPERTY TAX ASSESSMENT ROLL.

6 20. "PETITION" MEANS A PETITION SUBMITTED TO THE AUTHORITY TO
7 INITIATE FORMATION OF A DISTRICT PURSUANT TO THIS CHAPTER.

8 21. "PETITIONER" MEANS THE PERSON OR ENTITY THAT INITIATES THE
9 FORMATION OF A DISTRICT BY SUBMITTING A PETITION TO THE AUTHORITY PURSUANT
10 TO THIS CHAPTER AND INCLUDES ANY SUCCESSOR OR ASSIGNEE OF THAT PERSON OR
11 ENTITY THAT THE AUTHORITY RECOGNIZES AS THE PETITIONER FOR THE PURPOSES OF
12 THE PETITION AND FORMATION ORDER.

13 22. "PUBLIC INFRASTRUCTURE" MEANS ALL IMPROVEMENTS LISTED IN THIS
14 PARAGRAPH THAT WILL RESULT IN A BENEFICIAL USE PRINCIPALLY TO LAND WITHIN
15 THE GEOGRAPHICAL LIMITS OF THE DISTRICT AND MAY INCLUDE A DISTRICT'S SHARE
16 OF ANY IMPROVEMENTS LISTED IN THIS PARAGRAPH IF THE DISTRICT BOARD
17 DETERMINES SUCH SHARE IS PROPORTIONATE TO THE BENEFICIAL USE OF SUCH
18 IMPROVEMENTS TO LAND WITHIN THE GEOGRAPHICAL LIMITS OF THE DISTRICT,
19 IMPROVEMENTS WITHIN OR OUTSIDE THE GEOGRAPHICAL LIMITS OF THE DISTRICT,
20 NECESSARY OR INCIDENTAL WORK, INCLUDING LAND CLEARANCE AND ENVIRONMENTAL
21 REMEDIATION ACTIVITIES, WHETHER NEWLY CONSTRUCTED, RENOVATED OR EXISTING,
22 AND ALL NECESSARY OR DESIRABLE APPURTENANCES. FOR THE PURPOSES OF THIS
23 PARAGRAPH, ADOPTION BY THE DISTRICT BOARD OF A RESOLUTION OF INTENT
24 PURSUANT TO SECTION 48-7008 SHALL CONCLUSIVELY ESTABLISH THAT THE
25 IMPROVEMENTS OR, IF APPLICABLE, SHARE OF THE IMPROVEMENTS THAT ARE THE
26 SUBJECT OF THE RESOLUTION WILL RESULT IN A BENEFICIAL USE PRINCIPALLY TO
27 LAND WITHIN THE GEOGRAPHICAL LIMITS OF THE DISTRICT. PUBLIC INFRASTRUCTURE
28 IMPROVEMENTS ARE:

29 (a) WATER, WASTEWATER, SEWER, STORMWATER AND FLOOD CONTROL
30 FACILITIES AND APPURTENANCES USED FOR THE DEVELOPMENT, TREATMENT, STORAGE,
31 CONVEYANCE, CONTROL, REUSE, DISTRIBUTION, CONNECTION AND LAWFUL
32 DISPOSITION OF POTABLE AND NONPOTABLE WATER, WASTEWATER, STORMWATER AND
33 FLOODWATERS FOR RESIDENTIAL, COMMERCIAL, GOVERNMENTAL, IRRIGATION AND
34 FIRE-SUPPRESSION USES, EXCLUDING INFRASTRUCTURE DEDICATED PRIMARILY TO
35 AGRICULTURAL IRRIGATION FACILITIES IMPACTED BY OTHER IMPROVEMENTS
36 AUTHORIZED BY THIS CHAPTER AND ENERGY AND UTILITY FACILITIES AND
37 APPURTENANCES USED FOR THE GENERATION, INTERCONNECTION, TRANSMISSION,
38 DISTRIBUTION, STORAGE AND CONTROL OF ELECTRIC POWER AND OTHER ENERGY
39 RESOURCES AND NATURAL GAS AND ALTERNATIVE FUEL PIPELINE AND DISTRIBUTION
40 FACILITIES, ALL TO THE EXTENT LOCATED WITHIN OR NECESSARY TO SERVE THE
41 DISTRICT.

42 (b) TRANSPORTATION AND MOBILITY FACILITIES, IMPROVEMENTS AND
43 APPURTENANCES USED TO PROVIDE VEHICULAR AND NON-VEHICULAR CIRCULATION,
44 ACCESS, EGRESS AND PARKING, INCLUDING STREETS, ROADS, HIGHWAYS, BRIDGES,
45 ALLEYS, PARKING FACILITIES, SIDEWALKS, TRAILS, PATHWAYS, BICYCLE
46 FACILITIES, EQUESTRIAN ROUTES AND OTHER AREAS AND IMPROVEMENTS INTENDED
47 FOR MOTORIZED AND NONMOTORIZED TRAVEL AND PARKING, AND, IF LOCATED WITHIN
48 OR NECESSARY TO SERVE THE DISTRICT, RAILWAY CORRIDORS, RAIL CROSSINGS,

1 GRADE SEPARATIONS, SIDINGS, SIGNALIZATION AND RELATED RAIL TRANSPORTATION
2 FACILITIES AND TRAFFIC MANAGEMENT AND CONTROL FACILITIES AND DEVICES,
3 INCLUDING SIGNALS, INTELLIGENT TRANSPORTATION SYSTEMS, CONTROLS, PAVEMENT
4 MARKINGS, WAYFINDING, SIGNAGE AND LIGHTING AND ILLUMINATIONS SYSTEMS,
5 INCLUDING STREET LIGHTING, PATHWAY LIGHTING, AREA LIGHTING AND RELATED
6 ELECTRICAL AND CONTROL FACILITIES.

7 (c) PUBLIC REALM AND OPEN SPACE AMENITIES, INCLUDING PEDESTRIAN
8 MALLS, PARKS, PLAZAS, RECREATIONAL FACILITIES OTHER THAN STADIUMS, AND
9 OTHER AREAS AND IMPROVEMENTS INTENDED FOR PUBLIC ENTERTAINMENT, ASSEMBLY,
10 AND RECREATION, TOGETHER WITH LANDSCAPING, GRADING, EARTHWORKS,
11 STRUCTURES, ~~[LAKES AND WATER FEATURES,]~~ PLANTINGS, TREES, IRRIGATION AND
12 WATER DELIVERY SYSTEMS AND RELATED SITE IMPROVEMENTS. [CONSTRUCTION OR
13 MAINTENANCE OF WATER PARKS OR DECORATIVE WATER FEATURES, INCLUDING LAKES,
14 PONDS OR LAGOONS, IS PROHIBITED, EXCEPT AS PROVIDED IN SECTION 45-132,
15 SUBSECTION B, PARAGRAPH 4.]

16 (d) PUBLIC BUILDINGS AND PUBLIC SAFETY FACILITIES, INCLUDING
17 POLICE, FIRE AND EMERGENCY SERVICES FACILITIES AND RELATED IMPROVEMENTS.

18 (e) COMMUNICATIONS AND DIGITAL INFRASTRUCTURE, INCLUDING
19 FIBEROPTIC, WIRELESS AND BROADBAND FACILITIES, CONDUITS, TOWERS, ANTENNAS,
20 DATA TRANSMISSION SYSTEMS, NETWORK EQUIPMENT, PUBLIC SAFETY COMMUNICATIONS
21 FACILITIES, AND RELATED APPURTENANCES AND RIGHTS-OF-WAY.

22 (f) EQUIPMENT, VEHICLES, FURNISHINGS, TECHNOLOGY AND OTHER PERSONAL
23 PROPERTY AND APPURTENANCES RELATED TO OR NECESSARY FOR THE OPERATION OF
24 ANY PUBLIC INFRASTRUCTURE AUTHORIZED BY THIS CHAPTER.

25 (g) REFINANCING ANY MATURED OR UNMATURED BONDS WITH NEW BONDS.

26 23. "PUBLIC INFRASTRUCTURE PURPOSE" MEANS:

27 (a) PLANNING, DESIGNING, ENGINEERING, CONSTRUCTING, ACQUIRING OR
28 INSTALLING OF PUBLIC INFRASTRUCTURE.

29 (b) ACQUIRING, CONVERTING, RENOVATING OR IMPROVING EXISTING
30 FACILITIES FOR PUBLIC INFRASTRUCTURE.

31 (c) ACQUIRING INTERESTS IN REAL PROPERTY FOR PUBLIC INFRASTRUCTURE.

32 (d) ESTABLISHING, MAINTAINING AND REPLENISHING RESERVES IN ORDER TO
33 SECURE PAYMENT OF DEBT SERVICE ON BONDS.

34 (e) FUNDING AND PAYING FROM BOND PROCEEDS INTEREST ACCRUING ON
35 BONDS FOR A PERIOD OF NOT TO EXCEED THREE YEARS AFTER THEIR DATE OF
36 ISSUANCE AND COSTS OF ISSUANCE OF THE BONDS AND UNDERWRITER AND PLACEMENT
37 AGENT FEES.

38 (f) PROVIDING FOR THE TIMELY PAYMENT OF DEBT SERVICE ON
39 INDEBTEDNESS OF THE DISTRICT OR OF DEVELOPMENT FEES OR SIMILAR EXACTIONS
40 IMPOSED BY A MUNICIPALITY OR OTHER PUBLIC ENTITY, TO THE EXTENT THOSE
41 CHARGES ARE IMPOSED TO FUND PUBLIC INFRASTRUCTURE THAT IS LOCATED WITHIN,
42 PRIMARILY SERVES OR IS NECESSITATED BY DEVELOPMENT WITHIN THE DISTRICT.

43 (g) REFINANCING ANY MATURED OR UNMATURED BONDS WITH NEW BONDS.

44 (h) INCURRING EXPENSES OF THE DISTRICT THAT ARE INCIDENTAL TO AND
45 REASONABLY NECESSARY TO CARRY OUT THE PURPOSES SPECIFIED IN THIS
46 PARAGRAPH.

47 24. "QUALIFIED ELECTOR" MEANS A PERSON WHO IS A QUALIFIED ELECTOR
48 PURSUANT TO TITLE 16 AND WHO RESIDES WITHIN THE BOUNDARIES OF A DISTRICT.

1 25. "TREASURER" MEANS THE PERSON APPOINTED BY THE BOARD TO BE THE
2 DISTRICT TREASURER.

3 48-7002. Petition to form district: contents of petition:
4 filings: limitation of liability

5 A. A STATE ~~[HOUSING]~~ AFFORDABILITY [INFRASTRUCTURE] DISTRICT MAY BE
6 FORMED PURSUANT TO THIS CHAPTER BY PETITION OF ALL INDIVIDUALS AND
7 ENTITIES HAVING FEE-TITLE OWNERSHIP OF ALL REAL PROPERTY IN THE PROPOSED
8 DISTRICT. THE PETITION SHALL BE SUBMITTED TO THE AUTHORITY. THE DISTRICT
9 MAY INCLUDE CONTIGUOUS OR NONCONTIGUOUS PROPERTY, PROVIDED THAT ALL
10 NONCONTIGUOUS PROPERTY SHALL BE LOCATED IN THE SAME COUNTY AND SHALL LIE
11 WITHIN FIVE MILES OF THE BOUNDARY OF OTHER PROPERTY WITHIN THE DISTRICT,
12 MEASURED IN A STRAIGHT LINE BETWEEN SUCH PARCEL BOUNDARIES. IF ANY
13 PORTION OF A DISTRICT IS LOCATED WITHIN THE CORPORATE LIMITS OF A
14 MUNICIPALITY, THE ENTIRE DISTRICT SHALL AT ALL TIMES BE LOCATED WITHIN THE
15 CORPORATE LIMITS OR WITHIN THE ADOPTED PLANNING AREA OF THAT MUNICIPALITY,
16 AS SUCH LIMITS OR PLANNING AREA MAY BE AMENDED FROM TIME TO TIME. ~~[ANY~~
17 ~~LAND WITHIN THE DISTRICT THAT IS LOCATED WITHIN THE ADOPTED PLANNING AREA~~
18 ~~OF A MUNICIPALITY SHALL BE SUBJECT TO A CURRENT WRITTEN ANNEXATION OR PRE-~~
19 ~~ANNEXATION AGREEMENT BETWEEN THE MUNICIPALITY AND THE OWNERS OF THAT~~
20 ~~LAND.]~~

21 B. THE PETITION SHALL CONTAIN ALL OF THE FOLLOWING:

22 1. A METES AND BOUNDS DESCRIPTION AND A MAP OF THE DISTRICT
23 BOUNDARIES.

24 2. THE PROPOSED NAME OF THE DISTRICT.

25 3. A GENERAL PLAN SETTING OUT A GENERAL DESCRIPTION OF THE PUBLIC
26 INFRASTRUCTURE FOR WHICH THE DISTRICT IS PROPOSED TO BE FORMED AND FOR
27 WHICH BONDS MAY BE ISSUED, THE GENERAL AREAS TO BE IMPROVED AND THE
28 ESTIMATED COSTS OF CONSTRUCTING OR ACQUIRING THE PUBLIC INFRASTRUCTURE TO
29 BE FINANCED, CONSTRUCTED OR ACQUIRED BY THE DISTRICT.

30 4. A GENERAL DESCRIPTION OF THE ESTIMATED COST OF ENGINEERING
31 SERVICES, LEGAL SERVICES, ADMINISTRATIVE SERVICES AND OTHER MAJOR EXPENSES
32 THAT ARE RELATED TO ORGANIZING AND INITIALLY OPERATING THE DISTRICT.

33 5. AN ENGINEER'S ESTIMATE OF THE COSTS OF THE PUBLIC INFRASTRUCTURE
34 FOR WHICH THE DISTRICT IS PROPOSED TO BE FORMED AND FOR WHICH BONDS MAY BE
35 ISSUED.

36 6. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AGGREGATE PRINCIPAL
37 AMOUNT OF GENERAL OBLIGATION BONDS AND THE MAXIMUM AGGREGATE ASSESSMENT
38 AMOUNT, IF ANY.

39 7. THE MAXIMUM O/M TAX RATE, IF ANY.

40 8. A PRELIMINARY FINANCING PLAN THAT INCLUDES THE ANTICIPATED
41 SOURCES AND USES OF MONIES FOR THE PUBLIC INFRASTRUCTURE.

42 9. IF THE DISTRICT PROPOSES TO ISSUE ASSESSMENT BONDS, AN APPRAISAL
43 INDICATING THE AGGREGATE AS-IS MARKET VALUE OF REAL PROPERTY IN THE
44 DISTRICT AND THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND
45 IMPROVEMENTS IN THE DISTRICT AFTER COMPLETION OF THE PUBLIC INFRASTRUCTURE
46 PROPOSED TO BE FINANCED WITH SUCH ASSESSMENT BONDS.

47 10. IF THE DISTRICT PROPOSES TO ISSUE GENERAL OBLIGATION BONDS, A
48 THIRD-PARTY MARKET STUDY THAT INCLUDES PROJECTIONS OF THE LIMITED PROPERTY

1 VALUE OF REAL PROPERTY IN THE DISTRICT FOR EACH YEAR IN WHICH GENERAL
2 OBLIGATION BONDS ARE PROPOSED TO BE OUTSTANDING TOGETHER WITH INFORMATION
3 DEMONSTRATING THAT DEBT SERVICE ON SUCH BONDS CAN BE SUPPORTED WITHIN THE
4 MAXIMUM AUTHORIZED TAX RATE.

5 11. A STATEMENT OF ALL HOLDERS OF FEE TITLE TO ALL REAL PROPERTY IN
6 THE DISTRICT, THE INITIAL BOARD MEMBERS, THE INITIAL TERMS OF OFFICE OF
7 THE INITIAL BOARD MEMBERS AND THE DISTRICT CLERK AND THE DISTRICT
8 TREASURER.

9 12. A STATEMENT OF BOND COUNSEL INDICATING THAT THE PETITION
10 COMPLIES WITH THE PROCEDURAL REQUIREMENTS OF THIS SECTION.

11 13. A COPY OF ANY EXISTING AND APPLICABLE DEVELOPMENT AGREEMENT OR
12 OTHER AGREEMENT WITH THE MUNICIPALITY OR THE COUNTY THAT RELATES TO PUBLIC
13 INFRASTRUCTURE AND THAT IS RECORDED AGAINST THE LAND INCLUDED WITHIN THE
14 BOUNDARIES OF THE DISTRICT AND A CERTIFICATION BY THE PETITIONER THAT THE
15 FORMATION OF THE DISTRICT WILL NOT VIOLATE ANY SUCH AGREEMENT.

16 14. A WRITTEN STATEMENT, SIGNED BY AN ENGINEER, CERTIFYING THAT THE
17 ESTIMATED COST OF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED IN THE
18 PROPOSED DISTRICT EXCEEDS \$5,000,000.

19 [15. A SUMMARY OF THE ANTICIPATED COMMUNITY BENEFITS OF FORMING THE
20 DISTRICT, INCLUDING EXPECTED IMPACTS ON PUBLIC INFRASTRUCTURE TIMING,
21 HOUSING ATTAINABILITY AND ECONOMIC DEVELOPMENT, TOGETHER WITH A
22 DESCRIPTION OF ANY MATERIAL RISKS ASSOCIATED WITH DISTRICT FORMATION AND
23 IMPLEMENTATION OF THE GENERAL PLAN, INCLUDING POTENTIAL TAX, ASSESSMENT
24 AND FISCAL IMPACTS ON OWNERS OF REAL PROPERTY IN THE DISTRICT.]

25 ~~[15.]~~ [16.] A FORMATION ORDER IN SUBSTANTIALLY FINAL AND RECORDABLE
26 FORM.

27 ~~[16.]~~ [17.] A DESCRIPTION OF THE PETITIONER, INCLUDING:

28 (a) THE LEGAL NAME OF EACH ENTITY OR INDIVIDUAL HAVING FEE-TITLE
29 OWNERSHIP OF ANY REAL PROPERTY IN THE PROPOSED DISTRICT.

30 (b) THE NAME, ADDRESS AND TELEPHONE NUMBER OF THE PRIMARY CONTACT
31 FOR THE PETITIONER.

32 (c) THE NAMES OF ANY LEGAL REPRESENTATIVES, ENGINEERS, ARCHITECTS,
33 FINANCIAL CONSULTANTS OR OTHER CONSULTANTS THAT ARE SIGNIFICANTLY INVOLVED
34 IN THE PETITION.

35 (d) A GENERAL DESCRIPTION OF THE PETITIONER'S EXPERIENCE WITH
36 SIMILAR TYPES OF DEVELOPMENTS THAT THE DISTRICT WILL SUPPORT.

37 C. ANY FINANCIAL BURDEN OF A DISTRICT IS BORNE SOLELY BY THE
38 DISTRICT AND IS NOT BORNE BY THE AUTHORITY, THIS STATE OR ANY
39 MUNICIPALITY, COUNTY OR OTHER POLITICAL SUBDIVISION OF THIS STATE. ANY
40 LIABILITY, JUDGMENT OR CLAIM AGAINST A DISTRICT IS THE SOLE RESPONSIBILITY
41 OF THE DISTRICT AND DOES NOT CONSTITUTE A LIABILITY, JUDGMENT OR CLAIM
42 AGAINST THE AUTHORITY, THIS STATE OR ANY MUNICIPALITY, COUNTY OR OTHER
43 POLITICAL SUBDIVISION OF THIS STATE.

1 D. THE PETITION SHALL BE FILED WITH THE AUTHORITY. THE PETITIONER
2 SHALL PROVIDE WRITTEN NOTICE OF THE FILING OF THE PETITION TO EACH
3 AFFECTED MUNICIPALITY AND, IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED
4 AREA, TO THE COUNTY. THE NOTICE SHALL STATE THAT THE DISTRICT WILL BE
5 FORMED NOT LESS THAN THIRTY DAYS AND NOT MORE THAN SIXTY DAYS AFTER
6 SUBMITTING THE PETITION, SUBJECT TO APPROVAL BY THE AUTHORITY, AND THAT
7 THE MUNICIPALITY OR THE COUNTY, AS APPLICABLE, MAY SUBMIT TO THE AUTHORITY
8 WITHIN THIRTY DAYS AFTER THE FILING OF THE PETITION A WRITTEN NOTICE THAT
9 IDENTIFIES A BASIS FOR DENIAL OF THE PETITION PURSUANT TO SECTION 48-7003,
10 SUBSECTION D, PARAGRAPH 4.

11 E. IF THE AUTHORITY DETERMINES THAT THE PETITION IS INCOMPLETE OR
12 DEFICIENT, THE PETITIONER SHALL HAVE A PERIOD OF SIXTY DAYS AFTER WRITTEN
13 NOTICE OF THE DEFICIENCIES TO SUBMIT CORRECTIONS OF THE DEFICIENCIES. IF
14 THE CORRECTIONS OF THE DEFICIENCIES ARE NOT SUBMITTED TO THE AUTHORITY
15 WITHIN SIXTY DAYS AFTER NOTICE OR DO NOT CORRECT THE DEFICIENCIES,
16 THE AUTHORITY MAY REJECT THE PETITION PURSUANT TO SECTION 48-7003,
17 SUBSECTION D.

18 F. FOR THE PURPOSES OF THIS CHAPTER, ALL CERTIFICATIONS,
19 DETERMINATIONS, APPROVALS, FINDINGS AND ACTIONS REQUIRED TO BE MADE BY THE
20 AUTHORITY SHALL BE MADE BY THE EXECUTIVE DIRECTOR. NO ACTION, APPROVAL,
21 RESOLUTION OR VOTE OF THE BOARD OF DIRECTORS OF THE AUTHORITY IS REQUIRED
22 FOR ANY CERTIFICATION, DETERMINATION OR ACTION TAKEN BY THE EXECUTIVE
23 DIRECTOR PURSUANT TO THIS CHAPTER. ANY ACTION TAKEN BY THE EXECUTIVE
24 DIRECTOR PURSUANT TO THIS CHAPTER IS DEEMED AN ACTION OF THE AUTHORITY.

25 ~~[G. FEES AND OTHER CHARGES THAT ARE ASSESSED BY THE AUTHORITY IN~~
26 ~~CONNECTION WITH THE SUBMISSION AND CONSIDERATION OF AN APPLICATION AND~~
27 ~~PETITION TO FORM A DISTRICT SHALL NOT EXCEED \$15,000 FOR EACH~~
28 ~~PETITION. IF A PETITION IS DENIED BY THE AUTHORITY, THE AUTHORITY MAY NOT~~
29 ~~ASSESS A FEE OR OTHER CHARGE IN CONNECTION WITH THE SUBMISSION AND~~
30 ~~CONSIDERATION OF A REVISED PETITION THAT IS SUBMITTED WITHIN ONE YEAR~~
31 ~~AFTER THE DENIAL.]~~

32 48-7003. Authority; formation order; limitations on
33 rejection; fees

34 A. A DISTRICT SHALL BE FORMED ONLY ON THE ISSUANCE OF A FORMATION
35 ORDER BY THE AUTHORITY. THE AUTHORITY SHALL REVIEW THE PETITION SUBMITTED
36 PURSUANT TO SECTION 48-7002 AND ACCOMPANYING MATERIALS TO EVALUATE, SOLELY
37 ON THE BASIS OF THE INFORMATION INCLUDED WITH THE PETITION, THE FOLLOWING:

38 1. WHETHER ANY APPRAISAL OR THIRD-PARTY MARKET STUDY PROVIDED IN
39 CONNECTION WITH THE PETITION IS COMPLETE.

40 2. WHETHER THE DESCRIPTION OF THE PROPOSED PUBLIC INFRASTRUCTURE IN
41 THE GENERAL PLAN APPEARS COMPLETE ON ITS FACE AND DOES NOT CONTAIN OBVIOUS
42 ERRORS, WITHOUT ANY INDEPENDENT ENGINEERING INVESTIGATION, ANALYSIS OR
43 VERIFICATION.

44 3. WHETHER THE PRELIMINARY FINANCING PLAN INCLUDES THE ANTICIPATED
45 SOURCES AND USES OF MONIES FOR THE PUBLIC INFRASTRUCTURE.

46 4. WHETHER THE DISTRICT IS REASONABLY EXPECTED TO HAVE THE
47 FINANCIAL ABILITY TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE

1 MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS
2 APPLICABLE.

3 5. WHETHER FORMATION OF THE DISTRICT WILL VIOLATE ANY EXISTING AND
4 APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY
5 OR THE COUNTY THAT RELATES TO THE LAND INCLUDED WITHIN THE BOUNDARIES OF
6 THE DISTRICT THAT WAS SUBMITTED TO THE AUTHORITY IN CONNECTION WITH THE
7 PETITION.

8 B. THE AUTHORITY SHALL APPROVE FORMATION OF THE DISTRICT AND ISSUE
9 THE FORMATION ORDER FOR THE DISTRICT IF THE AUTHORITY FINDS THAT ALL OF
10 THE FOLLOWING OCCURRED:

11 1. ALL REQUIRED DOCUMENTS HAVE BEEN SUBMITTED IN THE FORM
12 PRESCRIBED BY THIS CHAPTER.

13 2. THE PROPOSED DISTRICT MEETS ALL STATUTORY ELIGIBILITY AND
14 BOUNDARY REQUIREMENTS THAT ARE ESTABLISHED UNDER THIS CHAPTER.

15 3. THE NOTICE TO EACH AFFECTED MUNICIPALITY AND, IF THE DISTRICT IS
16 LOCATED IN AN UNINCORPORATED AREA, TO THE COUNTY HAS BEEN PROVIDED AS
17 PRESCRIBED BY SECTION 48-7002, SUBSECTION D.

18 4. SOLELY ON THE BASIS OF THE INFORMATION SUBMITTED IN CONNECTION
19 WITH THE PETITION, INCLUDING ANY APPRAISAL OR THIRD-PARTY MARKET STUDY,
20 THE DISTRICT HAS, OR WILL HAVE, THE FINANCIAL ABILITY TO DISCHARGE ITS
21 PROPOSED INDEBTEDNESS WITHIN THE MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM
22 AGGREGATE ASSESSMENT AMOUNT, AS APPLICABLE.

23 C. IF THE REQUIREMENTS OF SUBSECTION B OF THIS SECTION ARE
24 SATISFIED, THE AUTHORITY SHALL ISSUE A FORMATION ORDER WITHIN SIXTY DAYS
25 AFTER THE SUBMISSION OF A COMPLETE PETITION. THE FORMATION ORDER SHALL
26 INCLUDE ALL OF THE FOLLOWING:

27 1. THE NAME OF THE DISTRICT.

28 2. A METES AND BOUNDS DESCRIPTION AND A MAP OF THE DISTRICT'S
29 BOUNDARIES.

30 3. A GENERAL DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THAT THE
31 DISTRICT MAY FINANCE.

32 4. A STATEMENT THAT A GENERAL PLAN AND A PRELIMINARY FINANCING PLAN
33 FOR THE DISTRICT WILL BE ON FILE WITH THE CLERK.

34 5. THE TYPES OF BONDS THAT THE DISTRICT IS AUTHORIZED TO ISSUE.

35 6. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED
36 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM
37 AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.

38 7. THE NAMES AND INITIAL TERMS OF THE INITIAL BOARD OF DIRECTORS
39 AND THAT THE DISTRICT WILL BE GOVERNED BY DIRECTORS WHO ARE CHOSEN
40 PURSUANT TO THIS CHAPTER.

41 8. A STATEMENT THAT:

42 (a) THE FORMATION OF THE DISTRICT MAY RESULT IN THE LEVY OF AD
43 VALOREM TAXES OR ASSESSMENTS TO PAY THE COSTS OF AUTHORIZED PUBLIC
44 INFRASTRUCTURE THAT IS CONSTRUCTED BY THE DISTRICT AND FOR OPERATING AND
45 MAINTAINING THE AUTHORIZED PUBLIC INFRASTRUCTURE.

46 (b) ANY AD VALOREM TAX THAT IS LEVIED FOR THE PAYMENT OF GENERAL
47 OBLIGATION BONDS MAY NOT BE LEVIED AT A RATE THAT EXCEEDS THE MAXIMUM

1 AUTHORIZED TAX RATE THAT IS APPROVED AT THE ELECTION THAT AUTHORIZED THE
2 LEVY AND THE ISSUANCE OF THE BONDS.

3 (c) ANY BONDS OR OTHER OBLIGATIONS OF THE DISTRICT WILL NOT BE A
4 DEBT, LEGAL OR MORAL, OF THIS STATE OR ANY MUNICIPALITY OR ANY COUNTY OF
5 THIS STATE, ARE NOT OBLIGATIONS OF THIS STATE OR ANY MUNICIPALITY OR ANY
6 COUNTY OF THIS STATE AND ARE OBLIGATIONS OF THE DISTRICT AND ARE PAYABLE
7 ONLY FROM THE SOURCES PLEDGED FOR THEIR PAYMENT.

8 D. THE AUTHORITY SHALL APPROVE FORMATION OF THE DISTRICT AND ISSUE
9 THE FORMATION ORDER IF THE AUTHORITY DETERMINES THAT THE PETITION AND
10 ACCOMPANYING MATERIALS MEET THE STATUTORY REQUIREMENTS OF THIS CHAPTER.
11 THE AUTHORITY'S REVIEW IS LIMITED TO CONFIRMING THAT THE STATUTORY
12 REQUIREMENTS OF THIS CHAPTER HAVE BEEN SATISFIED AND THE AUTHORITY MAY
13 DENY A PETITION ONLY UPON A WRITTEN FINDING OF ONE OF THE FOLLOWING:

14 1. THE PETITION IS INCOMPLETE.

15 2. THE FINANCIAL INFORMATION SUBMITTED IN CONNECTION WITH THE
16 PETITION, INCLUDING ANY APPRAISAL OR THIRD-PARTY MARKET STUDY, IS
17 INCOMPLETE OR ILLUSTRATES THAT THE DISTRICT WILL NOT HAVE THE FINANCIAL
18 ABILITY TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE MAXIMUM
19 AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS
20 APPLICABLE.

21 3. THE PROPOSED DISTRICT VIOLATES A STATUTORY PROHIBITION OR
22 BOUNDARY RULE UNDER THIS CHAPTER, AND IN EACH CASE THE PETITIONER FAILED
23 TO SUBMIT PROPOSED CORRECTIONS OF THE DEFICIENCIES WITHIN SIXTY DAYS AFTER
24 NOTICE.

25 4. THE FORMATION OF THE PROPOSED DISTRICT WILL MATERIALLY VIOLATE
26 ANY EXISTING AND APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH
27 THE MUNICIPALITY OR THE COUNTY THAT RELATES TO PUBLIC INFRASTRUCTURE AND
28 THAT IS RECORDED AGAINST THE LAND INCLUDED WITHIN THE BOUNDARIES OF THE
29 DISTRICT WITH RESPECT TO THE DESIGN, CONSTRUCTION, CONVEYANCE, OPERATION
30 OR MAINTENANCE OF THE PUBLIC INFRASTRUCTURE.

31 E. IF THE AUTHORITY DOES NOT ISSUE THE FORMATION ORDER WITHIN SIXTY
32 DAYS AFTER SUBMISSION OF A COMPLETE PETITION, THE AUTHORITY SHALL PROVIDE
33 A WRITTEN BASIS FOR NOT ADOPTING THE FORMATION ORDER AND SHALL IDENTIFY
34 THE SPECIFIC CHANGES THAT ARE NEEDED FOR THE PETITION TO BE APPROVED AND
35 FOR THE DISTRICT TO BE FORMED. SUCH ACTION WILL NOT CONSTITUTE A DENIAL
36 OF THE PETITION AND THE PETITION MAY BE REVISED AND RESUBMITTED AT ANY
37 TIME.

38 F. ON ISSUANCE OF THE FORMATION ORDER BY THE AUTHORITY, THE
39 DISTRICT SHALL CAUSE THE FORMATION ORDER TO BE RECORDED IN THE REAL
40 PROPERTY RECORDS OF THE COUNTY IN WHICH THE DISTRICT IS LOCATED AND SHALL
41 CAUSE A COPY OF THE FORMATION ORDER TO BE DELIVERED TO THE COUNTY ASSESSOR
42 AND THE BOARD OF SUPERVISORS OF THE COUNTY IN WHICH THE DISTRICT IS
43 LOCATED, TO ANY MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED AND TO THE
44 DEPARTMENT OF REVENUE. ON RECORDING THE FORMATION ORDER, THE DISTRICT IS
45 ESTABLISHED AS A POLITICAL SUBDIVISION OF THIS STATE.

46 G. BEFORE RECORDING A FORMATION ORDER UNDER THIS SECTION, A GENERAL
47 PLAN FOR THE DISTRICT SHALL BE RECORDED WITH THE COUNTY RECORDER OF THE
48 COUNTY IN WHICH THE DISTRICT IS LOCATED THAT SETS OUT A GENERAL

1 DESCRIPTION OF THE IMPROVEMENTS FOR WHICH THE DISTRICT IS PROPOSED TO BE
2 FORMED AND THE AREAS TO BE IMPROVED.

3 H. ON FORMATION, THE DISTRICT IS A SPECIAL PURPOSE DISTRICT FOR THE
4 PURPOSES OF ARTICLE IX, SECTION 19, CONSTITUTION OF ARIZONA, A TAX LEVYING
5 PUBLIC IMPROVEMENT DISTRICT FOR THE PURPOSES OF ARTICLE XIII, SECTION 7,
6 CONSTITUTION OF ARIZONA, AND A MUNICIPAL CORPORATION FOR ALL PURPOSES OF
7 TITLE 35, CHAPTER 3, ARTICLES 3, 3.1, 3.2, 4 AND 5. A DISTRICT THAT
8 DISTRIBUTES OR SELLS GROUNDWATER IS A PRIVATE WATER COMPANY ONLY FOR THE
9 PURPOSES OF TITLE 45, CHAPTERS 2 AND 3.1. EXCEPT AS OTHERWISE PROVIDED IN
10 THIS SECTION, A DISTRICT IS CONSIDERED TO BE A MUNICIPAL CORPORATION AND
11 POLITICAL SUBDIVISION OF THIS STATE, SEPARATE AND APART FROM ANY
12 MUNICIPALITY OR COUNTY IN WHICH THE DISTRICT IS LOCATED. NOTWITHSTANDING
13 ANY OTHER LAW, A DISTRICT FORMED PURSUANT TO THIS CHAPTER DOES NOT HAVE
14 THE POWER OF EMINENT DOMAIN AND DOES NOT HAVE THE POWER TO ENACT ZONING
15 ORDINANCES.

16 I. ON FORMATION OF THE DISTRICT, THE BOARD SHALL ~~[MAKE A GOOD FAITH~~
17 ~~EFFORT TO]~~ IMPLEMENT THE GENERAL PLAN FOR THE PUBLIC INFRASTRUCTURE OF THE
18 DISTRICT.

19 J. FEES AND OTHER CHARGES ASSESSED BY THE AUTHORITY IN CONNECTION
20 WITH THE SUBMISSION AND CONSIDERATION OF A PETITION TO FORM A DISTRICT MAY
21 NOT EXCEED \$15,000. IF A PETITION IS DENIED BY THE AUTHORITY, IT MAY NOT
22 ASSESS A FEE OR OTHER CHARGE IN CONNECTION WITH SUBMITTING AND CONSIDERING
23 A SUBSTANTIALLY SIMILAR PETITION THAT IS SUBMITTED WITHIN ONE YEAR AFTER
24 THE DENIAL. FEES AND OTHER CHARGES ASSESSED BY A DISTRICT IN CONNECTION
25 WITH ADMINISTERING THE DISTRICT, INCLUDING THE ISSUANCE AND SALE OF BONDS,
26 MAY NOT EXCEED THE ACTUAL EXPENSE INCURRED BY THE DISTRICT FOR STAFF AND
27 CONSULTANT SERVICES AND SUPPORT FACILITIES SUPPLIED BY THE DISTRICT OR THE
28 FINANCIAL, LEGAL AND ADMINISTRATIVE COSTS OF THE DISTRICT THAT ARE NOT
29 REIMBURSED FROM PROCEEDS OF THE BONDS OR OTHER DISTRICT REVENUE.

30 K. AFTER THE FORMATION ORDER IS ISSUED, THE OWNERS OF AT LEAST
31 FIFTY PERCENT OF THE LAND IN THE DISTRICT MAY PETITION THE AUTHORITY TO
32 AMEND THE FORMATION ORDER TO MODIFY THE POWERS OR FINANCIAL PARAMETERS OF
33 THE DISTRICT, INCLUDING ANY MAXIMUM AUTHORIZED TAX RATE, MAXIMUM
34 AUTHORIZED AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, MAXIMUM
35 AGGREGATE ASSESSMENT AMOUNT OR MAXIMUM OPERATIONS AND MAINTENANCE TAX
36 RATE. ANY SUCH PETITION FOR AMENDMENT SHALL:

37 1. DESCRIBE THE PROPOSED AMENDMENTS TO THE FORMATION ORDER AND
38 GENERAL PLAN.

39 2. INCLUDE UPDATED FINANCIAL INFORMATION, INCLUDING AN UPDATED
40 PRELIMINARY FINANCING PLAN, SUFFICIENT TO ALLOW THE AUTHORITY TO DETERMINE
41 WHETHER THE DISTRICT IS REASONABLY EXPECTED TO HAVE THE FINANCIAL ABILITY
42 TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE REVISED MAXIMUM
43 AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS
44 APPLICABLE.

45 3. DEMONSTRATE THAT THE PROPOSED AMENDMENTS DO NOT VIOLATE ANY
46 APPLICABLE STATUTORY ELIGIBILITY OR BOUNDARY REQUIREMENTS OR ANY
47 DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY OR COUNTY
48 RELATING TO THE LAND WITHIN THE DISTRICT.

1 L. THE AUTHORITY SHALL REVIEW AND ACT ON A PETITION FOR AMENDMENT
2 UNDER THE STANDARDS AND WITHIN THE TIME PERIODS PRESCRIBED IN SUBSECTIONS
3 A THROUGH E OF THIS SECTION, AND, IF APPROVED, SHALL ISSUE AND CAUSE TO BE
4 RECORDED AN AMENDED FORMATION ORDER REFLECTING THE APPROVED CHANGES.

5 M. ANY PETITION TO AMEND THE FORMATION ORDER THAT INCREASES THE
6 MAXIMUM AUTHORIZED TAX RATE OR MAXIMUM AGGREGATE ASSESSMENT AMOUNT SHALL
7 BE SIGNED BY ALL OWNERS OF ALL REAL PROPERTY IN THE DISTRICT.

8 N. THE AUTHORITY'S ISSUANCE OF A FORMATION ORDER PURSUANT TO THIS
9 CHAPTER IS A GOVERNMENTAL DETERMINATION OF STATEWIDE FINANCIAL COMPLIANCE
10 AND DOES NOT CONSTITUTE ZONING, PLANNING OR LAND-USE APPROVAL. ANY ACTION
11 OF THE AUTHORITY OR THE EXECUTIVE DIRECTOR PURSUANT TO THIS ARTICLE IS THE
12 EXERCISE OF AN ADMINISTRATIVE FUNCTION INVOLVING THE DETERMINATION OF
13 FUNDAMENTAL GOVERNMENTAL POLICY AS PRESCRIBED IN SECTION 12-820.01.

14 48-7004. District governance: board of directors: elections:
15 powers and duties

16 A. ON ISSUANCE OF THE FORMATION ORDER, A DISTRICT SHALL BE GOVERNED
17 BY A BOARD OF DIRECTORS THAT CONSISTS OF THREE DIRECTORS. THE INITIAL
18 DIRECTORS SHALL BE APPOINTED AS SET FORTH IN THE PETITION AND FORMATION
19 ORDER.

20 B. SUBJECT TO SUBSECTION J OF THIS SECTION, EACH DIRECTOR SHALL
21 EITHER HOLD A FEE TITLE TO REAL PROPERTY WITHIN THE DISTRICT OR BE AN
22 INDIVIDUAL WHO IS DESIGNATED OR APPOINTED BY A HOLDER OF A FEE TITLE TO
23 REAL PROPERTY WITHIN THE DISTRICT. A DIRECTOR WILL RESIGN FROM THE BOARD
24 OF DIRECTORS IF AT ANY TIME DURING SUCH DIRECTOR'S TERM THE DIRECTOR IS NO
25 LONGER AN OWNER OF REAL PROPERTY WITHIN THE DISTRICT OR, IF SUCH DIRECTOR
26 WAS DESIGNATED OR APPOINTED BY AN OWNER OF REAL PROPERTY WITHIN THE
27 DISTRICT, SUCH OWNER OF REAL PROPERTY WITHIN THE DISTRICT IS NO LONGER AN
28 OWNER OF REAL PROPERTY WITHIN THE DISTRICT. SUCH DIRECTOR'S VACANCY WILL
29 BE FILLED PURSUANT TO SUBSECTION H OF THIS SECTION.

30 C. THE TERM OF THE INITIAL DIRECTORS BEGINS ON THE DATE OF THE
31 FORMATION ORDER. OF THE INITIAL DIRECTORS, ONE DIRECTOR SHALL SERVE A
32 TERM OF THREE YEARS, ONE DIRECTOR SHALL SERVE A TERM OF FOUR YEARS AND ONE
33 DIRECTOR SHALL SERVE A TERM OF FIVE YEARS, AS SPECIFIED IN THE PETITION.
34 THEREAFTER, EACH SUBSEQUENTLY ELECTED DIRECTOR SHALL SERVE A TERM OF THREE
35 YEARS. THESE SUBSEQUENTLY ELECTED DIRECTORS SHALL BE AN OWNER OF REAL
36 PROPERTY IN THE DISTRICT WHO SHALL BE ELECTED AT LARGE BY THE OWNERS OF
37 REAL PROPERTY IN THE DISTRICT, AS SHOWN ON THE PROPERTY TAX ASSESSMENT
38 ROLL, WHO ARE QUALIFIED TO VOTE PURSUANT TO SECTION 48-7041. THE BOARD
39 SHALL DEVELOP BYLAWS FOR THE OPERATION OF THE DISTRICT.

40 D. ONLY THE OWNERS THAT HOLD FEE TITLE TO REAL PROPERTY IN THE
41 DISTRICT AND THEIR RESPECTIVE DESIGNEES AND APPOINTEES ARE ELIGIBLE TO
42 VOTE IN:

43 1. AN ELECTION REGARDING AN AD VALOREM TAX OR AN ASSESSMENT TO BE
44 LEVIED AGAINST THE REAL PROPERTY IN THE DISTRICT.

45 2. AN ELECTION FOR THE BOARD OF THE DISTRICT.

46 3. AN ELECTION FOR DISSOLUTION OF THE DISTRICT.

47 E. CORPORATIONS, PARTNERSHIPS AND OTHER BUSINESS ENTITIES ARE
48 ELIGIBLE TO VOTE AS PROPERTY OWNERS, BUT ONLY ONE VOTE MAY BE CAST FOR

1 EACH ONE-SEVENTH OF AN ACRE OF REAL PROPERTY IN THE DISTRICT, EXCEPT THAT
2 ANY FRACTION OF OWNERSHIP OF REAL PROPERTY THAT IS LESS THAN ONE-SEVENTH
3 OF AN ACRE ENTITLES THE OWNER TO CAST ONE VOTE. A MAJORITY OF THE
4 ACREAGE, AS REPRESENTED BY THE VOTES CAST AT AN ELECTION THAT IS CONDUCTED
5 SOLELY UNDER THIS ACREAGE SYSTEM, DETERMINES THE RESULT OF THE ELECTION.

6 F. AN ELECTION CONDUCTED UNDER THIS SECTION SHALL BE HELD AS A
7 SPECIAL ELECTION OF THE DISTRICT AND SHALL BE NOTICED, CALLED, CONDUCTED
8 AND CANVASSED BY THE BOARD IN THE MANNER PRESCRIBED BY THIS CHAPTER. THE
9 BOARD MAY ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THE COUNTY, A
10 MUNICIPALITY OR ANOTHER PUBLIC ENTITY FOR ELECTION ADMINISTRATION,
11 INCLUDING REIMBURSEMENT OF REASONABLE COSTS OF DISTRICT ELECTIONS.

12 G. THE BOARD SHALL:

13 1. ADOPT AND AMEND THE GENERAL PLAN FOR THE DISTRICT.

14 2. AUTHORIZE AND APPROVE THE ISSUANCE OF BONDS OF THE DISTRICT AS
15 PROVIDED BY THIS CHAPTER.

16 3. LEVY AD VALOREM TAXES AND ASSESSMENTS, SUBJECT TO THE
17 LIMITATIONS AND ELECTION REQUIREMENTS OF THIS CHAPTER, INCLUDING THE
18 MAXIMUM AUTHORIZED TAX RATE.

19 4. MANAGE AND ADMINISTER THE AFFAIRS OF THE DISTRICT, INCLUDING
20 OPERATING, MAINTAINING AND REPAIRING PUBLIC INFRASTRUCTURE THAT IS OWNED
21 OR OPERATED BY THE DISTRICT.

22 5. ADOPT ANNUAL BUDGETS, STATEMENTS AND ESTIMATES FOR THE DISTRICT.

23 6. ADMINISTER DISTRICT ELECTIONS OR ENTER INTO INTERGOVERNMENTAL
24 AGREEMENTS WITH THE COUNTY AND OTHER QUALIFIED PUBLIC ENTITIES TO
25 ADMINISTER DISTRICT ELECTIONS.

26 7. PERFORM ALL OTHER ACTS THAT ARE NECESSARY OR CONVENIENT TO CARRY
27 OUT THE PURPOSES OF THIS CHAPTER.

28 H. IF A VACANCY OCCURS ON THE BOARD BECAUSE OF A DEATH, A
29 RESIGNATION OR AN INABILITY OF THE DIRECTOR TO DISCHARGE THE DUTIES OF
30 DIRECTOR, THE VACANCY SHALL BE FILLED BY APPOINTMENT MADE BY THE REMAINING
31 DIRECTORS WITHIN THIRTY DAYS OF A VACANCY. THE BOARD SHALL PROVIDE
32 WRITTEN NOTICE TO THE AUTHORITY THAT THE VACANCY HAS BEEN FILLED BY
33 APPOINTMENT WITHIN THIRTY DAYS OF THE APPOINTMENT OR, IF THE REMAINING
34 DIRECTORS HAVE NOT FILLED THE VACANCY BY APPOINTMENT, WRITTEN NOTICE TO
35 THE AUTHORITY THAT THE VACANCY HAS NOT BEEN FILLED BY APPOINTMENT WITHIN
36 THIRTY DAYS OF THE VACANCY. A DIRECTOR APPOINTED BY THE REMAINING
37 DIRECTORS SHALL HOLD OFFICE FOR THE REMAINDER OF THE UNEXPIRED TERM UNTIL
38 THE DIRECTOR'S SUCCESSOR IS ELECTED AS PROVIDED BY THIS ARTICLE.
39 A DIRECTOR SHALL NOT BE AN ELECTED OFFICIAL OF A MUNICIPALITY IN WHICH THE
40 DISTRICT IS LOCATED OR AN INDIAN TRIBE OR COMMUNITY OR AN EMPLOYEE OR
41 AGENT OF A MUNICIPALITY OR INDIAN TRIBE OR COMMUNITY BUT MAY BE A DIRECTOR
42 OF MORE THAN ONE DISTRICT.

43 I. THE MEMBERS OF THE BOARD ARE NOT ELIGIBLE TO RECEIVE
44 COMPENSATION FOR THEIR SERVICES AS MEMBERS OF THE BOARD.

45 J. IF A VACANCY OCCURS ON THE BOARD BECAUSE OF DEATH, RESIGNATION
46 OR INABILITY OF THE DIRECTOR TO DISCHARGE THE DUTIES OF DIRECTOR, AND
47 THERE ARE NO OWNERS OF REAL PROPERTY WITHIN THE DISTRICT OR INDIVIDUALS
48 DESIGNATED OR APPOINTED BY AN OWNER OF REAL PROPERTY WITHIN THE DISTRICT,

1 WHO ARE WILLING TO FILL SUCH VACANCY, THE AUTHORITY SHALL APPOINT A
2 DIRECTOR TO FILL THE VACANCY. THE DIRECTOR APPOINTED BY THE AUTHORITY IS
3 NOT REQUIRED TO BE A FEE-TITLE OWNER OF REAL PROPERTY WITHIN THE DISTRICT
4 OR AN INDIVIDUAL DESIGNATED OR APPOINTED BY A FEE-TITLE OWNER OF REAL
5 PROPERTY WITHIN THE DISTRICT. THE DIRECTOR APPOINTED BY THE AUTHORITY
6 SHALL HOLD OFFICE FOR THE REMAINDER OF THE UNEXPIRED TERM AND UNTIL THE
7 DIRECTOR'S SUCCESSOR IS ELECTED, UNLESS A FEE-TITLE OWNER OF REAL PROPERTY
8 WITHIN THE DISTRICT SUBMITS A WRITTEN REQUEST TO THE AUTHORITY AND THE
9 BOARD TO REPLACE THE DIRECTOR APPOINTED BY THE AUTHORITY. IN THAT EVENT,
10 THE AUTHORITY SHALL, AS SOON AS PRACTICABLE, APPOINT THAT FEE-TITLE OWNER
11 OF REAL PROPERTY WITHIN THE DISTRICT TO REPLACE THE DIRECTOR APPOINTED BY
12 THE AUTHORITY.

13 K. THE BOARD SHALL COMPLY WITH TITLE 38, CHAPTER 3, ARTICLE 3.1 AS
14 A SEPARATE POLITICAL SUBDIVISION.

15 48-7005. Records; open meetings

16 A. A DISTRICT SHALL KEEP THE FOLLOWING RECORDS, WHICH SHALL BE
17 MAINTAINED BY THE CLERK AND OPEN TO PUBLIC INSPECTION:

- 18 1. MINUTES OF ALL BOARD MEETINGS.
- 19 2. ALL RESOLUTIONS.
- 20 3. ACCOUNTS SHOWING ALL MONIES RECEIVED AND DISBURSED.
- 21 4. THE ANNUAL BUDGET.
- 22 5. ALL OTHER RECORDS REQUIRED TO BE MAINTAINED BY LAW.

23 B. THE BOARD SHALL COMPLY WITH THE REQUIREMENTS OF TITLE 38,
24 CHAPTER 3, ARTICLE 3.1 AS A SEPARATE POLITICAL SUBDIVISION.

25 48-7006. District powers

26 A. IN ADDITION TO THE POWERS OTHERWISE GRANTED TO A DISTRICT
27 PURSUANT TO THIS CHAPTER, A DISTRICT, TO FURTHER IMPLEMENT THE GENERAL
28 PLAN, MAY:

29 1. ENTER INTO CONTRACTS AND EXPEND MONIES FOR ANY PUBLIC
30 INFRASTRUCTURE PURPOSE WITH RESPECT TO THE DISTRICT, INCLUDING IN
31 CONNECTION WITH THE ACQUISITION, CONSTRUCTION OR INSTALLATION OF PUBLIC
32 INFRASTRUCTURE [., PROVIDED THAT A DISTRICT MAY NOT BE THE CONTRACTING
33 PARTY ON ANY CONSTRUCTION CONTRACT FOR PUBLIC INFRASTRUCTURE AND THE
34 DISTRICT'S ROLE WITH RESPECT TO THE CONSTRUCTION OF SUCH PUBLIC
35 INFRASTRUCTURE SHALL BE LIMITED TO ACQUIRING OR REIMBURSING THE COSTS OF
36 SUCH PUBLIC INFRASTRUCTURE].

37 2. ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THIS STATE, A
38 COUNTY, A MUNICIPALITY OR ANY OTHER PUBLIC AGENCY THAT IS AUTHORIZED BY
39 LAW TO ENTER INTO INTERGOVERNMENTAL AGREEMENTS FOR THE PLANNING, DESIGN,
40 INSPECTION, OWNERSHIP, CONTROL, MAINTENANCE, OPERATION OR REPAIR OF PUBLIC
41 INFRASTRUCTURE.

42 3. ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THE COUNTY, A
43 MUNICIPALITY OR ANOTHER QUALIFIED PUBLIC ENTITY FOR THE ADMINISTRATION OF
44 DISTRICT ELECTIONS, INCLUDING AGREEMENTS TO REIMBURSE THE PUBLIC ENTITY
45 FOR THE REASONABLE COSTS OF DISTRICT ELECTIONS.

46 4. SELL, LEASE OR OTHERWISE DISPOSE OF DISTRICT PROPERTY IF THE
47 SALE, LEASE OR CONVEYANCE IS NOT A VIOLATION OF THE TERMS OF ANY CONTRACT,
48 BOND RESOLUTION OR TRUST INDENTURE OF THE DISTRICT.

- 1 5. OPERATE, MAINTAIN AND REPAIR PUBLIC INFRASTRUCTURE THAT IS OWNED
- 2 OR OPERATED BY THE DISTRICT.
- 3 6. ESTABLISH, CHARGE AND COLLECT USER FEES, RATES OR OTHER CHARGES
- 4 FOR THE USE OF ANY SERVICE OR PUBLIC INFRASTRUCTURE OF THE DISTRICT OTHER
- 5 THAN STREETS, ROADS OR HIGHWAYS.
- 6 7. EMPLOY OR CONTRACT FOR STAFF, COUNSEL AND CONSULTANTS, INCLUDING
- 7 ENGINEERS, ATTORNEYS, ACCOUNTANTS, FINANCIAL ADVISORS, UNDERWRITERS,
- 8 ADMINISTRATORS AND ELECTION OFFICIALS, TO ASSIST WITH DISTRICT AND BOARD
- 9 ADMINISTRATION, FINANCING AND ELECTION MATTERS.
- 10 8. INCUR AND REPAY LOANS, ADVANCES OR OTHER OBLIGATIONS FOR ANY
- 11 PUBLIC INFRASTRUCTURE PURPOSE, INCLUDING TO PROVIDE FOR THE PRESENT
- 12 FINANCING OF COSTS TO BE REIMBURSED FROM FUTURE DISTRICT REVENUES OR
- 13 REIMBURSEMENTS RELATED TO PUBLIC INFRASTRUCTURE.
- 14 9. ENTER INTO AGREEMENTS WITH LANDOWNERS AND WITH A MUNICIPALITY OR
- 15 COUNTY FOR THE COLLECTION OF FEES AND CHARGES FROM LANDOWNERS FOR PUBLIC
- 16 INFRASTRUCTURE PURPOSES, FOR THE ADVANCE OF MONIES BY LANDOWNERS FOR
- 17 PUBLIC INFRASTRUCTURE PURPOSES OR FOR THE GRANTING OF REAL PROPERTY OR
- 18 INTERESTS IN REAL PROPERTY BY A LANDOWNER FOR PUBLIC INFRASTRUCTURE
- 19 PURPOSES, AND TO RECOGNIZE, ASSIGN, CONFIRM OR CONSENT TO THE ASSIGNMENT
- 20 BY SUCH LANDOWNERS OF THEIR RIGHTS TO RECEIVE ANY REIMBURSEMENTS OR
- 21 PAYMENTS FROM THE DISTRICT FOR PUBLIC INFRASTRUCTURE COSTS, INCLUDING TO
- 22 OR IN FAVOR OF LENDERS, TRUSTEES OR OTHER FINANCING PARTIES.
- 23 10. BY RESOLUTION, LEVY AND ASSESS THE COSTS OF ANY PUBLIC
- 24 INFRASTRUCTURE PURPOSE ON ANY LAND THAT IS BENEFITED IN THE DISTRICT,
- 25 SUBJECT TO THE LIMITATIONS AND ELECTION REQUIREMENTS OF THIS CHAPTER,
- 26 INCLUDING THE MAXIMUM AUTHORIZED TAX RATE.
- 27 11. PAY THE FINANCIAL, LEGAL AND ADMINISTRATIVE COSTS OF THE
- 28 DISTRICT.
- 29 12. ENTER INTO CONTRACTS, AGREEMENTS AND TRUST INDENTURES TO OBTAIN
- 30 CREDIT ENHANCEMENT OR LIQUIDITY SUPPORT FOR ITS BONDS AND TO PROVIDE FOR
- 31 THE ISSUANCE, REGISTRATION, TRANSFER AND PAYMENT OF ITS BONDS AND FOR THE
- 32 DISBURSEMENT AND INVESTMENT OF BOND PROCEEDS.
- 33 13. ENTER INTO AGREEMENTS WITH PERSONS OUTSIDE OF THE DISTRICT TO
- 34 PROVIDE SERVICES TO PERSONS AND PROPERTY OUTSIDE OF THE DISTRICT AND TO
- 35 RECEIVE COMPENSATION FOR THOSE SERVICES.
- 36 14. USE PUBLIC EASEMENTS AND RIGHTS-OF-WAY IN OR ACROSS PUBLIC
- 37 PROPERTY, ROADWAYS, HIGHWAYS, STREETS OR OTHER THOROUGHFARES AND OTHER
- 38 PUBLIC EASEMENTS AND RIGHTS-OF-WAY, WHETHER IN OR OUT OF THE GEOGRAPHICAL
- 39 LIMITS OF THE DISTRICT, A MUNICIPALITY OR A COUNTY, SUBJECT TO APPLICABLE
- 40 LAW, PERMITTING RESTRICTIONS AND THE RIGHTS OF THE PUBLIC.
- 41 B. IN CONNECTION WITH ANY POWER AUTHORIZED BY STATUTE, THE DISTRICT
- 42 MAY:
- 43 1. CONTRACT.
- 44 2. ENTER INTO INTERGOVERNMENTAL AGREEMENTS PURSUANT TO TITLE 11,
- 45 CHAPTER 7, ARTICLE 3.
- 46 3. ADOPT AND CHANGE A SEAL.
- 47 4. SUE AND BE SUED.

1 5. ENTER INTO DEVELOPMENT AGREEMENTS AS DEFINED IN SECTION
2 9-500.05.

3 C. A DISTRICT IS NOT EMPOWERED TO EXERCISE LAND USE OR ZONING
4 AUTHORITY AND MAY NOT ADOPT, AMEND OR ENFORCE ZONING ORDINANCES OR SIMILAR
5 LAND USE REGULATIONS.

6 D. PUBLIC INFRASTRUCTURE OTHER THAN PERSONALTY MAY BE LOCATED ONLY
7 IN OR ON LANDS OWNED BY THIS STATE, A COUNTY, A MUNICIPALITY OR THE
8 DISTRICT OR DEDICATED OR OTHERWISE DESIGNATED AS PUBLIC ROADWAYS,
9 HIGHWAYS, STREETS, THOROUGHFARES, EASEMENTS OR RIGHTS-OF-WAY, WHETHER IN
10 OR OUT OF THE DISTRICT OR A MUNICIPALITY. PERSONALTY MAY BE USED ONLY FOR
11 PURPOSES AUTHORIZED BY THE BOARD.

12 E. AN AGREEMENT PURSUANT TO SUBSECTION A, PARAGRAPH 9 OF THIS
13 SECTION MAY INCLUDE AGREEMENTS TO REPAY ALL OR PART OF SUCH ADVANCES, FEES
14 AND CHARGES FROM THE PROCEEDS OF BONDS IF ISSUED OR FROM ADVANCES, FEES
15 AND CHARGES COLLECTED FROM OTHER LANDOWNERS OR USERS OR THOSE HAVING A
16 RIGHT TO USE ANY INFRASTRUCTURE. A PERSON DOES NOT HAVE AUTHORITY TO
17 COMPEL THE ISSUANCE OR SALE OF THE BONDS OF THE DISTRICT OR THE EXERCISE
18 OF ANY TAXING POWER OF THE DISTRICT TO MAKE REPAYMENT UNDER ANY AGREEMENT.

19 48-7007. District finances; revenue

20 THE PROJECTS TO BE CONSTRUCTED OR ACQUIRED AS SHOWN IN THE GENERAL
21 PLAN MAY BE FINANCED FROM THE FOLLOWING SOURCES OF REVENUE:

- 22 1. PROCEEDS RECEIVED FROM THE SALE OF BONDS OF THE DISTRICT.
- 23 2. MONIES OF A MUNICIPALITY OR INDIAN TRIBE OR COMMUNITY THAT ARE
24 CONTRIBUTED TO THE DISTRICT.
- 25 3. ASSESSMENTS.
- 26 4. AD VALOREM TAXES.
- 27 5. PRIVATE CONTRIBUTIONS.
- 28 6. USER, LANDOWNER AND OTHER FEES AND CHARGES.
- 29 7. PROCEEDS OF LOANS OR ADVANCES.
- 30 8. ANY OTHER MONIES AVAILABLE TO THE DISTRICT BY LAW.

31 48-7008. Project review by authority; hearing; notice; fees

32 A. BEFORE CONSTRUCTING OR ACQUIRING ANY PUBLIC INFRASTRUCTURE, THE
33 BOARD SHALL CAUSE A STUDY OF THE FEASIBILITY AND BENEFITS OF THE PROJECT
34 THAT SHALL BE PREPARED BY ENGINEERS AND OTHER QUALIFIED PERSONS AND THAT
35 SHALL INCLUDE A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED
36 OR ACQUIRED AND ALL OTHER INFORMATION USEFUL TO UNDERSTAND THE PROJECT, A
37 MAP SHOWING, IN GENERAL, THE LOCATION OF THE PROJECT, AN ESTIMATE OF THE
38 COST TO CONSTRUCT, ACQUIRE, OPERATE AND MAINTAIN THE PROJECT, AN ESTIMATED
39 SCHEDULE FOR COMPLETION OF THE PROJECT, A MAP OR DESCRIPTION OF THE AREA
40 TO BE BENEFITED BY THE PROJECT AND THE FINANCING PLAN FOR THE PROJECT.
41 WITHIN SIXTY DAYS AFTER RECEIVING THE REPORT, THE BOARD SHALL HOLD A
42 PUBLIC HEARING ON THE REPORT AND PROVIDE NOTICE OF THE HEARING BY
43 PUBLICATION NOT LESS THAN TEN DAYS IN ADVANCE IN THE OFFICIAL NEWSPAPER OF
44 THE MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED OR, IF NONE IN THE
45 MUNICIPALITY OR IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, A
46 NEWSPAPER OF GENERAL CIRCULATION IN THE COUNTY AND BY MAIL TO THE
47 GOVERNING BODY OF THE MUNICIPALITY. WITHIN SIXTY DAYS AFTER THE HEARING,
48 THE BOARD MAY REJECT, AMEND OR APPROVE THE REPORT. IF THE REPORT IS

1 AMENDED SUBSTANTIALLY, A NEW HEARING SHALL BE HELD WITHIN SIXTY DAYS AFTER
2 THE DATE THE AMENDED REPORT IS RECEIVED AND BEFORE APPROVAL. IF THE
3 REPORT IS APPROVED, THE BOARD SHALL ADOPT A RESOLUTION THAT IDENTIFIES THE
4 PUBLIC INFRASTRUCTURE OF THE PROJECT, THE AREAS BENEFITED, THE EXPECTED
5 METHOD OF FINANCING, INCLUDING THE NATURE AND TIMING OF THE ISSUANCE OF
6 BONDS, IF ANY, AND AN APPROPRIATE SYSTEM OF PROVIDING REVENUES TO OPERATE
7 AND MAINTAIN THE PROJECT, IF APPLICABLE. THE BOARD SHALL EXECUTE THE
8 PROVISIONS OF THE REPORT WITHIN THE TIME FRAMES IDENTIFIED IN THE APPROVED
9 REPORT.

10 B. BEFORE CONSTRUCTING OR ACQUIRING ANY PUBLIC INFRASTRUCTURE AND
11 BEFORE THE BOARD HAS HELD THE PUBLIC HEARING PRESCRIBED IN SUBSECTION A OF
12 THIS SECTION, THE BOARD SHALL CAUSE THE STUDY OF THE FEASIBILITY AND
13 BENEFITS OF THE PROJECT PRESCRIBED IN SUBSECTION A OF THIS SECTION TO BE
14 PROVIDED TO THE AUTHORITY. IN ADDITION TO THE STUDY OF THE FEASIBILITY
15 AND BENEFITS OF THE PROJECT PRESCRIBED IN SUBSECTION A OF THIS SECTION,
16 THE BOARD SHALL CAUSE THE FOLLOWING INFORMATION TO BE PROVIDED TO THE
17 AUTHORITY:

18 1. THE PROPOSED MAXIMUM PRINCIPAL AMOUNT OF BONDS TO BE ISSUED, THE
19 MAXIMUM INTEREST RATE AND A PRELIMINARY DEBT SERVICE SCHEDULE FOR THE
20 BONDS.

21 2. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
22 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF GENERAL OBLIGATION BONDS, A
23 REPORT INDICATING THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND
24 IMPROVEMENTS IN THE DISTRICT AFTER THE PUBLIC INFRASTRUCTURE TO BE
25 CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE PROCEEDS OF SUCH BONDS IS
26 COMPLETED PLUS THE VALUE OF THE PUBLIC INFRASTRUCTURE OWNED BY THE
27 DISTRICT AND TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE
28 PROCEEDS OF SUCH BONDS.

29 3. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
30 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF GENERAL OBLIGATION BONDS, A
31 THIRD-PARTY MARKET STUDY THAT INCLUDES PROJECTIONS OF THE LIMITED PROPERTY
32 VALUE OF REAL PROPERTY IN THE DISTRICT FOR EACH YEAR IN WHICH GENERAL
33 OBLIGATION BONDS ARE PROPOSED TO BE OUTSTANDING, TOGETHER WITH A
34 PROJECTION OF THE AD VALOREM TAX RATE THAT IS REQUIRED TO SUPPORT DEBT
35 SERVICE ON THE GENERAL OBLIGATION BONDS, WHICH PROJECTED RATE DOES NOT
36 EXCEED THE MAXIMUM AUTHORIZED TAX RATE.

37 4. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
38 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF ASSESSMENT BONDS, AN
39 APPRAISAL INDICATING THE AGGREGATE AS-IS MARKET VALUE OF REAL PROPERTY IN
40 THE DISTRICT AND THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND
41 IMPROVEMENTS IN THE DISTRICT AFTER COMPLETION OF THE PUBLIC INFRASTRUCTURE
42 PROPOSED TO BE FINANCED WITH SUCH ASSESSMENT BONDS.

43 5. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
44 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF ASSESSMENT BONDS, THE MAXIMUM
45 AGGREGATE ASSESSMENT AND THE MAXIMUM PER-LOT ASSESSMENT TO BE LEVIED IN
46 CONNECTION WITH THE ASSESSMENT BONDS.

47 6. THE ANTICIPATED BUILD-OUT SCHEDULE AND ASSOCIATED VALUATION
48 INCREASES.

1 7. THE CURRENTLY OUTSTANDING AGGREGATE PRINCIPAL AMOUNT OF ALL
2 BONDS OF THE DISTRICT AND THE CURRENT AD VALOREM TAX RATE OF THE DISTRICT,
3 IF ANY.

4 8. THE PROPOSED FINANCING TEAM, INCLUDING THE UNDERWRITER OR
5 PLACEMENT AGENT AND THE DISTRICT'S BOND COUNSEL.

6 9. A CERTIFICATION AS TO THE REASONABLENESS OF ASSUMPTIONS THAT ARE
7 USED IN THE MARKET VALUE AND GROWTH PROJECTIONS.

8 10. A CERTIFICATION THAT THE CONSTRUCTION OR ACQUISITION OF THE
9 PUBLIC INFRASTRUCTURE, AS APPLICABLE, WILL NOT CONFLICT WITH ANY EXISTING
10 AND APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE
11 MUNICIPALITY OR THE COUNTY THAT RELATES TO THE LAND INCLUDED WITHIN THE
12 BOUNDARIES OF THE DISTRICT THAT WAS SUBMITTED TO THE AUTHORITY IN
13 CONNECTION WITH THE PETITION.

14 C. THE AUTHORITY SHALL REVIEW THE INFORMATION SUBMITTED PURSUANT TO
15 SUBSECTION B OF THIS SECTION TO CONFIRM, SOLELY ON THE BASIS OF THE
16 INFORMATION SUBMITTED AND WITHOUT ANY INDEPENDENT DETERMINATION OF
17 FEASIBILITY OR VALUE, THAT ALL INFORMATION REQUIRED PURSUANT TO SUBSECTION
18 B OF THIS SECTION HAS BEEN SUBMITTED AND THAT THE CONSTRUCTION OR
19 ACQUISITION OF THE PUBLIC INFRASTRUCTURE, OR BOTH, AS APPLICABLE, COMPLIES
20 WITH THE FORMATION ORDER AND THE GENERAL PLAN AND DOES NOT OTHERWISE
21 VIOLATE THE PROVISIONS OF THIS CHAPTER.

22 D. THE AUTHORITY SHALL PROVIDE WRITTEN NOTICE TO THE DISTRICT
23 WITHIN THIRTY DAYS AFTER RECEIVING THE INFORMATION SUBMITTED PURSUANT TO
24 SUBSECTION B OF THIS SECTION IF THE SUBMITTED INFORMATION IS INCOMPLETE OR
25 HAS NOT BEEN SUBMITTED OR IF THE SUBMITTED INFORMATION INDICATES THAT THE
26 CONSTRUCTION OR ACQUISITION OF THE PUBLIC INFRASTRUCTURE DOES NOT COMPLY
27 WITH THE FORMATION ORDER OR THE GENERAL PLAN OR DOES NOT OTHERWISE COMPLY
28 WITH THE PROVISIONS OF THIS CHAPTER, WHICH WRITTEN NOTICE SHALL IDENTIFY
29 ANY DEFICIENCIES. THE BOARD MAY NOT HOLD THE PUBLIC HEARING DESCRIBED IN
30 SUBSECTION A OF THIS SECTION UNTIL THIRTY DAYS HAS ELAPSED SINCE THE
31 SUBMISSION OF THE INFORMATION SUBMITTED PURSUANT TO SUBSECTION B OF THIS
32 SECTION AND THE DISTRICT HAS NOT RECEIVED FROM THE AUTHORITY THE NOTICE
33 PRESCRIBED IN THIS SUBSECTION.

34 E. FEES AND OTHER CHARGES THAT ARE ASSESSED BY THE AUTHORITY IN
35 CONNECTION WITH THE REVIEW OF THE INFORMATION SUBMITTED PURSUANT TO
36 SUBSECTION B OF THIS SECTION SHALL NOT EXCEED \$15,000 FOR EACH
37 SUBMISSION. [ANY SUCH FEES SHALL BE IN ADDITION TO THE FEES AND OTHERS
38 CHARGES THAT ARE ASSESSED BY THE AUTHORITY IN CONNECTION WITH THE
39 SUBMISSION AND CONSIDERATION OF AN APPLICATION AND PETITION TO FORM A
40 DISTRICT PURSUANT TO SECTION 48-7003, SUBSECTION J.]

41 ARTICLE 2. FINANCIAL PROVISIONS

42 48-7021. General obligation bonds debt limitations: maximum
43 authorized tax rate

44 A. THE TOTAL AGGREGATE OUTSTANDING AMOUNT OF GENERAL OBLIGATION
45 BONDS AND ANY OTHER INDEBTEDNESS FOR WHICH THE AD VALOREM TAXES OF THE
46 DISTRICT ARE PLEDGED SHALL NOT EXCEED SIXTY PERCENT OF THE AGGREGATE OF
47 THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND IMPROVEMENTS IN THE
48 DISTRICT AFTER THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED BY

1 THE DISTRICT WITH THE PROCEEDS OF SUCH GENERAL OBLIGATION BONDS IS
2 COMPLETED PLUS THE VALUE OF THE PUBLIC INFRASTRUCTURE OWNED BY THE
3 DISTRICT AND TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE
4 PROCEEDS OF SUCH GENERAL OBLIGATION BONDS.

5 B. ANY AD VALOREM TAX LEVIED TO PAY THE DEBT SERVICE ON ALL GENERAL
6 OBLIGATION BONDS OF THE DISTRICT SHALL NOT BE LEVIED AT A RATE THAT
7 EXCEEDS THE MAXIMUM AUTHORIZED TAX RATE. THE MAXIMUM AUTHORIZED TAX RATE
8 SHALL BE INDICATED IN THE PETITION AND THE FORMATION ORDER AND SHALL BE
9 APPROVED AT AN ELECTION HELD PURSUANT TO SECTION 48-7041 EXCEPT THAT THE
10 MAXIMUM AUTHORIZED TAX RATE SHALL NOT EXCEED \$10 PER \$100 OF NET LIMITED
11 ASSESSED PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE
12 DISTRICT [., AND PROVIDED FURTHER THAT IF, AS OF THE DATE THE PETITION TO
13 FORM THE DISTRICT IS SUBMITTED, THE TOTAL COUNTYWIDE PRIMARY AND SECONDARY
14 TAX RATE PER \$100 OF NET LIMITED ASSESSED PROPERTY VALUATION IN THE COUNTY
15 IN WHICH THE DISTRICT IS LOCATED EXCEEDS ONE HUNDRED TWENTY-FIVE PERCENT
16 OF THE STATEWIDE AVERAGE TOTAL COUNTYWIDE PRIMARY AND SECONDARY RATE, AS
17 SHOWN IN THE MOST RECENT ABSTRACT OF THE ASSESSMENT ROLL OR SIMILAR REPORT
18 PUBLISHED BY THE DEPARTMENT OF REVENUE, THEN THE MAXIMUM AUTHORIZED TAX
19 RATE SHALL NOT EXCEED \$6 PER \$100 OF NET LIMITED ASSESSED PROPERTY
20 VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE DISTRICT, UNLESS THE
21 GOVERNING BODY OF THE MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED, OR IF
22 THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, THE COUNTY IN WHICH THE
23 DISTRICT IS LOCATED, APPROVES A HIGHER MAXIMUM AUTHORIZED TAX RATE BY
24 WRITTEN CONSENT OR BY RESOLUTION]. THE AUTHORITY SHALL NOT OTHERWISE
25 RESTRICT THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM ASSESSMENT ASSESSED
26 BY A DISTRICT OR THE MAXIMUM AGGREGATE AMOUNT OF BONDS ISSUED BY A
27 DISTRICT EXCEPT AS EXPRESSLY PROVIDED IN THIS CHAPTER.

28 48-7022. General obligation bonds; tax levy; security

29 A. AT ANY TIME AFTER THE FORMATION OF A DISTRICT, THE BOARD MAY
30 FROM TIME TO TIME ORDER AND CALL A GENERAL OBLIGATION BOND ELECTION TO
31 SUBMIT TO THE QUALIFIED ELECTORS OF THE DISTRICT OR TO THOSE PERSONS WHO
32 ARE QUALIFIED TO VOTE PURSUANT TO SECTION 48-7041 THE QUESTION OF
33 AUTHORIZING THE BOARD TO ISSUE GENERAL OBLIGATION BONDS OF THE DISTRICT TO
34 PROVIDE MONIES FOR ANY PUBLIC INFRASTRUCTURE PURPOSES CONSISTENT WITH THE
35 GENERAL PLAN AND THE QUESTION OF AUTHORIZING AN AD VALOREM TAX TO BE
36 LEVIED.

37 B. IF GENERAL OBLIGATION BONDS ARE APPROVED AT AN ELECTION, THE
38 BOARD MAY ISSUE AND SELL GENERAL OBLIGATION BONDS OF THE DISTRICT, THE
39 TERM OF WHICH MAY NOT EXCEED THIRTY YEARS, SUBJECT TO THE LIMITATION THAT
40 ANY AD VALOREM TAX LEVIED TO PAY THE DEBT SERVICE ON THE GENERAL
41 OBLIGATION BONDS SHALL NOT BE LEVIED AT A RATE THAT EXCEEDS THE MAXIMUM
42 AUTHORIZED TAX RATE.

43 C. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY
44 GENERAL OBLIGATION BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED
45 THIRTY YEARS. IF GENERAL OBLIGATION BONDS ARE ISSUED TO REFUND ANY
46 GENERAL OBLIGATION BONDS OF THE DISTRICT, AN ELECTION ON THE ISSUANCE OF
47 SUCH REFUNDING BONDS IS NOT REQUIRED, BUT ANY AD VALOREM TAX LEVIED TO PAY
48 THE DEBT SERVICE ON SUCH REFUNDING BONDS SHALL NOT BE LEVIED AT A RATE

1 THAT EXCEEDS THE MAXIMUM AUTHORIZED TAX RATE. AD VALOREM TAXES LEVIED TO
2 PAY GENERAL OBLIGATION BONDS OF A DISTRICT ARE LIMITED TAXES SUBJECT TO
3 THE MAXIMUM AUTHORIZED TAX RATE APPROVED AT ELECTION AND DO NOT CONSTITUTE
4 UNLIMITED AD VALOREM TAXES.

5 D. AFTER THE BONDS ARE ISSUED, THE BOARD SHALL ENTER IN ITS MINUTES
6 A RECORD OF THE BONDS SOLD AND THEIR NUMBERS AND DATES AND SHALL ANNUALLY
7 LEVY AND CAUSE AN AD VALOREM TAX TO BE COLLECTED, AT THE SAME TIME AND IN
8 THE SAME MANNER AS OTHER TAXES ARE LEVIED AND COLLECTED ON ALL TAXABLE
9 PROPERTY IN THE DISTRICT, SUFFICIENT, TOGETHER WITH ANY MONIES FROM THE
10 SOURCES DESCRIBED IN SECTION 48-7007, TO PAY DEBT SERVICE ON THE BONDS
11 WHEN DUE. THE ANNUAL LEVY SHALL NOT EXCEED THE NET AMOUNT NECESSARY TO
12 MEET ANNUAL PAYMENTS OF PRINCIPAL AND INTEREST, PROJECTED PAYMENTS OF
13 PRINCIPAL AND INTEREST ON NEW DEBT PLANNED FOR THE ENSUING YEAR, A
14 REASONABLE DELINQUENCY FACTOR, INCLUDING AN AMOUNT NECESSARY TO CORRECT
15 PRIOR YEAR ERRORS OR SHORTAGES IN THE LEVY, IF APPLICABLE, AND ANY
16 EXPENSES AND FEES REQUIRED IN CONJUNCTION WITH THE AUTHORIZATION PURSUANT
17 TO SECTION 35-512. THE ANNUAL AD VALOREM TAX RATE LEVIED PURSUANT TO THIS
18 SUBSECTION SHALL NOT EXCEED THE MAXIMUM AUTHORIZED TAX RATE. THE LEVY
19 SHALL BE THE NET OF ALL CASH IN EXCESS OF TEN PERCENT OF THE ANNUAL
20 PAYMENTS OF PRINCIPAL AND INTEREST IN THE CURRENT FISCAL YEAR FROM THE
21 PREVIOUS YEAR THAT REMAIN IN THE FUND OR FUNDS PRESCRIBED BY SUBSECTION E
22 OF THIS SECTION.

23 E. MONIES DERIVED FROM THE LEVY OF THE TAX PROVIDED IN THIS SECTION
24 WHEN COLLECTED CONSTITUTE FUNDS TO PAY THE DEBT SERVICE ON THE BONDS AND
25 SHALL BE KEPT SEPARATELY FROM OTHER FUNDS OF THE DISTRICT. AMOUNTS LEVIED
26 FOR DEBT SERVICE ON BONDS PAYABLE FROM THE SECONDARY TAX ARE AND SHALL BE
27 CONSIDERED SPECIAL REVENUES OF THE DISTRICT, SHALL BE KEPT IN A SPECIAL,
28 SEGREGATED FUND, ARE NOT AND SHALL NOT BE GENERAL PROPERTY TAXES AND MAY
29 NOT BE USED FOR ANY OTHER PURPOSE OF THE DISTRICT.

30 F. ALL GENERAL OBLIGATION BONDS, HERETOFORE AND HEREAFTER ISSUED,
31 ARE SECURED BY A LIEN ON ALL REVENUES RECEIVED PURSUANT TO THE AD VALOREM
32 TAX LEVY. THE LIEN ARISES AUTOMATICALLY WITHOUT THE NEED FOR ANY ACTION
33 OR AUTHORIZATION BY THE DISTRICT OR THE BOARD. THE LIEN IS VALID AND
34 BINDING FROM THE TIME OF THE ISSUANCE OF THE GENERAL OBLIGATION BONDS.
35 THE REVENUES RECEIVED PURSUANT TO THE LEVY OF THE AD VALOREM TAX ARE
36 IMMEDIATELY SUBJECT TO THE LIEN. THE LIEN ATTACHES IMMEDIATELY TO THE
37 REVENUES AND IS EFFECTIVE, BINDING AND ENFORCEABLE AGAINST THE DISTRICT,
38 THE DISTRICT'S SUCCESSORS, TRANSFEREES AND CREDITORS AND ALL OTHER PARTIES
39 ASSERTING RIGHTS IN THE REVENUES, IRRESPECTIVE OF WHETHER THE PARTIES HAVE
40 NOTICE OF THE LIEN, WITHOUT THE NEED FOR ANY PHYSICAL DELIVERY,
41 RECORDATION, FILING OR FURTHER ACT.

42 48-7023. Assessments; assessment lien bonds; judicial review

43 A. AFTER APPROVAL OF THE ASSESSMENT AT AN ELECTION HELD AS
44 PRESCRIBED BY SECTION 48-7041, AND PURSUANT TO THE PROCEDURES PRESCRIBED
45 BY SECTIONS 48-576 THROUGH 48-589, AS NEARLY AS PRACTICABLE, OR SUCH OTHER
46 PROCEDURES AS THE BOARD PROVIDES, THE BOARD, MAY LEVY BY RESOLUTION AN
47 ASSESSMENT OF THE COSTS OF ANY PUBLIC INFRASTRUCTURE PURPOSE OR ANY
48 OPERATION AND MAINTENANCE OF PUBLIC INFRASTRUCTURE ON ANY LAND IN THE

1 DISTRICT THAT IS BASED ON THE BENEFIT DETERMINED BY THE BOARD TO BE
2 RECEIVED BY THE LAND. BEFORE THE ISSUANCE OF ASSESSMENT BONDS, THE
3 DISTRICT MAY ENTER INTO A WRITTEN AGREEMENT WITH A LANDOWNER AS TO THE
4 MANNER IN WHICH THE ASSESSMENT IS TO BE ALLOCATED IF THE LAND IS TO BE
5 DIVIDED INTO MORE THAN ONE PARCEL. IF AN ISSUE OF ASSESSMENT BONDS
6 FINANCES MORE THAN ONE PURPOSE OR SERVICE, THE BENEFIT RECEIVED BY THE
7 LAND, IN THE DISCRETION OF THE DISTRICT, MAY BE DETERMINED BY REFERENCE TO
8 THE PURPOSES AND SERVICES AS A WHOLE OR INDIVIDUALLY. THE ASSESSMENT MAY
9 BE BASED ON ESTIMATED COSTS AND AMENDED TO REFLECT ACTUAL COSTS, AND THE
10 PREPARATION OF PLANS AND SPECIFICATIONS AND THE AWARDED OF THE CONTRACT
11 ARE NOT A PREREQUISITE TO THE LEVYING OF THE ASSESSMENT. AN OWNER OF LAND
12 ON WHICH AN ASSESSMENT HAS BEEN LEVIED MAY SEEK JUDICIAL REVIEW OF WHETHER
13 THE LAND IS BENEFITED BY THE PROPOSED PUBLIC INFRASTRUCTURE, ON THE
14 MERITS, BY SPECIAL ACTION FILED WITH THE COURT OF APPEALS, WITHIN THIRTY
15 DAYS AFTER THE EFFECTIVE DATE OF THE RESOLUTION.

16 B. AFTER ADOPTION BY THE BOARD OF A RESOLUTION LEVYING AN
17 ASSESSMENT ON PROPERTY IN THE DISTRICT, THE BOARD MAY ISSUE AND SELL
18 ASSESSMENT BONDS, THE TERM OF WHICH MAY NOT EXCEED THIRTY YEARS, PAYABLE
19 FROM AMOUNTS COLLECTED FROM THE ASSESSMENTS, FROM AMOUNTS AVAILABLE FROM
20 TIME TO TIME IN ANY RESERVE FUND ESTABLISHED FOR THOSE BONDS AND FROM ANY
21 OTHER AMOUNTS AVAILABLE FOR THOSE PURPOSES AS PRESCRIBED BY SECTION
22 48-7007. THE DISTRICT AND THE COUNTY TREASURER FOR THE COUNTY IN WHICH
23 THE DISTRICT IS LOCATED MAY ENTER INTO AN AGREEMENT FOR THE COUNTY
24 TREASURER TO COLLECT THE DISTRICT'S ASSESSMENTS IN THE MANNER AND BY THE
25 OFFICERS PROVIDED BY LAW FOR THE COLLECTION AND ENFORCEMENT OF GENERAL
26 TAXES. THE DISTRICT AND THE COUNTY TREASURER MAY PROVIDE BY AGREEMENT FOR
27 THE PAYMENT OF THE COUNTY TREASURER'S COLLECTION EXPENSES DIRECTLY RELATED
28 TO THE LEVY OF THE ASSESSMENT AND, IF SO PROVIDED, THE LEVY OF THE
29 ASSESSMENT MAY INCLUDE AN AMOUNT FOR COMPENSATION OF THE COUNTY TREASURER
30 DIRECTLY RELATED TO THE COLLECTION OF THE ASSESSMENT. THE COMPENSATION
31 RECEIVED BY THE COUNTY TREASURER PURSUANT TO THE AGREEMENT SHALL BE
32 GOVERNED BY SECTION 11-496. THE BOARD MAY ALSO ISSUE AND SELL BOND
33 ANTICIPATION NOTES PURSUANT TO THE PROCEDURES PRESCRIBED IN SECTION
34 48-2081 OR WITH PROCEDURES AS SIMILAR TO THOSE AS IS PRACTICABLE. THE
35 ASSESSMENT SHALL BE A FIRST LIEN ON THE PROPERTY ASSESSED SUBJECT ONLY TO
36 GENERAL PROPERTY TAXES AND PRIOR ASSESSMENTS. IN THE EVENT OF NONPAYMENT
37 OF AN ASSESSMENT AND EXCEPT AS OTHERWISE PROVIDED IN AN AGREEMENT BETWEEN
38 THE DISTRICT AND THE COUNTY TREASURER PURSUANT TO THIS SECTION, THE
39 PROCEDURES FOR COLLECTION OF DELINQUENT ASSESSMENTS, SALE OF DELINQUENT
40 PROPERTY AND ISSUANCE AND EFFECT OF THE DEED PRESCRIBED BY SECTIONS 48-601
41 THROUGH 48-607 APPLY, AS NEARLY AS PRACTICABLE, EXCEPT THAT THE DISTRICT,
42 A MUNICIPALITY, A COUNTY OR THE STATE IS NOT REQUIRED TO PURCHASE THE
43 DELINQUENT LAND AT THE SALE IF THERE IS NO OTHER PURCHASER. IF THE
44 LANDOWNER OWNS MORE THAN ONE PARCEL IN THE DISTRICT, THE BOARD MAY PROVIDE
45 PROCEDURES FOR THE COLLECTION AND ENFORCEMENT OF ASSESSMENTS AS THE BOARD
46 DEEMS APPROPRIATE BY CONTRACT WITH A LANDOWNER TO ALLOW THE SALE OF ANY OR
47 ALL OF THE LANDOWNER'S PARCELS IN THE DISTRICT IF THE LANDOWNER BECOMES
48 DELINQUENT AS TO ANY PARCEL THAT THE LANDOWNER OWNS IN THE DISTRICT.

1 C. ON ADOPTION OF THE RESOLUTION, BUT BEFORE ISSUANCE OF THE
2 ASSESSMENT BONDS, THE DISTRICT MAY DIRECT THE TREASURER TO MAKE DEMAND ON
3 THE OWNERS OF THE PROPERTY SO ASSESSED, AS SHOWN ON THE PROPERTY TAX ROLL,
4 FOR ADVANCE PAYMENT OF THE AMOUNT ASSESSED. THE DEMAND SHALL STATE A DATE
5 NOT LESS THAN TWENTY DAYS AFTER THE DATE OF ADOPTION OF THE RESOLUTION
6 AFTER WHICH THE TREASURER MAY REFUSE TO ACCEPT ADVANCE PAYMENTS OF THE
7 ASSESSMENT. THE TREASURER SHALL CERTIFY TO THE CLERK ON OR AFTER THE DATE
8 SPECIFIED IN THE DEMAND THE AMOUNT COLLECTED AND THE ASSESSMENTS REMAINING
9 UNPAID AGAINST EACH PARCEL OF LAND ASSESSED. ASSESSMENT BONDS MAY NOT BE
10 ISSUED IN AN AMOUNT IN EXCESS OF THE AMOUNT ASSESSED IN THE RESOLUTION OR,
11 IF ADVANCE PAYMENTS ARE DEMANDED, THE AMOUNT CERTIFIED TO THE CLERK. THE
12 DISTRICT MAY ADOPT PROCEDURES FOR PREPAYMENT AND PROVISIONS FOR PAYMENT
13 AND REALLOCATION OF ASSESSMENTS.

14 D. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY
15 ASSESSMENT BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY
16 YEARS.

17 48-7024. Revenue bonds

18 A. AT ANY TIME AFTER THE HEARING ON FORMATION OF THE DISTRICT, THE
19 BOARD MAY HOLD A HEARING ON THE QUESTION OF AUTHORIZING THE BOARD TO ISSUE
20 REVENUE BONDS OF THE DISTRICT TO PROVIDE MONIES FOR ANY INFRASTRUCTURE
21 PURPOSES CONSISTENT WITH THE GENERAL PLAN.

22 B. IF REVENUE BONDS ARE APPROVED BY RESOLUTION, THE BOARD MAY ISSUE
23 AND SELL REVENUE BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED
24 THIRTY YEARS.

25 C. THE BOARD MAY PLEDGE TO THE PAYMENT OF ITS REVENUE BONDS ANY
26 REVENUES OF THE DISTRICT OR REVENUES TO BE COLLECTED BY A MUNICIPALITY OR
27 A COUNTY IN TRUST FOR THE DISTRICT AND RETURNED TO THE DISTRICT.

28 D. THE DISTRICT SHALL PRESCRIBE FEES AND CHARGES, AND SHALL REVISE
29 THEM WHEN NECESSARY, TO GENERATE REVENUE SUFFICIENT, TOGETHER WITH ANY
30 MONIES FROM THE SOURCES DESCRIBED IN SECTION 48-7007, TO PAY WHEN DUE THE
31 PRINCIPAL AND INTEREST OF ALL REVENUE BONDS FOR THE PAYMENT OF WHICH
32 REVENUE HAS BEEN PLEDGED. THE ESTABLISHMENT OR REVISION OF ANY RATES,
33 FEES AND CHARGES SHALL BE IDENTIFIED AND NOTICED CONCURRENTLY WITH THE
34 ANNUAL BUDGET PROCESS OF THE DISTRICT PURSUANT TO SECTION 48-7027.

35 E. IF, IN THE RESOLUTION OF THE BOARD, THE REVENUES TO BE PLEDGED
36 ARE LIMITED TO CERTAIN TYPES OF REVENUES, ONLY THOSE TYPES OF REVENUES MAY
37 BE PLEDGED AND ONLY THOSE REVENUES MUST BE MAINTAINED.

38 F. A HOLDER OF REVENUE BONDS ISSUED UNDER THIS CHAPTER MAY NOT
39 COMPEL ANY EXERCISE OF THE TAXING POWER OF THE DISTRICT, A MUNICIPALITY,
40 THE COUNTY OR THIS STATE TO PAY THE BONDS OR THE INTEREST ON THE BONDS.
41 REVENUE BONDS ISSUED UNDER THIS CHAPTER ARE NOT A DEBT OF THE DISTRICT, A
42 MUNICIPALITY, THE COUNTY OR THIS STATE, NOR IS THE PAYMENT OF REVENUE
43 BONDS ENFORCEABLE OUT OF ANY MONIES OTHER THAN THE REVENUE PLEDGED TO THE
44 PAYMENT OF THE BONDS.

45 G. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY
46 REVENUE BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY
47 YEARS.

48 48-7025. Terms of bonds

1 A. WITH RESPECT TO ANY BONDS, THE BOARD SHALL PRESCRIBE THE
2 DENOMINATIONS OF THE BONDS, THE SIZE OF EACH ISSUE AND THE FORM OF THE
3 BONDS AND SHALL ESTABLISH THE MATURITIES, INTEREST PAYMENT DATES AND
4 INTEREST RATES, WHETHER FIXED OR VARIABLE, NOT EXCEEDING THE MAXIMUM RATE
5 STATED IN THE NOTICE OF THE ELECTION OR THE RESOLUTION OF THE BOARD. THE
6 BONDS MAY BE SOLD BY COMPETITIVE BID OR NEGOTIATED SALE FOR PUBLIC OR
7 PRIVATE OFFERING AT, BELOW OR ABOVE PAR. IF THE BONDS ARE SOLD BELOW PAR,
8 THE AGGREGATE AMOUNT OF DISCOUNT AND INTEREST TO BE PAID ON THE BONDS
9 SHALL NOT EXCEED THE AMOUNT OF INTEREST THAT WOULD HAVE BEEN PAYABLE ON
10 THOSE BONDS PURSUANT TO THE MATURITY SCHEDULE PRESCRIBED BY THE BOARD AT
11 THE MAXIMUM RATE SET OUT IN THE BOND RESOLUTION.

12 B. IF GENERAL OBLIGATION BONDS OF THE DISTRICT ARE SOLD ABOVE PAR,
13 THE AMOUNT OF NET PREMIUM ASSOCIATED WITH A GENERAL OBLIGATION BOND ISSUE
14 MAY BE USED ONLY FOR THE FOLLOWING PURPOSES:

15 1. TO PAY ANY OR ALL COSTS INCURRED IN ISSUING THE GENERAL
16 OBLIGATION BONDS.

17 2. AS A DEPOSIT IN A DEBT SERVICE FUND AND USED ONLY TO PAY
18 INTEREST ON THE ISSUE OF GENERAL OBLIGATION BONDS.

19 C. IF USED FOR ANY PURPOSE OTHER THAN AS PRESCRIBED IN SUBSECTION B
20 OF THIS SECTION, AND IF THE DISTRICT HAS GENERAL OBLIGATION BOND VOTER
21 AUTHORIZATION AND AVAILABLE CAPACITY UNDER ITS DEBT LIMITATIONS PRESCRIBED
22 BY SECTION 48-7021, SUBSECTION A, THE AMOUNT OF NET PREMIUM USED FOR THAT
23 PURPOSE SHALL REDUCE IN AN EQUAL AMOUNT BOTH THE AVAILABLE AGGREGATE
24 INDEBTEDNESS CAPACITY OF THE DISTRICT PRESCRIBED IN SECTION 48-7021,
25 SUBSECTION A AND THE PRINCIPAL AMOUNT AUTHORIZED AT THE GENERAL OBLIGATION
26 BOND ELECTION FOR THE DISTRICT FROM WHICH THE ISSUE OF GENERAL OBLIGATION
27 BONDS IS BEING SOLD. ANY NET PREMIUM THAT IS USED AS PRESCRIBED IN THIS
28 SUBSECTION SHALL BE AMORTIZED FOR ALL DEBT LIMITATION PURPOSES ON A PRO
29 RATA BASIS EACH YEAR BY MULTIPLYING THE NET PREMIUM USED BY A PERCENTAGE
30 EQUAL TO THE PERCENTAGE OF THE TOTAL PRINCIPAL AMOUNT OF THE GENERAL
31 OBLIGATION BOND ISSUE THAT MATURES IN THAT YEAR.

32 D. THE PROCEEDS OF THE SALES SHALL BE DEPOSITED WITH THE TREASURER,
33 OR WITH A TRUSTEE OR AGENT DESIGNATED BY THE BOARD, TO THE CREDIT OF THE
34 DISTRICT TO BE WITHDRAWN FOR THE PURPOSES PROVIDED BY THIS CHAPTER.
35 PENDING THAT USE, THE PROCEEDS MAY BE INVESTED AS DETERMINED BY THE
36 DISTRICT. THE BONDS MAY CONTAIN TERMS, CONDITIONS, COVENANTS AND
37 AGREEMENTS AS THE BOARD DEEMS PROPER. THE BONDS MAY BE PAYABLE FROM ANY
38 COMBINATION OF AD VALOREM TAXES, REVENUES OR ASSESSMENTS OF THE TYPES
39 DESCRIBED IN THIS CHAPTER AND AS SPECIFIED IN THE BONDS IF ALL APPLICABLE
40 REQUIREMENTS ARE MET.

41 48-7026. O/M taxes; election; annual financial estimate and
42 budget; hearing

43 A. AT ANY TIME AFTER THE RECORDING OF A FORMATION ORDER, THE BOARD
44 MAY CALL AN ELECTION TO SUBMIT TO THE PERSONS WHO ARE ELIGIBLE TO VOTE IN
45 THE DISTRICT AS PRESCRIBED IN SECTION 48-7041 THE QUESTION OF AUTHORIZING
46 THE BOARD TO LEVY AN O/M TAX ON THE NET LIMITED ASSESSED PROPERTY
47 VALUATION OF PROPERTY IN THE DISTRICT AT A RATE OR RATES THAT DO NOT
48 EXCEED THE MAXIMUM RATE OR RATES SPECIFIED IN THE BALLOT. THE MAXIMUM

1 RATE SPECIFIED IN THE ORIGINAL BALLOT MUST BE APPROVED BY A MAJORITY OF
2 THE PERSONS WHO ARE ELIGIBLE TO VOTE IN THE DISTRICT AS PRESCRIBED IN
3 SECTION 48-7041, VOTING IN A REGULAR OR SPECIAL ELECTION AT LEAST EVERY
4 SEVEN YEARS AFTER THE DATE OF THE INITIAL IMPOSITION, IF AN ELECTION IS
5 NOT REQUIRED TO LEVY AN O/M TAX AT THE RATE DETERMINED BY THE BOARD TO BE
6 NECESSARY TO MAINTAIN THE DISTRICT'S FACILITIES AND IMPROVEMENTS AND
7 ENSURE REPAYMENT OF THE DISTRICT'S OUTSTANDING BONDS AND OBLIGATIONS. ALL
8 O/M TAXES SHALL BE USED FOR THE OPERATION AND MAINTENANCE EXPENSES OF THE
9 DISTRICT, INCLUDING LEGAL EXPENSES AND EXPENSES THAT ARE ASSOCIATED WITH
10 INSURANCE COVERAGE, AND SHALL NOT EXCEED AN AMOUNT EQUAL TO \$.30 PER \$100
11 OF ASSESSED VALUATION FOR ALL REAL AND PERSONAL PROPERTY IN THE DISTRICT.
12 THE BOARD BY SIMPLE MAJORITY VOTE MAY REDUCE OR ELIMINATE ANY PORTION OF
13 THE O/M TAX IMPOSED BY THE DISTRICT THAT THE BOARD DETERMINES IS NOT
14 NECESSARY TO MAINTAIN THE DISTRICT'S FACILITIES AND IMPROVEMENTS. IF NO
15 BONDS OR OBLIGATIONS REMAIN OUTSTANDING, A DISTRICT SHALL NOT LEVY AN O/M
16 TAX IN ANY YEAR FOLLOWING COMPLETION OF ALL WORK TO BE PERFORMED UNDER THE
17 DISTRICT'S GENERAL PLAN.

18 B. THE DISTRICT MAY NOT LEVY AN O/M TAX AT A RATE OR RATES IN
19 EXCESS OF THE MAXIMUM RATE SPECIFIED IN THE FORMATION ORDER.

20 C. WHEN LEVYING AN O/M TAX, THE BOARD SHALL MAKE ANNUAL STATEMENTS
21 AND ESTIMATES OF THE OPERATION AND MAINTENANCE EXPENSES OF THE DISTRICT
22 AND THE AMOUNT OF ALL OTHER EXPENDITURES FOR PUBLIC INFRASTRUCTURE
23 PROPOSED TO BE PAID FROM THE O/M TAX LEVY OR LEVIES, ALL OF WHICH SHALL BE
24 PROVIDED FOR BY THE LEVY AND COLLECTION OF AD VALOREM TAXES ON THE
25 ASSESSED VALUE OF ALL THE REAL AND PERSONAL PROPERTY IN THE DISTRICT. THE
26 BOARD SHALL FILE THE ANNUAL STATEMENTS AND ESTIMATES WITH THE CLERK. THE
27 BOARD SHALL PUBLISH A NOTICE OF THE FILING OF THE ESTIMATE, SHALL HOLD
28 HEARINGS ON THE PORTIONS OF THE ESTIMATE NOT RELATING TO DEBT SERVICE ON
29 BONDS AND SHALL ADOPT A BUDGET. THE BOARD, ON OR BEFORE THE DATE SET BY
30 LAW FOR CERTIFYING THE ANNUAL BUDGET OF THE COUNTY OR MUNICIPALITY, SHALL
31 FIX, LEVY AND ASSESS THE AMOUNTS TO BE RAISED BY O/M TAXES OF THE DISTRICT
32 AND SHALL CAUSE CERTIFIED COPIES OF THE ORDER TO BE DELIVERED TO THE BOARD
33 OF SUPERVISORS AND TO THE DEPARTMENT OF REVENUE. ALL STATUTES RELATING TO
34 THE LEVY AND COLLECTION OF GENERAL COUNTY TAXES, INCLUDING THE COLLECTION
35 OF DELINQUENT TAXES AND SALE OF PROPERTY FOR NONPAYMENT OF TAXES, APPLY TO
36 THE DISTRICT TAXES PROVIDED FOR BY THIS SECTION.

37 48-7027. Budget; hearing

38 ON OR BEFORE JULY 15 EACH YEAR, THE TREASURER SHALL PREPARE A
39 PROPOSED BUDGET FOR THE ENSUING FISCAL YEAR TO BE SUBMITTED TO THE BOARD
40 FOR APPROVAL. THE BOARD SHALL INDICATE ITS APPROVAL OF THE BUDGET BY
41 RESOLUTION, WHICH SHALL PROVIDE FOR A HEARING ON THE BUDGET AS APPROVED.
42 THE PARTICIPATING ENTITIES MAY REVIEW THE PROPOSED ANNUAL BUDGET AND MAY
43 SUBMIT WRITTEN COMMENTS TO THE BOARD FOR ITS ASSISTANCE AND INFORMATION IN
44 ADOPTING ITS ANNUAL BUDGET. AT THE CONCLUSION OF THE BUDGET HEARING, THE
45 BOARD, BY RESOLUTION, SHALL ADOPT THE BUDGET AS FINALLY APPROVED BY THE
46 BOARD. THE BUDGET SHALL BE ADOPTED BEFORE OCTOBER 1 EACH YEAR.

1 48-7028. Display of district taxes and assessments on
2 property tax bills

3 A. ANY AD VALOREM TAX THAT IS LEVIED BY A DISTRICT PURSUANT TO THIS
4 CHAPTER SHALL BE SHOWN ON EACH PROPERTY TAX BILL AS A SEPARATE LINE ITEM
5 THAT:

6 1. STATES THAT THE DISTRICT IS "STATE-CERTIFIED" TO INDICATE THAT
7 ITS FORMATION WAS APPROVED BY THE AUTHORITY.

8 2. IDENTIFIES THE NAME OF THE DISTRICT.

9 B. ANY ASSESSMENT THAT IS LEVIED BY A DISTRICT PURSUANT TO THIS
10 CHAPTER AND THAT IS COLLECTED BY THE COUNTY TREASURER SHALL BE SHOWN ON
11 EACH PROPERTY TAX BILL AS A SEPARATE LINE ITEM THAT:

12 1. STATES THAT THE DISTRICT IS "STATE-CERTIFIED" TO INDICATE THAT
13 ITS FORMATION WAS APPROVED BY THE AUTHORITY.

14 2. IDENTIFIES THE NAME OF THE DISTRICT.

15 ARTICLE 3. OPERATIONS

16 48-7041. Notice and conduct of elections; eligible voters

17 A. ANY ELECTION UNDER THIS ARTICLE SHALL BE A NONPARTISAN ELECTION
18 AND NOT A GENERAL ELECTION AND IS NOT SUBJECT TO THE REQUIREMENTS
19 APPLICABLE TO ELECTIONS FOR GENERAL GOVERNMENTAL BODIES, INCLUDING ONE-
20 PERSON-ONE-VOTE PRINCIPLES. AN ELECTION UNDER THIS ARTICLE SHALL BE
21 CALLED BY POSTING NOTICES IN THREE PUBLIC PLACES WITHIN THE BOUNDARIES OF
22 THE DISTRICT NOT LESS THAN TWENTY DAYS BEFORE THE ELECTION. ANY ELECTION
23 MAY BE CONDUCTED AS A MAIL BALLOT ELECTION IN THE MANNER PRESCRIBED IN
24 TITLE 16, CHAPTER 4, ARTICLE 8.1 AS NEARLY AS PRACTICABLE. IF THE
25 ELECTION NOTICE IS NOT MAILED TO THE PROPERTY OWNERS AND, IF APPLICABLE,
26 TO THE QUALIFIED ELECTORS, THE NOTICE SHALL ALSO BE PUBLISHED IN A
27 NEWSPAPER OF GENERAL CIRCULATION IN THE MUNICIPALITY, OR IF THERE IS NO
28 NEWSPAPER SO CIRCULATED IN THE MUNICIPALITY OR IF THE DISTRICT IS LOCATED
29 IN AN UNINCORPORATED AREA, IN A NEWSPAPER OF GENERAL CIRCULATION IN THE
30 COUNTY IN WHICH THE DISTRICT IS LOCATED ONCE A WEEK FOR TWO CONSECUTIVE
31 WEEKS BEFORE THE ELECTION. THE NOTICE SHALL STATE:

32 1. THE PLACE OF HOLDING THE ELECTION.

33 2. THE HOURS DURING THE DAY, NOT LESS THAN SIX, IN WHICH THE POLLS
34 WILL BE OPEN.

35 3. IF IT IS A BOND ELECTION, THE AMOUNT OF BONDS TO BE AUTHORIZED
36 FOR THE DISTRICT, THE MAXIMUM RATE OF INTEREST TO BE BORNE ON THE BONDS,
37 THE MAXIMUM TERM OF THE BONDS, NOT EXCEEDING THIRTY YEARS, AND THE
38 PURPOSES FOR WHICH THE MONIES RAISED WILL BE USED.

39 4. IF IT IS AN AD VALOREM TAX LEVY ELECTION PURSUANT TO SECTION
40 48-7022 OR 48-7023, THE MAXIMUM TAX RATE PER \$100 OF NET ASSESSED LIMITED
41 PROPERTY VALUATION TO BE IMPOSED, THE PURPOSES FOR WHICH THE MONIES RAISED
42 WILL BE USED AND THE EXISTING MAXIMUM AUTHORIZED TAX RATE.

43 5. IF IT IS AN ASSESSMENT LEVY ELECTION PURSUANT TO SECTION
44 48-7023, THE MAXIMUM ASSESSMENT RATE TO BE IMPOSED, THE PURPOSES FOR WHICH
45 THE MONIES RAISED WILL BE USED AND THE EXISTING MAXIMUM ASSESSMENT RATE,
46 IF ANY.

47 6. THAT A GENERAL PLAN IS ON FILE WITH THE CLERK.

1 B. THE BOARD SHALL DETERMINE THE DATE OF THE ELECTION AND, IF
2 APPLICABLE, THE POLLING PLACES FOR THE ELECTION AND MAY CONSOLIDATE
3 PRECINCTS. THE CLERK OF THE BOARD SHALL PREPARE A LIST OF ELIGIBLE VOTERS
4 IN THE ELECTION. A PROSPECTIVE LANDOWNER VOTER SHALL EXECUTE AN AFFIDAVIT
5 STATING THAT THE VOTER IS THE OWNER OF LAND IN THE DISTRICT AND IS
6 QUALIFIED TO VOTE PURSUANT TO THIS SECTION AND STATING THE PARCEL NUMBER
7 OWNED BY THE VOTER. ELECTION BOARD MEMBERS MAY ADMINISTER OATHS OR TAKE
8 ALL AFFIRMATIONS FOR THESE PURPOSES. AN ELECTION HELD PURSUANT TO THIS
9 ARTICLE IS NOT SUBJECT TO TITLE 16, CHAPTER 2, ARTICLE 3.

10 C. ONLY THE OWNERS OF REAL PROPERTY IN THE DISTRICT AND THEIR
11 DESIGNATED REPRESENTATIVES ARE ELIGIBLE TO VOTE IN AN ELECTION REGARDING
12 AN AD VALOREM TAX LEVY ELECTION, AN ASSESSMENT ELECTION, AN O/M TAX
13 ELECTION, AN ELECTION FOR THE BOARD OF DIRECTORS OF THE DISTRICT AND IN AN
14 ELECTION FOR DISSOLUTION. VOTING ELIGIBILITY IS BASED ON OWNERSHIP OF
15 REAL PROPERTY SUBJECT TO TAXATION OR ASSESSMENT BY THE DISTRICT.
16 CORPORATIONS, PARTNERSHIPS AND OTHER BUSINESS ENTITIES ARE ELIGIBLE TO
17 VOTE AS PROPERTY OWNERS, BUT ONLY ONE VOTE MAY BE CAST FOR EACH
18 ONE-SEVENTH OF AN ACRE OF REAL PROPERTY IN THE DISTRICT, EXCEPT THAT ANY
19 FRACTION OF OWNERSHIP OF REAL PROPERTY THAT IS LESS THAN ONE-SEVENTH OF AN
20 ACRE ENTITLES THE OWNER TO CAST ONE VOTE. A MAJORITY OF THE ACREAGE AS
21 REPRESENTED BY THE VOTES CAST AT AN ELECTION CONDUCTED SOLELY UNDER THE
22 ACREAGE SYSTEM SHALL DETERMINE THE RESULT. AN ACREAGE SYSTEM ELECTION
23 SHALL BE CONDUCTED PURSUANT TO THE PROCEDURES PRESCRIBED IN SECTIONS
24 48-3042 THROUGH 48-3051 AS NEARLY AS PRACTICABLE. QUALIFIED ELECTORS ARE
25 ELIGIBLE TO VOTE IN AN ELECTION REGARDING GENERAL OBLIGATION BONDS.

26 D. EXCEPT AS OTHERWISE PROVIDED BY THIS ARTICLE, THE ELECTION SHALL
27 COMPLY WITH THE GENERAL ELECTION LAWS OF THIS STATE, EXCEPT THAT THE WORDS
28 TO APPEAR ON THE BALLOTS SHALL BE FOR A BOND ELECTION "BONDS, YES" AND
29 "BONDS, NO", FOR A TAX ELECTION IF NO TAX IS IN PLACE "TAX, YES" AND "TAX,
30 NO", FOR AN ASSESSMENT LEVY ELECTION "ASSESSMENT, YES" AND "ASSESSMENT,
31 NO" AND FOR A TAX ELECTION TO CHANGE AN EXISTING MAXIMUM OR ELIMINATE AN
32 EXISTING TAX "TAX CHANGE, YES" AND "TAX CHANGE, NO". THE RETURNS OF
33 ELECTION SHALL BE MADE TO THE BOARD.

34 E. WITHIN FOURTEEN DAYS AFTER AN ELECTION, THE BOARD SHALL MEET AND
35 CANVASS THE RETURNS. IF THE MAJORITY OF ACREAGE AS REPRESENTED BY THE
36 VOTES CAST AT THE ELECTION IS IN FAVOR OF IMPOSING THE TAX, THE BOARD
37 SHALL ENTER THAT FACT ON ITS MINUTES. THE CANVASS MAY BE CONTINUED FROM
38 TIME TO TIME. FAILURE OF A MAJORITY TO VOTE IN FAVOR OF THE MATTER
39 SUBMITTED DOES NOT PREJUDICE THE SUBMISSION OF THE SAME OR SIMILAR MATTERS
40 AT A LATER ELECTION. ANY CHALLENGE TO THE CONDUCT OR OUTCOME OF AN
41 ELECTION HELD PURSUANT TO THIS CHAPTER MUST BE COMMENCED WITHIN THIRTY
42 DAYS AFTER THE CANVASS OF THE ELECTION AND SHALL BE LIMITED TO WHETHER THE
43 DISTRICT COMPLIED WITH THE PROCEDURAL REQUIREMENTS OF THIS CHAPTER.

44 F. IF A PERSON LISTED ON THE ASSESSMENT ROLL IS NO LONGER THE OWNER
45 OF LAND IN THE DISTRICT AND THE NAME OF THE SUCCESSOR OWNER BECOMES KNOWN
46 AND IS VERIFIED BY RECORDED DEED OR OTHER SIMILAR EVIDENCE OF TRANSFER OF
47 OWNERSHIP, THE SUCCESSOR OWNER IS DEEMED TO BE THE OWNER FOR THE PURPOSES
48 OF THIS ARTICLE.

1 G. NOTWITHSTANDING ANY OTHER PROVISION OF THIS ARTICLE, IF NO
2 PERSON HAS REGISTERED TO VOTE WITHIN THE DISTRICT WITHIN FIFTY DAYS
3 IMMEDIATELY PRECEDING ANY SCHEDULED ELECTION DATE, ANY ELECTION REQUIRED
4 TO BE HELD PURSUANT TO THIS ARTICLE SHALL BE HELD WITH THE VOTE BY THE
5 OWNERS OF LAND WITHIN THE DISTRICT WHO ARE QUALIFIED ELECTORS OF THIS
6 STATE AND OTHER LANDOWNERS ACCORDING TO SECTION 48-3043. EACH OWNER HAS
7 THE NUMBER OF VOTES OR PORTION OF VOTES EQUAL TO THE NUMBER OF ACRES OR
8 PORTION OF ACRES ROUNDED UPWARD TO THE NEAREST ONE-FIFTH OF AN ACRE OWNED
9 IN THE DISTRICT BY THAT PERSON.

10 H. NOTWITHSTANDING ANY OTHER PROVISION OF THIS ARTICLE, IF THE
11 DISTRICT RECEIVES A CONSENT TO WAIVER SIGNED BY OWNERS OF ALL OF THE LAND
12 IN THE DISTRICT, THE DISTRICT MAY WAIVE ANY OR ALL REQUIREMENTS OF
13 POSTING, PUBLICATION, MAILING, NOTICE, HEARING AND LANDOWNER ELECTION
14 OTHERWISE REQUIRED IN CONNECTION WITH ASSESSMENTS OR ASSESSMENT BONDS. ON
15 RECEIPT OF SUCH CONSENT TO WAIVER, THE DISTRICT MAY LEVY THE ASSESSMENT
16 AND ISSUE THE ASSESSMENT BONDS WITHOUT BEING REQUIRED TO COMPLY WITH THE
17 PROVISIONS OF THIS ARTICLE FOR POSTING, PUBLICATION, MAILING, NOTICE,
18 HEARING OR LANDOWNER ELECTION.

19 48-7042. Recording documents

20 THE DISTRICT SHALL FILE AND RECORD WITH THE COUNTY RECORDER THE
21 FORMATION ORDER, THE GENERAL PLAN OF THE DISTRICT, THE CANVASS OF ANY
22 GENERAL OBLIGATION BOND ELECTION AND ANY ASSESSMENTS LEVIED BY THE
23 DISTRICT. COPIES OF ALL SUCH INFORMATION SHALL BE PROVIDED TO THE STATE
24 REAL ESTATE DEPARTMENT.

25 48-7043. District website; required content; coordination
26 with seller disclosures

27 A. THE BOARD SHALL ESTABLISH AND MAINTAIN AN OFFICIAL WEBSITE THAT
28 IS ELECTRONICALLY SEARCHABLE BY THE PUBLIC AND THAT CONTAINS A
29 COMPREHENSIVE DATABASE OF DISTRICT CONTRACTS, PUBLIC NOTICES, MEETING
30 MINUTES, RESOLUTIONS AND ACCOUNTS SHOWING, ON AN AGGREGATE AND SUMMARY
31 BASIS, ALL MONIES RECEIVED AND DISBURSED, THE ANNUAL BUDGET AND OTHER
32 RECORDS REQUIRED TO BE MAINTAINED BY LAW. THE BOARD SHALL PROVIDE A LINK
33 TO THE DATABASE ON THE DISTRICT'S MAIN WEBSITE MAINTAINED BY THE BOARD AND
34 SHALL PROVIDE A LINK TO THAT DATABASE TO THE DEPARTMENT OF ADMINISTRATION.
35 THE DATABASE MAY NOT INCLUDE:

36 1. TAX PAYMENT OR REFUND DATA THAT INCLUDES CONFIDENTIAL TAXPAYER
37 INFORMATION.

38 2. WORK PRODUCT IN ANTICIPATION OF LITIGATION OR OTHER INFORMATION
39 THAT IS SUBJECT TO ATTORNEY-CLIENT PRIVILEGE.

40 3. ANY OTHER INFORMATION THAT IS DESIGNATED BY LAW AS CONFIDENTIAL.

41 B. THE DISTRICT SHALL KEEP THE WEBSITE CURRENT AND SHALL POST, IN
42 ADDITION TO THE INFORMATION DESCRIBED IN SUBSECTION A OF THIS SECTION, ALL
43 OF THE FOLLOWING INFORMATION:

44 1. THE DISTRICT'S LEGAL NAME, COMMON NAME, IF ANY, STATUTORY
45 AUTHORITY, FORMATION DATE AND THE BOUNDARIES OF THE DISTRICT, INCLUDING AT
46 LEAST ONE MAP IN A DOWNLOADABLE FORMAT.

47 2. A COPY OF THE FORMATION ORDER AND THE GENERAL PLAN.

1 3. A STATEMENT THAT THE FORMATION OF THE DISTRICT WAS REVIEWED AND
2 APPROVED BY THE AUTHORITY DESIGNATED PURSUANT TO THIS CHAPTER, AND THAT
3 THE DISTRICT IS A SEPARATE POLITICAL SUBDIVISION FROM THE MUNICIPALITY AND
4 THE COUNTY IN WHICH IT IS LOCATED AND THAT ANY AD VALOREM TAXES,
5 ASSESSMENTS, FEES OR CHARGES IMPOSED BY THE DISTRICT ARE LEVIED BY THE
6 DISTRICT AND ARE NOT TAXES, ASSESSMENTS, FEES OR CHARGES OF THE
7 MUNICIPALITY OR THE COUNTY.

8 4. A PLAIN-LANGUAGE DESCRIPTION OF THE PURPOSE FOR WHICH THE
9 DISTRICT WAS FORMED AND THE PUBLIC INFRASTRUCTURE THE DISTRICT IS
10 AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC
11 INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND
12 WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY
13 THE DISTRICT.

14 5. THE CURRENT YEAR'S ADOPTED BUDGET FOR THE DISTRICT AND THE TWO
15 MOST RECENT PRIOR YEARS' ADOPTED BUDGETS.

16 6. A SCHEDULE OF ALL AD VALOREM TAXES, ASSESSMENTS, FEES AND
17 CHARGES IMPOSED BY THE DISTRICT FOR THE CURRENT FISCAL YEAR.

18 7. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM
19 OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT,
20 CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED
21 PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE
22 SOURCES PLEDGED FOR REPAYMENT.

23 8. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED
24 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM
25 AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.

26 9. THE NAMES, OFFICIAL TITLES AND CONTACT INFORMATION FOR THE
27 BOARD, THE CLERK AND THE TREASURER.

28 10. NOTICES OF ALL REGULAR AND SPECIAL MEETINGS OF THE BOARD,
29 AGENDAS AND MINUTES, POSTED IN A TIMELY MANNER.

30 11. ANY ANNUAL REPORTS, AUDITS OR FINANCIAL REVIEWS REQUIRED TO BE
31 FILED WITH A COUNTY, THIS STATE OR ANY OTHER PUBLIC BODY AND ANY
32 ADDITIONAL REPORTS THE DISTRICT ELECTS TO PROVIDE FOR PUBLIC TRANSPARENCY.

33 [12. A SUMMARY OF THE ANTICIPATED COMMUNITY BENEFITS OF FORMING THE
34 DISTRICT, INCLUDING EXPECTED IMPACTS ON PUBLIC INFRASTRUCTURE TIMING,
35 HOUSING ATTAINABILITY AND ECONOMIC DEVELOPMENT, TOGETHER WITH A
36 DESCRIPTION OF ANY MATERIAL RISKS ASSOCIATED WITH DISTRICT FORMATION AND
37 IMPLEMENTATION OF THE GENERAL PLAN, INCLUDING POTENTIAL TAX, ASSESSMENT
38 AND FISCAL IMPACTS ON OWNERS OF REAL PROPERTY IN THE DISTRICT.]

39 C. THE DISTRICT SHALL ALSO MAKE AVAILABLE ON THE WEBSITE, IN A FORM
40 THAT CAN BE DOWNLOADED AND PROVIDED TO A PURCHASER, A STANDARDIZED
41 "DISTRICT DISCLOSURE NOTICE" THAT INCLUDES:

42 1. A BRIEF DESCRIPTION OF THE DISTRICT AND ITS POWERS TO LEVY AD
43 VALOREM TAXES, ASSESSMENTS, FEES AND CHARGES.

44 2. THE MOST RECENT AD VALOREM TAX RATE OR ASSESSMENT RATE IMPOSED
45 BY THE DISTRICT AND A SAMPLE CALCULATION OF THE ESTIMATED ANNUAL AD
46 VALOREM TAX OR ASSESSMENT ON A HYPOTHETICAL RESIDENTIAL PROPERTY VALUE
47 SELECTED BY THE BOARD.

1 3. A STATEMENT THAT ACTUAL AD VALOREM TAXES, ASSESSMENTS, FEES AND
2 CHARGES ON A PARTICULAR PROPERTY MAY DIFFER BASED ON CHANGES IN TAX RATES,
3 ASSESSED VALUE AND DISTRICT FINANCING DECISIONS.

4 4. A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE DISTRICT IS
5 AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC
6 INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND
7 WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY
8 THE DISTRICT.

9 5. A STATEMENT DIRECTING PROSPECTIVE PURCHASERS TO THE DISTRICT
10 WEBSITE FOR ADDITIONAL AND UPDATED INFORMATION.

11 D. A SELLER OF PROPERTY LOCATED IN THE DISTRICT WHO IS REQUIRED BY
12 LAW TO PROVIDE A DISTRICT DISCLOSURE TO A PURCHASER MAY SATISFY ANY
13 REQUIREMENT TO DESCRIBE THE DISTRICT'S PURPOSES, POWERS, TAX RATES OR
14 INDEBTEDNESS BY:

15 1. PROVIDING THE PURCHASER WITH A CURRENT COPY OF THE STANDARDIZED
16 DISTRICT DISCLOSURE NOTICE DESCRIBED IN SUBSECTION C OF THIS SECTION.

17 2. IDENTIFYING IN WRITING THE DISTRICT'S WEBSITE ADDRESS ON OR
18 BEFORE THE DATE THE PURCHASER SIGNS A BINDING CONTRACT TO ACQUIRE THE
19 PROPERTY.

20 E. THE FAILURE OF THE DISTRICT TO TIMELY UPDATE ALL INFORMATION ON
21 THE WEBSITE DOES NOT RELIEVE A SELLER FROM ANY DUTY UNDER OTHER APPLICABLE
22 DISCLOSURE LAWS, BUT A SELLER WHO, IN GOOD FAITH, RELIES ON INFORMATION
23 POSTED BY THE DISTRICT ON ITS WEBSITE AT THE TIME OF DISCLOSURE IS NOT
24 LIABLE FOR AN INACCURACY IN THAT INFORMATION UNLESS THE SELLER HAD ACTUAL
25 KNOWLEDGE OF THE INACCURACY.

26 48-7044. Annual report; bond report

27 A. NOT LATER THAN ONE HUNDRED EIGHTY DAYS AFTER THE END OF EACH
28 FISCAL YEAR, THE DISTRICT SHALL SUBMIT TO THE AUTHORITY AN ANNUAL REPORT
29 CONTAINING:

30 1. THE CURRENT YEAR'S ADOPTED BUDGET FOR THE DISTRICT AND THE TWO
31 MOST RECENT PRIOR YEARS' ADOPTED BUDGETS.

32 2. A SCHEDULE OF ALL AD VALOREM TAXES, ASSESSMENTS, FEES AND
33 CHARGES IMPOSED BY THE DISTRICT FOR THE CURRENT FISCAL YEAR.

34 3. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM
35 OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT,
36 CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED
37 PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE
38 SOURCES PLEDGED FOR REPAYMENT.

39 4. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED
40 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM
41 AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.

42 5. THE NAMES, OFFICIAL TITLES AND CONTACT INFORMATION FOR THE
43 BOARD, THE CLERK AND THE TREASURER.

44 6. A BRIEF DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE DISTRICT
45 HAS ACQUIRED OR CONSTRUCTED.

46 7. THE NUMBER OF RESIDENTIAL HOUSING UNITS CONSTRUCTED WITHIN THE
47 DISTRICT.

1 B. NOT LATER THAN THIRTY DAYS AFTER THE ISSUANCE OF ANY BONDS, THE
2 DISTRICT SHALL SUBMIT TO THE AUTHORITY A BOND ISSUANCE REPORT CONTAINING:
3 1. THE FINAL OFFERING DOCUMENT, IF ANY, PURSUANT TO WHICH THE BONDS
4 WERE SOLD.
5 2. A DEBT SERVICE SCHEDULE FOR THE BONDS.
6 3. A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE FINANCED WITH THE
7 PROCEEDS OF THE BONDS.
8 4. IF THE BONDS ARE GENERAL OBLIGATION BONDS, A PROJECTION OF THE
9 AD VALOREM TAX RATE THAT IS REQUIRED TO SUPPORT DEBT SERVICE ON THE BONDS,
10 WHICH PROJECTED RATE DOES NOT EXCEED THE MAXIMUM AUTHORIZED TAX RATE.
11 5. IF THE BONDS ARE ASSESSMENT BONDS, THE MAXIMUM AGGREGATE
12 ASSESSMENT AND THE MAXIMUM PER-LOT ASSESSMENT LEVIED IN CONNECTION WITH
13 THE BONDS.
14 6. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM
15 OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT,
16 CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED
17 PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE
18 SOURCES PLEDGED FOR REPAYMENT.
19 48-7045. Seller disclosure; form of notice
20 A. THIS SECTION APPLIES TO THE SALE OR OTHER CONVEYANCE OF ANY
21 RESIDENTIAL REAL PROPERTY THAT IS LOCATED WITHIN THE BOUNDARIES OF A
22 DISTRICT FORMED UNDER THIS CHAPTER AND THAT IS AUTHORIZED TO LEVY AN AD
23 VALOREM TAX, ASSESSMENT, FEE OR CHARGE THAT APPEARS AS A SEPARATE LINE
24 ITEM ON THE PROPERTY TAX BILL FOR THAT PROPERTY.
25 B. A SELLER OF RESIDENTIAL REAL PROPERTY TO WHICH THIS SECTION
26 APPLIES SHALL PROVIDE TO EACH PROSPECTIVE PURCHASER A WRITTEN "DISTRICT
27 DISCLOSURE NOTICE" THAT CONTAINS, AT A MINIMUM, THE INFORMATION DESCRIBED
28 IN SECTION 48-7043, SUBSECTION C AND THAT SUBSTANTIALLY COMPLIES WITH THE
29 FORM PRESCRIBED BY THE DISTRICT.
30 C. THE SELLER SHALL DELIVER THE DISTRICT DISCLOSURE NOTICE AS
31 FOLLOWS:
32 1. FOR A TRANSACTION IN WHICH THE PURCHASER SIGNS A WRITTEN OFFER,
33 THE SELLER SHALL DELIVER THE NOTICE TO THE PURCHASER ON OR BEFORE THE DATE
34 ON WHICH THE PURCHASER SIGNS A BINDING PURCHASE CONTRACT FOR THE PROPERTY.
35 2. FOR ANY OTHER TRANSACTION, THE SELLER SHALL DELIVER THE NOTICE
36 TO THE PURCHASER BEFORE THE PURCHASER BECOMES OBLIGATED UNDER ANY BINDING
37 AGREEMENT TO ACQUIRE THE PROPERTY.
38 D. A DISTRICT DISCLOSURE NOTICE SATISFIES THE SELLER'S OBLIGATION
39 UNDER THIS SECTION IF THE NOTICE:
40 1. IDENTIFIES THE DISTRICT BY LEGAL NAME AND COMMON NAME, IF ANY.
41 2. STATES THAT THE PROPERTY IS LOCATED WITHIN THE DISTRICT AND IS
42 SUBJECT TO THE DISTRICT'S TAXING AND ASSESSMENT AUTHORITY.
43 3. INCLUDES A BRIEF DESCRIPTION OF THE DISTRICT'S PURPOSES AND
44 POWERS, INCLUDING ITS AUTHORITY TO LEVY AD VALOREM TAXES, ASSESSMENTS,
45 FEES OR CHARGES AND A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE
46 DISTRICT IS AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC
47 INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND

1 WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY
2 THE DISTRICT.

3 4. STATES THE CURRENT AD VALOREM TAX RATE OR ASSESSMENT RATE
4 IMPOSED BY THE DISTRICT AND PROVIDES AN EXAMPLE OF THE ESTIMATED ANNUAL
5 TAX OR ASSESSMENT ON A HYPOTHETICAL RESIDENTIAL PROPERTY VALUE.

6 5. STATES THAT ACTUAL TAXES, ASSESSMENTS, FEES AND CHARGES ON THE
7 PROPERTY MAY CHANGE OVER TIME AND MAY DIFFER FROM THE EXAMPLE PROVIDED.

8 6. STATES THAT THE FORMATION OF THE DISTRICT WAS REVIEWED AND
9 APPROVED BY THE AUTHORITY DESIGNATED PURSUANT TO THIS CHAPTER AND THAT THE
10 DISTRICT IS A SEPARATE POLITICAL SUBDIVISION FROM THE MUNICIPALITY AND THE
11 COUNTY IN WHICH IT IS LOCATED AND THAT ANY AD VALOREM TAXES, ASSESSMENTS,
12 FEES OR CHARGES IMPOSED BY THE DISTRICT ARE LEVIED BY THE DISTRICT AND ARE
13 NOT TAXES, ASSESSMENTS, FEES OR CHARGES OF THE MUNICIPALITY OR THE COUNTY.

14 7. PROVIDES THE INTERNET WEBSITE ADDRESS FOR THE DISTRICT AND
15 ADVISES THE PURCHASER THAT ADDITIONAL AND UPDATED INFORMATION REGARDING
16 THE DISTRICT'S FINANCES, MEETINGS AND OPERATIONS IS AVAILABLE ON THAT
17 WEBSITE.

18 E. A SELLER MAY SATISFY THE DISCLOSURE REQUIREMENTS OF THIS SECTION
19 BY:

20 1. PROVIDING THE PURCHASER WITH A CURRENT COPY OF THE STANDARDIZED
21 DISTRICT DISCLOSURE NOTICE MADE AVAILABLE BY THE DISTRICT PURSUANT TO
22 SECTION 48-7043, SUBSECTION C.

23 2. IDENTIFYING THE DISTRICT'S WEBSITE ADDRESS IN THE PURCHASE
24 CONTRACT OR IN A SEPARATE WRITTEN DISCLOSURE DELIVERED WITH THE NOTICE.

25 F. A SELLER WHO, IN GOOD FAITH, RELIES ON INFORMATION CONTAINED IN
26 THE STANDARDIZED DISTRICT DISCLOSURE NOTICE PROVIDED BY THE DISTRICT OR
27 POSTED ON THE DISTRICT'S WEBSITE AT THE TIME OF DISCLOSURE IS NOT LIABLE
28 FOR AN INACCURACY IN THAT INFORMATION UNLESS THE SELLER HAD ACTUAL
29 KNOWLEDGE OF THE INACCURACY.

30 G. A SELLER'S COMPLIANCE WITH THIS SECTION DOES NOT SATISFY OR
31 LIMIT ANY OBLIGATION OF A SUBDIVIDER OR OTHER SELLER TO OBTAIN AND DELIVER
32 A SUBDIVISION PUBLIC REPORT UNDER TITLE 32, CHAPTER 20, ARTICLE 4, AND
33 DOES NOT LIMIT ANY DISCLOSURE OBLIGATIONS IMPOSED BY SECTION 33-423 OR ANY
34 OTHER PROVISION OF LAW.

35 48-7046. Change in district boundaries or general plan

36 A. AFTER FORMATION OF A DISTRICT, AN AREA MAY BE DELETED FROM THE
37 DISTRICT ONLY FOLLOWING A HEARING AFTER NOTICE TO THE OWNERS OF LAND IN
38 THE DISTRICT, ADOPTION OF A RESOLUTION OF INTENTION TO DO SO BY THE BOARD
39 AND APPROVAL BY THE OWNERS OF LAND IN THE DISTRICT PURSUANT TO SECTION
40 48-7041, SUBSECTION C. DELETED AREAS REMAIN SUBJECT TO THE LEVY FOR DEBT
41 SERVICE ON ANY BONDS ISSUED BEFORE THE DATE OF DELETION.

42 B. AFTER FORMATION OF A DISTRICT, AN AREA MAY BE ADDED TO THE
43 DISTRICT ON APPROVAL BY THE BOARD FOLLOWING RECEIPT OF A PETITION FOR
44 ADDITION SIGNED BY THE OWNERS OF ALL OF THE REAL PROPERTY IN THE PROPOSED
45 ADDITION AREA. THE PETITION MUST INCLUDE A WAIVER OF ANY REQUIREMENT FOR
46 A SEPARATE RESOLUTION OF INTENTION BY THE BOARD AND A WAIVER OF ANY
47 REQUIREMENT OF POSTING, PUBLICATION, MAILING, NOTICE, HEARING AND ELECTION
48 AS TO THAT ADDITION TO THE DISTRICT. THE ADDITION OF PROPERTY TO A

1 DISTRICT PURSUANT TO THIS SECTION DOES NOT CONSTITUTE THE FORMATION OF A
2 NEW DISTRICT AND DOES NOT REQUIRE COMPLIANCE WITH THE PROCEDURES
3 APPLICABLE TO INITIAL DISTRICT FORMATION OR TO AMENDING THE FORMATION
4 ORDER PURSUANT TO SECTION 48-7041, SUBSECTION K.

5 C. FOLLOWING A HEARING ON NOTICE TO OWNERS OF LAND IN THE DISTRICT
6 GIVEN IN THE MANNER PRESCRIBED FOR THE DELETION OF AN AREA FROM THE
7 DISTRICT, THE BOARD MAY AMEND THE GENERAL PLAN IN ANY MANNER THAT IT
8 DETERMINES WILL NOT SUBSTANTIALLY REDUCE THE BENEFITS TO BE RECEIVED BY
9 ANY LAND IN THE DISTRICT FROM THE PUBLIC INFRASTRUCTURE ON COMPLETION OF
10 THE WORK TO BE PERFORMED UNDER THE GENERAL PLAN.

11 D. THE AUTHORITY SHALL APPROVE THE ADDITION OR DELETION OF PROPERTY
12 UPON DETERMINING THAT THE REQUIREMENTS OF THIS SECTION HAVE BEEN SATISFIED
13 AND WILL AMEND THE FORMATION ORDER ACCORDINGLY.

14 48-7047. Other districts or improvements

15 A. THE FORMATION OF A DISTRICT UNDER THIS CHAPTER DOES NOT PREVENT
16 THE SUBSEQUENT ESTABLISHMENT OF SIMILAR DISTRICTS OR THE IMPROVEMENT OR
17 ASSESSMENT OF LAND IN THE DISTRICT BY THE MUNICIPALITY OR COUNTY PURSUANT
18 TO, CHAPTER 4, ARTICLE 2 OF THIS TITLE OR THE EXERCISE BY THE MUNICIPALITY
19 OR COUNTY OF ANY OF ITS POWERS ON THE SAME BASIS AS ON ALL OTHER LAND IN
20 ITS CORPORATE BOUNDARIES.

21 B. NOTWITHSTANDING SUBSECTION A OF THIS SECTION, A DISTRICT MAY NOT
22 BE FORMED IF ANY PORTION OF THE LAND TO BE INCLUDED WITHIN THE DISTRICT IS
23 ALREADY INCLUDED WITHIN THE BOUNDARIES OF A COMMUNITY FACILITIES DISTRICT
24 OR REVITALIZATION DISTRICT IF THE COMMUNITY FACILITIES DISTRICT OR
25 REVITALIZATION DISTRICT HAS DEBT OUTSTANDING THAT IS SECURED BY AD VALOREM
26 TAXES OR ASSESSMENTS.

27 48-7048. Perpetual succession; dissolution of district

28 A. THE DISTRICT HAS PERPETUAL SUCCESSION, EXCEPT THAT THE DISTRICT
29 MAY BE DISSOLVED AS PROVIDED IN THIS SECTION AND, IF THE DISTRICT DOES NOT
30 HAVE ANY BONDS OR OTHER OBLIGATIONS OUTSTANDING, SHALL BE DISSOLVED TEN
31 YEARS AFTER THE DATE OF FORMATION UNLESS THE AUTHORITY BY RESOLUTION
32 EXTENDS THE DISTRICT BY AN ADDITIONAL PERIOD OF TEN YEARS.

33 B. THE BOARD SHALL ADOPT A RESOLUTION DISSOLVING THE DISTRICT IF
34 THE FOLLOWING CONDITIONS EXIST:

35 1. THE DISTRICT NO LONGER OWNS ANY REAL OR PERSONAL PROPERTY.

36 2. THE AUTHORITY VERIFIES THAT THE DISTRICT HAS NO BONDS OR
37 OBLIGATIONS OUTSTANDING.

38 3. THE AUTHORITY APPROVES THE DISSOLUTION ORDER ON RECEIPT OF A
39 DISSOLUTION PETITION EXECUTED BY THE OWNERS OF A MAJORITY OF THE REAL
40 PROPERTY IN THE DISTRICT.

41 C. A DISTRICT SHALL BE DISSOLVED AUTOMATICALLY AND WITHOUT ANY
42 ACTION FROM THE BOARD OR THE QUALIFIED ELECTORS IN THE YEAR THAT IS FIVE
43 YEARS AFTER COMPLETION OF ALL WORK TO BE PERFORMED UNDER THE DISTRICT'S
44 GENERAL PLAN, AS LONG AS THE AUTHORITY HAS VERIFIED THAT NO BONDS OR
45 OBLIGATIONS REMAIN OUTSTANDING. IF ANY BONDS OR OBLIGATIONS REMAIN
46 OUTSTANDING AFTER THE YEAR, THE DISTRICT SHALL BE DISSOLVED IN THE YEAR
47 AFTER THE BONDS OR OBLIGATIONS ARE PAID IN FULL.

1 D. ON SATISFACTION OF THE CONDITIONS PRESCRIBED BY SUBSECTION B OR
2 C OF THIS SECTION, THE AUTHORITY SHALL APPROVE THE DISSOLUTION AND ISSUE A
3 DISSOLUTION ORDER. THE BOARD SHALL CAUSE THE DISSOLUTION ORDER TO BE
4 RECORDED IN THE OFFICE OF THE COUNTY RECORDER AND SHALL CAUSE A COPY OF
5 THE DISSOLUTION ORDER TO BE DELIVERED TO THE COUNTY ASSESSOR AND THE BOARD
6 OF SUPERVISORS OF THE COUNTY IN WHICH THE DISTRICT IS LOCATED, TO ANY
7 MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED AND TO THE DEPARTMENT OF
8 REVENUE.

9 E. ALL PROPERTY IN THE DISTRICT, EXCEPT FEDERAL, STATE, COUNTY AND
10 MUNICIPAL PROPERTY, REMAINS SUBJECT TO THE LIEN FOR THE PAYMENT OF AD
11 VALOREM TAXES LEVIED, AND ANY PROPERTY SUBJECT TO AN ASSESSMENT LIEN
12 REMAINS SUBJECT TO THE LIEN NOTWITHSTANDING DISSOLUTION OF THE DISTRICT.
13 THE DISTRICT MAY NOT BE DISSOLVED IF ANY GENERAL OBLIGATION BONDS, REVENUE
14 BONDS OR ASSESSMENT BONDS OF THE DISTRICT REMAIN OUTSTANDING UNLESS AN
15 AMOUNT OF MONEY SUFFICIENT, TOGETHER WITH INVESTMENT INCOME THEREON, TO
16 MAKE ALL PAYMENTS DUE ON THE BONDS EITHER AT MATURITY OR PRIOR REDEMPTION
17 HAS BEEN DEPOSITED WITH A TRUSTEE OR ESCROW AGENT AND PLEDGED TO THE
18 PAYMENT AND REDEMPTION OF THE BONDS. THE DISTRICT MAY CONTINUE TO OPERATE
19 AFTER DISSOLUTION ONLY AS NEEDED TO COLLECT MONIES AND MAKE PAYMENTS ON
20 ANY OUTSTANDING BONDS.

21 48-7049. Local involvement; preservation of municipal and
22 county authority

23 A. A DISTRICT FORMED PURSUANT TO THIS ARTICLE HAS NO ZONING,
24 SUBDIVISION, BUILDING CODE, PERMITTING OR OTHER LAND USE OR DEVELOPMENT
25 APPROVAL AUTHORITY. ALL LAND USE REGULATION, DEVELOPMENT PLANNING,
26 PLATTING, PERMITTING, INSPECTION AND CODE ENFORCEMENT AUTHORITY WITHIN THE
27 BOUNDARIES OF A DISTRICT REMAINS EXCLUSIVELY WITH THE MUNICIPALITY OR
28 COUNTY IN WHICH THE LAND IS LOCATED, AND ALL DEVELOPMENT WITHIN A DISTRICT
29 IS SUBJECT TO THE SAME GENERAL PLANS, SPECIFIC OR AREA PLANS, ZONING
30 ORDINANCES, SUBDIVISION REGULATIONS, ENGINEERING STANDARDS, BUILDING AND
31 FIRE CODES AND OTHER APPLICABLE LAWS, STANDARDS AND PROCEDURES AS
32 COMPARABLE DEVELOPMENT OUTSIDE A DISTRICT.

33 B. A MUNICIPALITY OR COUNTY RETAINS FULL AUTHORITY TO ADOPT, AMEND,
34 ADMINISTER AND ENFORCE ITS GENERAL PLAN, SPECIFIC OR AREA PLANS, ZONING
35 ORDINANCES, SUBDIVISION AND DEVELOPMENT REGULATIONS, ENGINEERING AND
36 DESIGN STANDARDS, BUILDING AND FIRE CODES AND ANY OTHER LAWS, REGULATIONS
37 OR POLICIES GOVERNING THE PLANNING, ENTITLEMENT, CONSTRUCTION, INSPECTION,
38 ACCEPTANCE, OPERATION OR MAINTENANCE OF PUBLIC INFRASTRUCTURE OR PRIVATE
39 DEVELOPMENT WITHIN ITS JURISDICTION, WITHOUT REGARD TO WHETHER THE LAND IS
40 LOCATED WITHIN A DISTRICT.

41 C. A DISTRICT MAY FINANCE, CONSTRUCT OR ACQUIRE PUBLIC
42 INFRASTRUCTURE THAT IS INTENDED TO BE CONVEYED TO AND OWNED, OPERATED OR
43 MAINTAINED BY A MUNICIPALITY OR COUNTY ONLY IF THE PUBLIC INFRASTRUCTURE
44 IS DESIGNED AND CONSTRUCTED IN ACCORDANCE WITH THE GENERALLY APPLICABLE
45 PLANS, ORDINANCES, CODES, STANDARDS, REGULATIONS AND STANDARD-FORM
46 AGREEMENTS OF THE MUNICIPALITY OR COUNTY FOR COMPARABLE PUBLIC
47 INFRASTRUCTURE IN THE JURISDICTION. A MUNICIPALITY OR COUNTY MAY ACCEPT
48 OR REJECT ANY SUCH PUBLIC INFRASTRUCTURE IN ACCORDANCE WITH THE

1 MUNICIPALITY'S OR COUNTY'S GENERALLY APPLICABLE ORDINANCES, CODES,
2 STANDARDS, REGULATIONS, STANDARD-FORM SUBDIVISION OR IMPROVEMENT
3 AGREEMENTS OR OTHER WRITTEN INSTRUMENTS, INCLUDING ANY APPLICABLE
4 DEVELOPMENT AGREEMENT OR INTERGOVERNMENTAL AGREEMENT, AND IS NOT REQUIRED
5 TO ACCEPT PUBLIC INFRASTRUCTURE THAT THE MUNICIPALITY OR COUNTY IS NOT
6 OTHERWISE REQUIRED TO ACCEPT UNDER APPLICABLE LAW.

7 D. BEFORE A DISTRICT CONVEYS TO A MUNICIPALITY OR COUNTY ANY PUBLIC
8 INFRASTRUCTURE THAT IS FINANCED, CONSTRUCTED OR ACQUIRED BY THE DISTRICT,
9 THE DISTRICT SHALL OBTAIN A CERTIFICATION FROM THE ENGINEER OR OTHER
10 OFFICIAL DESIGNATED BY THE MUNICIPALITY OR COUNTY STATING THAT THE PUBLIC
11 INFRASTRUCTURE HAS BEEN COMPLETED IN ACCORDANCE WITH THE APPLICABLE PLANS,
12 SPECIFICATIONS AND STANDARDS OF THE MUNICIPALITY OR COUNTY. THE TIMING,
13 FORM AND CONTENT OF THE CERTIFICATION AND OF ANY CONVEYANCE INSTRUMENTS
14 SHALL CONFORM TO THE MUNICIPALITY'S OR COUNTY'S GENERALLY APPLICABLE
15 REQUIREMENTS FOR COMPARABLE PUBLIC INFRASTRUCTURE. ACCEPTANCE OF A
16 DISCRETE SECTION OF PUBLIC INFRASTRUCTURE PURSUANT TO THIS SECTION DOES
17 NOT MODIFY THE ASSURANCES AND WARRANTY REQUIREMENTS OF A MUNICIPALITY OR
18 COUNTY PRESCRIBED BY A MUNICIPAL OR COUNTY CODE OR ORDINANCE OR AS
19 OUTLINED IN A DEVELOPMENT AGREEMENT ENTERED INTO PURSUANT TO SECTION
20 9-500.05 OR 11-1101.

21 E. THE FORMATION OR EXISTENCE OF A DISTRICT DOES NOT CREATE ANY
22 OBLIGATION FOR A MUNICIPALITY OR COUNTY TO PROVIDE SERVICES, FACILITIES OR
23 FINANCIAL SUPPORT TO THE DISTRICT OR TO ANY LAND WITHIN THE DISTRICT THAT
24 THE MUNICIPALITY OR COUNTY WOULD NOT OTHERWISE BE REQUIRED TO PROVIDE IF
25 THE LAND WERE NOT LOCATED IN THE DISTRICT. A MUNICIPALITY OR COUNTY IS
26 NOT REQUIRED, SOLELY BECAUSE A DISTRICT HAS BEEN FORMED OR PUBLIC
27 INFRASTRUCTURE HAS BEEN FINANCED, CONSTRUCTED OR ACQUIRED BY A DISTRICT,
28 TO ACCEPT OWNERSHIP, OPERATION OR MAINTENANCE RESPONSIBILITY FOR ANY
29 PUBLIC INFRASTRUCTURE OR TO INCUR ANY ADDITIONAL FINANCIAL OBLIGATION OR
30 LIABILITY WITH RESPECT TO A DISTRICT OR ITS PUBLIC INFRASTRUCTURE, EXCEPT
31 TO THE EXTENT THAT THE MUNICIPALITY OR COUNTY EXPRESSLY AGREES IN A
32 DEVELOPMENT AGREEMENT, INTERGOVERNMENTAL AGREEMENT OR OTHER WRITTEN
33 INSTRUMENT THAT IS AUTHORIZED BY LAW.

34 F. THIS ARTICLE DOES NOT AUTHORIZE A DISTRICT TO PLEDGE THE FULL
35 FAITH AND CREDIT OR THE TAXING POWER OF A MUNICIPALITY OR COUNTY. ANY
36 BONDS OR OTHER OBLIGATIONS OF A DISTRICT ARE OBLIGATIONS ONLY OF THE
37 DISTRICT AND ARE PAYABLE ONLY FROM THE SOURCES THAT ARE PLEDGED FOR THEIR
38 PAYMENT.

39 [G. ANY PUBLIC INFRASTRUCTURE FINANCED PURSUANT TO THIS CHAPTER
40 THAT CONSTITUTES IMPROVEMENTS AS DEFINED IN SECTION 9-463 WILL REMAIN
41 SUBJECT TO THE MUNICIPALITY'S AUTHORITY UNDER SECTION 9-463.01, INCLUDING
42 REQUIREMENTS FOR PERFORMANCE BONDS, ASSURANCES OR OTHER SECURITY UNDER
43 SECTION 9-463.01, SUBSECTION C, PARAGRAPH 8.]

44 Sec. 6. Legislative findings; purpose

45 A. The legislature finds and declares that:

46 1. The provision of public infrastructure in advance of development
47 is essential to housing affordability, economic development and orderly
48 growth.

1 2. State [~~housing~~] affordability [~~infrastructure~~] districts provide
2 a uniform, statewide mechanism for financing public infrastructure in a
3 manner that:

4 (a) Protects taxpayers through limited tax rates and debt
5 limitations.

6 (b) Ensures transparency and public accountability.

7 (c) Facilitates early delivery of public infrastructure at lower
8 cost.

9 3. The Arizona finance authority is the appropriate statewide
10 certification authority to ensure uniform financial, engineering, and
11 statutory compliance for such districts.

12 4. The certification and oversight functions provided in this
13 chapter constitute governmental functions serving valid public purposes.

14 B. The legislature further finds and declares that:

15 1. State [~~housing~~] affordability [~~infrastructure~~] districts
16 exercise limited, special-purpose governmental powers relating solely to
17 the financing, construction, operation and maintenance of public
18 infrastructure.

19 2. The financial obligations of a district, including ad valorem
20 taxes, assessments, and liens, are borne directly and proportionally by
21 real property within the district.

22 3. Because the powers and financial burdens of a district
23 disproportionately affect real property owners, it is reasonable and
24 constitutionally permissible to allocate voting power in district
25 elections based on land ownership and acreage.

26 4. Elections conducted pursuant to this chapter are fiscal
27 determinations relating to property-based obligations and are not general
28 political elections.

29 Sec. 7. Short title

30 This act may be cited as the "State [~~Housing~~] Affordability
31 [~~Infrastructure~~] District Act".

32 Enroll and engross to conform

33 Amend title to conform

JEFF WENINGER

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